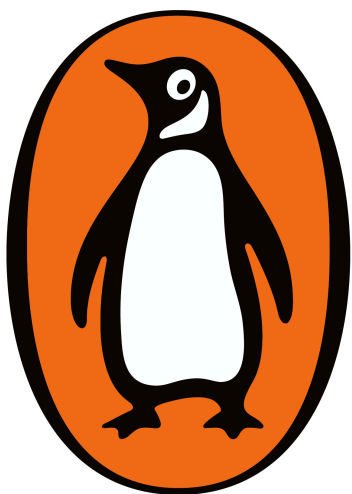


How to Make Extraordinary Wealth
Buying Ordinary Businesses



CODIE SANCHEZ



About the Author

Codie is the founder and CEO of Contrarian Thinking, a financial advice enterprise with over 2.5+ million subscribers. She is the co-founder of Unconventional Acquisitions, focused on small business acquisitions for the everyman. She has an M.B.A. from Georgetown University, a master's from ESADE and Fundação Getúlio Vargas in Brazil, and a B.A. from Arizona State University. She lives in Austin, TX with her husband.



WRITE-ON PAGES

Any references to ‘*writing in this book*’ refer to the original printed version.
Readers should write on a separate piece of paper in these instances.

Codie Sanchez

MAIN STREET MILLIONAIRE

How to Make Extraordinary Wealth Buying Ordinary Businesses



Contents

START HERE

[The 9-to-5 Trap: Escaping the System That Keeps You Poor](#)

[What You'll Get from This Book](#)

[Disclaimer: The Realities of Becoming a Main Street Millionaire](#)

[The Secret Gold Mine on Main Street](#)

STEP 1

R IS FOR RESEARCH

[Your Perfect Fit Business: Define the Right Acquisition for You](#)

[Motivated Sellers: How to Find Businesses for Sale](#)

[Evaluation Essentials: Assessing Your Boring Business](#)

STEP 2

I IS FOR INVEST

[The Life-Changing Magic of Profit Paybacks](#)

[Prepare for Purchase: Getting Your Documents in Order](#)

[How to Make Your First Business Deal a Slam Dunk](#)

STEP 3

C IS FOR COMMAND

[Hiring an Operator: The Key Player of Your Business](#)

[The New Owner's Guide to Leadership and Culture](#)

[Days 1–60: Transfer and Transition](#)

[Days 60–90: Stabilize and Systematize](#)

[Days 90–120: Power Up](#)

STEP 4

H IS FOR HARNESS

Growth Tactics: How to 10X Profits in Year One

Ownership Autopilot: Managing Your Business without Going Crazy.

Scaling Up: How to Expand Your Business Responsibly.

Exit Strategy: How to Sell Your Business and Start Over

FINAL THOUGHTS

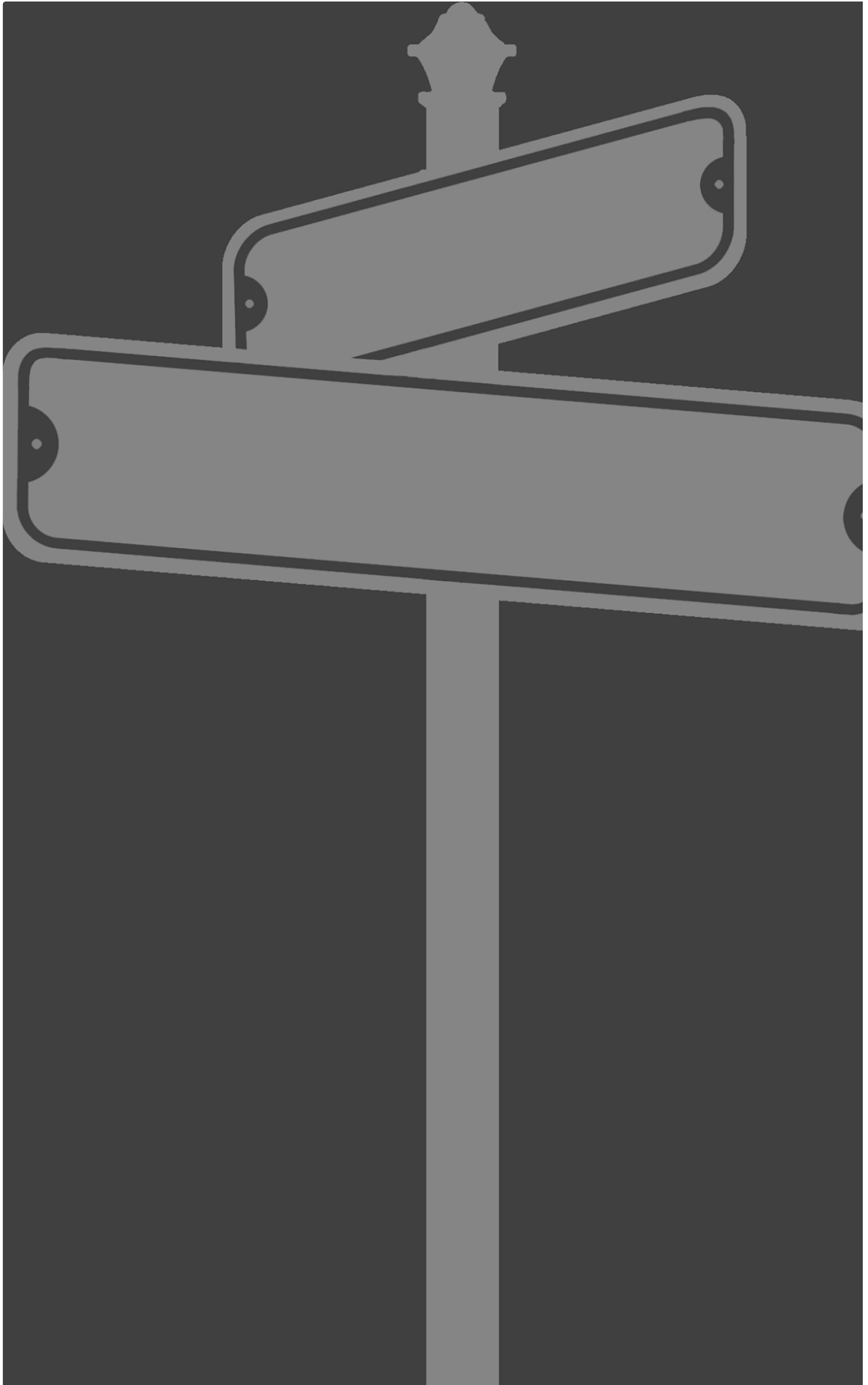
The Last Chapter: Your Call to Arms

Acknowledgments

Appendix: Tools and Documents for Boring Business Owners

I dedicate this book to those who chose to get into the game of building. Entrepreneurs created this world we live in, and yet you are the few. Thank you for doing what most will not; without you this book would be nothing more than noise. A special thank-you to the best entrepreneur I know, Stan Sanchez. I promise we will continue your legacy.

*One more thing: Behind every successful entrepreneur is a bad former boss. So, I also dedicate this to that boss you hated—you know which one. Thanks, bud—your doubt was our fuel.
Wink.*



You aren't truly in the game unless you find yourself in the dead of the night, head in hands, sitting in the dark, with no idea what to do next.

—MY FATHER

Start Here

Wayne Huizenga was a billionaire many times over. He was the owner of garbage behemoth Waste Management, AutoNation, and Blockbuster Video (he later sold Blockbuster for \$8.4 billion). He also owned three major league sports teams: the Miami Dolphins (NFL), the Florida Marlins (MLB), and the Florida Panthers (NHL). If you Google Wayne's name, you'll see the words "founder" and "empire builder" again and again.

What's much less known about Wayne is that before he made billions, he was a poor failure who had dropped out of college. Wayne was the son of an immigrant father who beat him and his mother. His childhood was violent, chaotic, and shrouded in secrecy.

After his parents got divorced, Wayne watched his friends go off to college and take white-collar jobs while he drifted from one low-wage job to another. In fact, after a six-month stint in the army, the newly married Wayne had to become a garbage man. One of his old friends recalled seeing Wayne on the job and thinking, "I better hit the books. It must be rough out there if Wayne's already driving a garbage truck."

So how did this floundering young man with no connections, no family, and no wealth become a billionaire? Did he grab himself by the bootstraps, camp out in a garage, and dream up a new company to rule them all? No, he took a job selling trash-hauling services door-to-door. He drove, he sold, and he studied his boss, Wilbur Porter, who ran Porter's Rubbish Service, one of Broward County's first major garbage firms. He figured if he studied a great founder, someday he could become one.

Then one day, something clicked. *Why start a company when he could buy one that already works?* For months, he pressed Porter to let him purchase a share of the business in an asset sale. Porter relented in 1962. He sold Wayne a snub-nosed truck and \$500 worth

of customers. By 1969, Wayne's single truck had become a fleet that dwarfed Porter's. He brought on partners and bought routes and companies from Key West to Tampa. Wayne's climb continued from there. In 1972, he drove across the United States and bought out ninety haulers in nine months.

Those early years taught him three things. First, you don't need a college degree to make more money than you can imagine. Second, there is incredible profit to be made by buying a small, boring business.

And third? The power of *creative financing*. Wayne Huizenga, the kid who originally didn't have two pennies to rub together, who couldn't get a loan even if he begged for it, became a billionaire because of this one essential ingredient. It allowed him to own Waste Management, even though he wasn't the founder. To the victors go the history books.

Why don't we hear more incredible stories like Wayne Huizenga's? Because we've been lied to about who gets rich and how for decades. Today, we take off the blindfold.

This is a book about seeing opportunities for financial freedom all around you, in the overlooked and unassuming businesses that we all take for granted. As someone who specializes in making good, profitable deals, I can promise you that success doesn't require flashy start-ups or cutting-edge new products. In fact, that's where you *lose* money. Instead, you'll see why finding a "Main Street business" with steady cash flow, acquiring it, and using the profits to live life on your terms is the smart, extremely underrated way to build extraordinary wealth.

I will take your hand and show you how. But first, let's define the lie before we can reveal the truth.

THE 9-TO-5 TRAP: ESCAPING THE SYSTEM THAT KEEPS YOU POOR

Have you ever felt like you'll never make enough money? Like you've been dealt a lifelong sentence of financial stress, worry, and anxiety? That no matter how hard you work, you'll never be able to *relax* and feel financially free?

If so, you're not alone. Billions of workers are hustling all over the world. Trying to keep up with inflation, barely scraping by, and

losing hope in the promise of retirement. But here's the thing: it's not their fault. All of us were programmed to be *poor*.

Here's how we're taught to make money in America. First, sit still and listen to authority figures for eight hours a day until we're eighteen years old. Then, go to college and take on \$30,000-plus in unforgivable debt, in exchange for a degree. Without that piece of paper, we're told, we will never succeed. We're not allowed to gain real-world skills through unpaid internships (the ones where you actually do useful work instead of just theorizing) unless they're officially tied to an educational program, because otherwise they're considered illegal.

Then it's graduation day. We're finally allowed to join the working world. Soon after, we discover that most jobs do *not*, in fact, require a college degree. Nevertheless, we all compete for jobs that barely cover our bills, much less our debts. Our top performers pursue the two highest-paying yet least creative jobs: consulting and Wall Street. Or, they play the lottery by joining a start-up. One that requires sleeping on floors and racking up debt from venture capitalists. The concept of "golden handcuffs" becomes very real.

Most of us suspect this game is rigged. We can't afford houses, we hate our jobs, and our loans keep stacking up. Yet we can't stop playing. We have bills to pay, with very real consequences if we don't. So, we stick to what we know. *Keep my job, ask for a raise once a year, and look for another job that pays a bit more.* When we stop wanting to play, the old guard gets mad at us for not working "hard enough" and "quietly quitting." No wonder so many do not trust the system.

As the proverb goes: *Play stupid games, win stupid prizes.*^{[fn1](#)} Fortunately, people are starting to wake up. They've decided to play a better game, one where they actually have a shot at freedom. Millions are leaving their jobs (risky!) and becoming freelancers (literally *half* of all workers in Gen Z). Why? Because we want autonomy, upside, and work that aligns with our values. There's just one problem: freelancing is just like being an employee, in that it's nearly impossible to build real wealth. A mistake smart people make is trying to get rich as a freelancer. I have bad news: this probably won't work.

Why is this? Because of a simple rule that wealthy people follow. One that separates them from everyone else who struggles with money. I had to work for more than a decade in big finance to learn

it. You will learn it in a few *hours* with this book. It will turn on what is called your reticular activating system, a bundle of nerves at our brain stem that filters out unnecessary information so the important stuff gets through. Once you see the truth of ownership, you cannot unsee it. Here's your first and most important lesson:

Your salary will never set you free. Your financial freedom can only come through *ownership*. More specifically, through equity done the right way.

This is not what most of us were taught. Every day in school all the way up to your first job, you've been trained like Pavlov's dog to follow the path of *non-ownership*. You've been zapped and given treats to believe that a good job is the real key to financial stability. Lies. No matter how hard you work, you will forever be a cocker spaniel begging for biscuits. That's because you are trading your *time* for money, which means it's impossible for you to break free. Warren Buffett said it best: "If you don't find a way to make money while you sleep, you will work until you die." It's time to shed those lies and run toward the truth.

The good news is there's a way out. And no, you don't need to come up with a genius invention, buy crypto, or own apartment complexes in Miami. Instead, just like Wayne Huizenga, you'll make a few strategic moves that will allow you to efficiently become an owner. And once you experience the freedom of ownership, you'll never go back.

Here's the best part: it might not even cost you a dime to start.

• • •

The central argument of this book is that buying profitable, established, cash-flowing businesses is the most underrated path to wealth. One that, if you do it right and are willing to put in the work, not only pays you enough money to quit your job but also allows you to pay someone else to run it with you. That's right: you own the business, you make a full-time salary, but you're potentially not stuck with another full-time job forever.

And unlike buying a house, you won't always need a big down payment to own this business. The previous owner may even hand you the keys to their legacy for less than you can imagine. But you have to understand the game. They'll want these three things in return:

1. You'll give them the ability to exit their business and retire.
2. You'll keep their business and legacy alive.
3. You'll give them a cut of future profits.

Sound too good to be true? It's not. This is a proven path that allows normal people to become wealthy. Everyone? No. Only those willing to do the work and dedicate themselves to the rarest of things: being a builder in a world of consumers. It's what I've done, more than a hundred times. Which is how a small corner of the internet came to know me as "the chick who buys laundromats" — not my favorite title, but hey, I've been called worse.

I've also helped thousands of people just like you do it too.

Like Renan, a medical device salesperson turned millionaire owner of a service business he bought entirely with creative financing ...

Or Katie, an employee turned owner of a multi-six-figure dog-grooming business, soon to acquire her second ...

Or Chris, the new owner of a plumbing business, a locksmith business, and now building out an eight-figure holding company ...

All these people chose the path of the Main Street Millionaire.^{[fn2](#)} Their companies aren't fly-by-night, meaningless commodities. They are essential businesses that have contributed real value to their local communities for decades. They have hundreds of paying customers and a profit margin that earns their owners a very healthy income and a newfound ability to live life on their terms.

It is scary, but maybe that's how you know it's worth it. I'm here to find you, the aspiring owner in a world of owned. Are you one of us? We are a group that rejects the status quo and all the broken systems attached to it. Together, we are taking back Main Street.

• • •

*While the rest of the world laughs at "dry cleaning," we
make millions.*

—JIM BOWEN, CEO OF FIRST TRUST

You might be wondering: **What is a Main Street business?**

It's a small, local business—typically run by mom and pop—that involves minimal intellectual property and provides a needed product or service. I'm talking about car washes, laundromats,

vending machines, storage centers, repair shops, pack-and-ship centers, porta-potty rentals, landscaping, electrical services, bookkeeping, carpet cleaning, tiling and grouting, plumbing, pet grooming, and HVAC installation. These are the modest yet profitable businesses that most people overlook.

I call them “Main Street” or “boring” businesses because they lack the societal sexiness of Wall Street, tech start-ups, and social media side hustles. Their owners are rarely on the covers of magazines or interviewed on *Good Morning America*. Instead, they get rich quietly. They build “stealth wealth” by owning the types of businesses that make up the backbone of America. These businesses are dependable, meaningful, successful, and cash flowing. And yet they are rarely considered a go-to option for entrepreneurs. (I aim to change that with this book.) Don’t be fooled; boring businesses do not equal boring lives. A business that has steady cash flow, lets you be with your family, is simple, has great customers, gives you a happy life ... that is the REAL unicorn.

The hundred-plus businesses I’ve owned and invested in are mostly run-of-the-mill operations that have been around for a long time, surviving and thriving through economic downturns, bringing in profits year after year. Do they have down periods? Yes. But they are not rocket ships that take off or explode spectacularly.

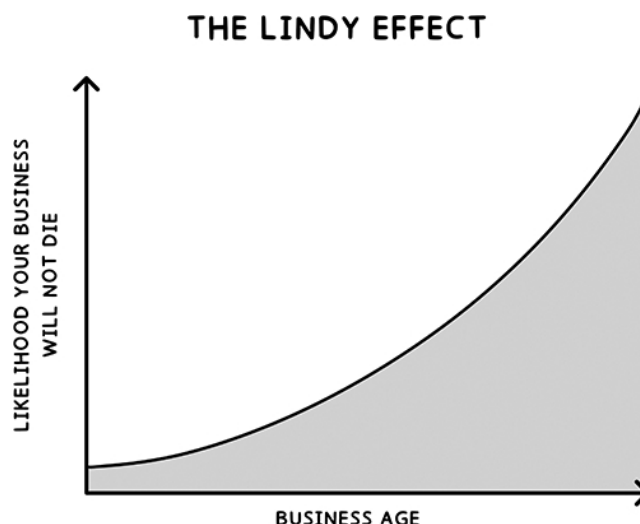
Why? There’s an idea called the Lindy effect. It states that if something has been successful for a long time, its success will likely continue for just as long. Nassim Taleb said it best in his book *Antifragile*:

If a book has been in print for forty years, I can expect it to be in print for another forty years. But ... if it survives another decade, then it will be expected to be in print for another fifty years.

This, simply, as a rule, tells you why things that have been around for a long time are not “aging” like persons, but “aging” in reverse. Every year that passes without extinction doubles the additional life expectancy.

I use that theory to ensure that I don’t fail in business, and it’s worked like a charm. And yet, in the fast-paced world of entrepreneurship, where the siren call of starting a brand-new company drowns out everything else, the Lindy effect continues to

be ignored. Business failure abounds, with founders wearing their Fs like badges of honor.



Guess what: 35 percent of boomer-owned businesses have been in operation for more than a decade. Nearly 80 percent are profitable, with steady, loyal customers. Want to guess how much longer their success will continue? Just ask Lindy.

This is the secret that Main Street Millionaires know and that most modern entrepreneurs completely ignore: **Steady cash flow is NOT found in flashy start-ups or trendy new products.** It's in those established small businesses in your neighborhood, the ones you drive by without a second glance. This is where millions are being made, right here on Main Street.

WHAT YOU'LL GET FROM THIS BOOK

Here's a big, hefty question for you: Instead of working for decades to make a million dollars, how can you acquire a cash-flowing business that's making a million dollars *right now*?

At the heart of *Main Street Millionaire* lies the answer to that question—a simple yet profoundly effective formula: R.I.C.H. This acronym encapsulates the step-by-step process you'll use to buy your way into becoming a Main Street business owner:

R FOR RESEARCH ensures that you pursue the business opportunities that are best aligned with *you*. You'll clarify your unique skills, the type of owner experience you want, your risk appetite, and how much you need to get paid. You'll

also learn how to find motivated sellers, the right way to talk with them about the prospect of buying their business, and how to evaluate whether it's a good acquisition or not.

I FOR INVEST opens up a whole new world of possibilities, with multiple strategies to buy cash-flowing businesses for little money down or using creative financing. You'll learn how to informally propose a deal to the owner, work with professionals on due diligence, get the right financing, draft the papers, and seal the deal. You'll also get my battle-tested negotiation tips, which have saved me millions of dollars over the last decade.

C FOR COMMAND shows you how to avoid the “whoops, I bought myself a job” trap, or worse yet, “whoops, I bought myself a nightmare.” You'll learn how to find, interview, and hire an operator—and eventually a team—who can help you run your business. You'll learn the most important things to do (and avoid) in your first ninety days. You'll establish a culture of continual improvement, track your money, and implement simple marketing systems that efficiently double your profits.

H FOR HARNESS is where you'll learn how to manage multiple businesses on autopilot, without losing your sanity. You'll get a simple scorecard that will keep your businesses on track, add more revenue streams, and prepare for your next acquisition (or an exit).

R.I.C.H. is the most efficient path I've found to financial freedom. Why? Because it doesn't hinge on having extensive capital or brilliant ideas to start. You can acquire a cash-flowing business that not only replaces your salary but also sets you financially free. I've done it, and so have countless business owners. You can do it too.



RESEARCH:

- FIND YOUR PERFECT BUSINESS
- FIND YOUR PERFECT SELLER



INVEST:

- GET MONEY
- FIND TRUTH
- NEGOTIATE TO WIN



COMMAND:

- AVOID PITFALLS
- HIRE A TEAM
- RUN THE BIZ



HARNESS:

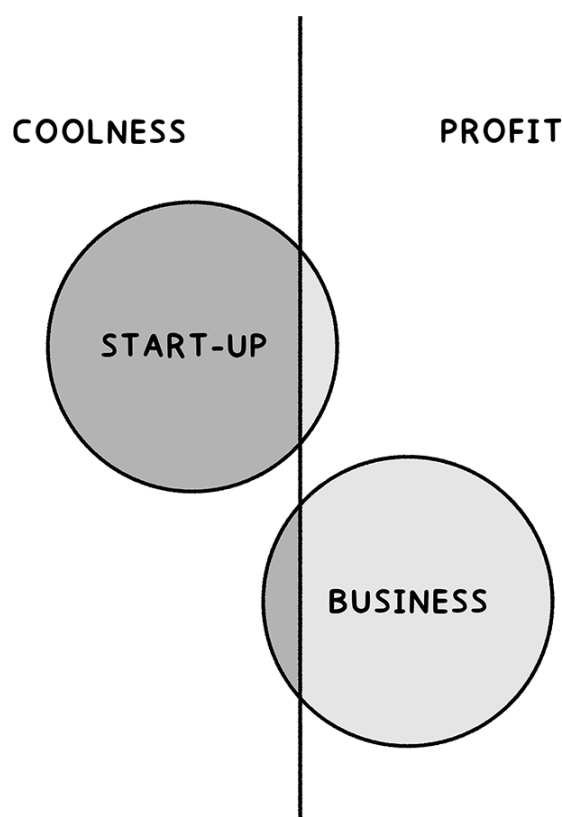
- SCALE
- ADD ON BUSINESSES

DISCLAIMER: THE REALITIES OF BECOMING A MAIN STREET MILLIONAIRE

A lot of business books set the wrong expectations. My dad always said, “Just tell the truth, it’s easier to remember.” So, here’s the truth: you’ll need to buckle up for the ride ahead. I won’t promise you this journey will be rainbows and kittens (I’m allergic, probably to both). The path I teach is *hard*. Becoming an owner is 10 percent the business you buy, 10 percent knowledge, 10 percent talent, and 70 percent don’t F-ing stop. Grit is the secret ingredient that makes it all work.

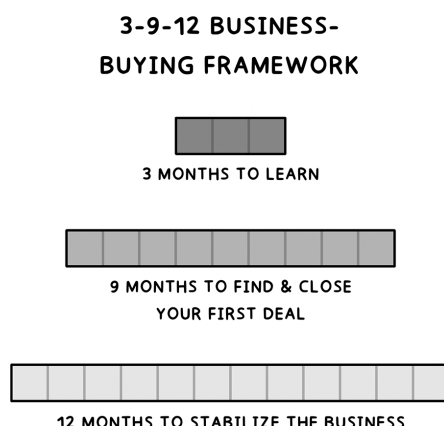
Here’s what you can expect during the journey to becoming a Main Street Millionaire:

YOU WON’T LOOK COOL. There’s no drop-shipping, no crypto, no start-ups, no inventing, and no picture of you on the cover of *Forbes*. If you want to be the next Steve Jobs or Elon Musk, I am not your girl. If you want to run a pleasure parlor in the Metaverse, be my guest. But you ain’t gonna find it here. Why? Because all those paths share the same fatal flaw: your revenue starts at \$0.



Instead, you'll take the road less traveled. The road with cash flow that offers healthy profits and a monthly salary on Day 1. The road where you won't spend years of your life on a gamble, or slowly saving away until you're too old to enjoy the money. Does this path *look* cool? Not particularly. But is it cool to get rich quietly? You tell me.

YOU WON'T BE AN OVERNIGHT SUCCESS. If you're just getting started, I advocate for the 3-9-12 framework. You take 3 months to learn, 9 months to find and close your first deal, and 12 months to stabilize the business. That's a total of two years, or about as long as it takes to get an MBA. Patience is the playbook, and that's where the profits lie. I go back to when Jeff Bezos, founder of Amazon, asked Warren Buffett, "If your investing thesis is so simple, why doesn't everyone just copy you?" Buffett's response: "Because nobody wants to get rich slowly."



YOUR INCOME WON'T BE PASSIVE. This journey is for those who want meaning and fulfillment, but NOT those who want to buy a business for "passive income" and spend their days sipping piña coladas on a beach halfway across the world. Diabetes much? You will have to work hard to become an owner. Whether you are buying a repair shop, landscaping company, garbage-hauling service, car wash, laundromat, or murder-scene cleanup operation, there is one common thread: *When you own it, you gotta work on it.* This includes managing employees, suppliers, customers, vendors, administrative tasks, marketing, sales, and so much more. It is not passive, nor is it for the faint of heart. Which brings me to the most important point ...

THIS WON'T BE EASY. I've been sued, lied to, stolen from, made fun of, slandered, and even thought one of my employees was coming back for blood. If you know you're going to give up when the going gets hard, I'd suggest you put down the book now. Seriously, just save yourself the time. Not everyone is cut out to be in charge, and that is okay. There's a reason most people settle into jobs instead of stretching for ownership. It certainly *feels* safer to let someone else take all the responsibility and risk. And yet, salary is the ultimate addiction, a job the ultimate golden handcuffs.

Having a company is hard—responsibilities, lies, slander. Having a job is hard—underpaid, underpromoted, underchallenged, bosses you hate. Start-ups are hard—no money, sleepless nights, dealing with investors. It's all hard. You choose your hard. I will always choose the path to freedom. Yes, there are risks on the path to becoming a Main Street Millionaire, though it's not as risky as you might think, especially when done right.

Bottom line: If you choose this path, you'll need to fully commit. Things *will* get hard. You have been warned. But if you're like me, I hope you're getting a little tingly and feeling the truth that the rich know all too well: *Behind a little pain is all the gain.*

• • •

Why should you listen to me? Let's start at the beginning of my entrepreneurial journey. I'll never forget the day I bought a laundromat nearly a decade ago. It was my first real step toward financial freedom. But that day, it didn't feel like it. My heart raced while my mind freaked out.

As I turned the key and shoved my shoulder into the jammed door, I paused to breathe it all in. That sweet smell of detergent ... and mold. Ahhh. And those charming fluorescent lights clinging on to the popcorn ceiling tiles. That soft whistling of shiny washing machines. *My* washing machines. I'd finally done it.

Then the doubts flashed through my mind: *Codie, WTF have you gotten yourself into? You're going to get fired from your job. This is a horrible idea, everyone is going to laugh at you. You know nothing about washing machines. You barely do your own laundry. Yet for some reason, your existential crisis is becoming a laundromat owner?!* I batted the thoughts away. For better or worse, everything was about to change.

In my first year, I made a modest profit. Not earth-shattering, and not enough to quit my full-time job. But it gave me hope. I never could have imagined that less than a decade later, that little laundromat would lead to a not-so-little portfolio of twenty-four Main Street businesses that do tens of millions in revenue, and a fund with companies that do hundreds of millions. As a mid-thirties Latina woman who used to think a mutual fund meant “group fun,” it’s still hard for me to believe.

I wasn’t born into wealth. I’m not that smart. My parents were hardworking Americans. My dad worked at and then one day finally owned a local marble company. My mom was a special needs teacher. Growing up out West in Arizona, I learned how to track a deer before I learned about money. My high school math teacher literally told me Helen Keller had a better chance at winning an archery contest than I did at excelling in math (nice guy). Nothing about my childhood hinted at a future in which I’d become a voice for financial empowerment.

But then, after college, I went to work as a journalist in Juárez, Mexico. The harsh realities of reporting on human trafficking taught me a valuable lesson: *Money is power*. That realization inspired me to dive into the belly of the beast. I worked for financial firms like Vanguard, State Street, and Goldman Sachs so I could master wealth-building strategies. That led me to start buying and owning businesses for myself, and publicly sharing what I learned online. My former bosses were less than thrilled. I keep a quote to this day from an email one sent me: “You continue to dumb down our firm, I hope you gained more followers today.” Dan sucked then and still probably sucks.

Yet I’d rather help a huge number of ordinary people get rich together than help a small group of already rich people get obscenely wealthy. I watched Dan and all those dudes on their second and third wives racing around in Ferraris and boasting about who bought the most expensive bottle of wine, and I thought ... *These guys are the ones who run our world?* Time for a reboot.

So today, I share their homework at our financial media company, Contrarian Thinking. At the time of this writing, we have over six million social media followers, one million email subscribers, and five thousand-plus students. Our community has reported millions and millions in revenue bought, transitioning over one hundred companies to new ownership. I happen to think we’re just getting

started on stealing Dan's lunch. Our mission is to transform America into a nation of owners so we can save our country's Main Street businesses, and so you never have to work for an insufferable boss again.

Main Street Millionaire is my call to action. With this book, I aim to guide thousands of readers toward owning profitable businesses. I hope you're one of them. Because as much as I'd love to help you get rich, there's a far bigger and more pressing issue at stake. Unless we start a movement to save these Main Street businesses, we're all in serious trouble.

THE SECRET GOLD MINE ON MAIN STREET



***NOT EASY, BUT CAN CHANGE YOUR LIFE**

Did you know that Main Street Millionaires own *half* of all job-generating businesses in the United States? That's nearly three million companies providing jobs for thirty-two million people and making \$6.5 trillion in annual revenue. If you enjoy a nice paycheck right now, it is highly likely you can thank a Main Street Millionaire for that.

But there is a dark side to being a Main Street Millionaire: they're getting too old for this sh*t. Talk to any boomer business owner over the age of sixty-five, buy them a beer or six, and they will admit that they want to exit their business ... but *have no idea how*.

Throughout history, the answer was to hand the business over to the kids. Ah, the times they are a-changin'. These days, only about 30 percent of businesses transition from one family generation to the next. The kids don't want Dad's plumbing business. They want to dance on TikTok, even if plumbing makes millions.

Here's the craziest part: most of these MSMs will end up *permanently shutting down* their businesses. When they retire, they won't hand off or even sell their cash-printing machines. Instead, they will simply turn off the lights and put the CLOSED sign up one last time. Game over.

Don't believe me? It's already happening, with businesses all over the world, which is why there are opportunities for international readers too.

Hidekazu Yokoyama spent thirty years building a profitable, thriving logistics business in Japan. Last year, he tried to give it away, for *free*. He is not alone. In a country where the average business owner is sixty-two, and where 60 percent of them don't have a transition plan, free is often the only option.

Hidekazu is in his seventies, and his legacy was wanted by no one. Not his kids. Not his employees. No one. Think about that for a second. It's not like he was trying to give away a dilapidated, fixer-upper house in an undesirable location. He was trying to give away a successful business worth millions. And no one wanted it!

This struggle of an aging population could be the cause of one of the most devastating recessions in Japan, as tens of thousands of small and medium-size companies go out of business while the population shrinks. Do you know what will happen to Japan if that transpires?

In an apocalyptic 2019 presentation, Japan's trade ministry said that by 2025, around 630,000 profitable businesses could close permanently, costing the economy \$165 billion and as many as 6.5 million jobs. That's nearly 1 in 10 jobs in the whole country.

It is already happening. In 2021, forty-four thousand businesses were *abandoned*. And 90 percent of those businesses—most of which were profitable and could have been transitioned to a new owner—*closed forever*. This still blows my mind.

If the magnitude of this problem isn't hitting you yet, I promise you it will. It hit me and my family. My uncle founded Eb Holmes Plumbing in Phoenix, a thriving business that made him millions of dollars for several decades. At its height it was worth several million. Then one day, Eb got older and sicker. Suddenly, the company meant much less to him than spending time with his wife and kids.

So, what did Eb do with the business? Did he sell it and make millions? Hand it off to a member of his family or one of his trusted employees? Nope, neither. He slowly closed it down. In fact, he had to *pay money*, and his wife had to do a lot of work to shut it down compliantly.

On the one hand, it's understandable. Eb was in his seventies. He was tired. He didn't think of selling his business as an option; I think he would say it wasn't a sellable asset. Or that even if he'd wanted to do it, he didn't have the energy to go through a sale or find buyers to buy it from him.

Still, this plumbing business was generating millions in revenue. Eb spent his entire career turning it into a cash-flowing asset, which allowed him and my aunt to live the American Dream. It allowed them to take boat trips down to Mexico. It even bought them a little two-prop plane and a cabin in the mountains.

But it didn't matter. Eb's business first scaled down, then shut down. His customers, his team, his processes ... *poof*. All gone. Don't get me wrong, his incredible legacy continues on in his family and impact, BUT could it also have lived on in the actual business?

As tragic as this story sounds, it's *a lot* more common than you think. And like I said, it's playing out all over the world, and it's coming to your neighborhood soon. This is the big emergency we're all facing. Millions of boomer business owners are stranded in their companies, with no one to hand it off to. Their businesses are too big for their competitors to buy out yet too small for Wall Street to acquire. So, the owners just keep working, and working, and working.

The impact of *millions* of small businesses quietly disappearing over the next two decades will be catastrophic to our economy. It's going to make the Great Depression seem like a cakewalk.

And therein lies your opportunity. My dear reader, you should be leaning forward in your seat by now. This is where your freedom

awaits. YOU could be the new owner. YOU could be their succession plan. YOU could preserve their legacy, serve your community, gain financial freedom, and help save America. These owners are quietly desperate to save their businesses. They are praying for a miracle. They are praying for YOU.

This is the gold mine on Main Street.

BOOMERS ARE STRANDED IN THEIR BUSINESSES



TOO SMALL FOR
WALL STREET



TOO BIG FOR
COMPETITORS



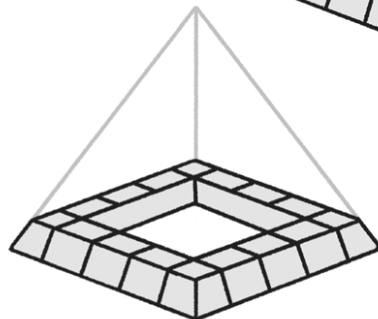
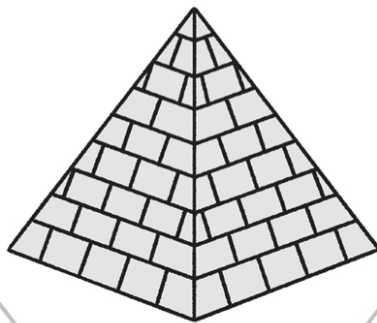
PERFECT FOR THE
RIGHT BUYER



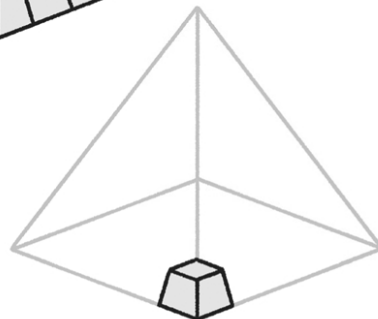
Now it's time for your story. The book you're holding is your guide to ownership and financial freedom. It is also a giant "F you" to those who want us to beg for scraps while they own everything. The content in these chapters has helped people from all walks of life achieve these outcomes. That's why I believe in you and your right to live free. Because if I can do it, and they can do it, so can you.

None of this is rocket science. It's a simple process that you can successfully execute, so long as you remain committed to becoming an owner. I wish you the heartbreakingly beautiful feeling of being in charge of your own destiny. Nothing quite like it. The one who sets the hours can usually work the longest. So, if you have the drive and follow the steps, the only thing that can stop you from becoming rich and free is *you*.

HAVE A BIG VISION



AND START SMALL



**BUT MOST
IMPORTANTLY,
JUST START!**



YOUR PERFECT FIT BUSINESS: DEFINE THE RIGHT ACQUISITION FOR YOU

Choosing Your Starting Point

The most common DM I get goes something like this:

What type of boring business should I buy for cash flow?

What they want to hear from me is that they should go out and buy a laundromat, car wash, mini storage, or pack-and-ship center. But those are horrible answers because it's the wrong question to begin with.

The better question to ask is this:

What type of boring business is right for me?

The truth is there is no such thing as the right or wrong business. There is only the business that's right or wrong *for you*.

Buying a business isn't one-size-fits-all; it's a deeply personal decision that should be in sync with who you are, what you can handle, and where you see your life heading. The worst thing you can do is dive headfirst into a business that's completely misaligned with your financial needs, risk tolerance, and lifestyle preferences.

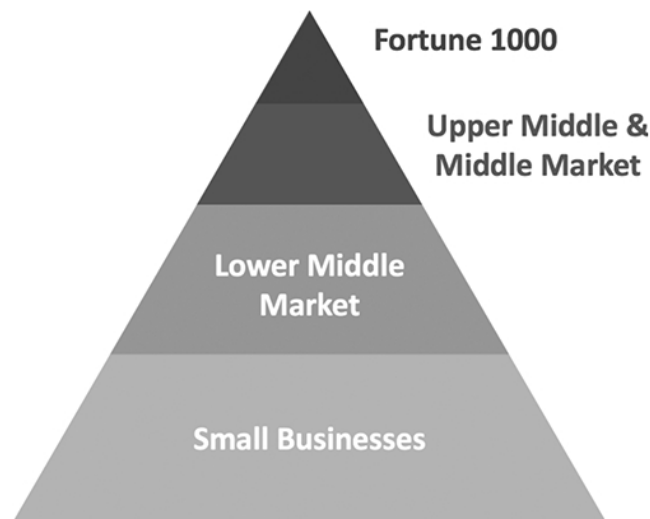
So, before we talk about the "what," we need to talk about the "who." That's you.

I want to set you up for success by ensuring you pick the right starting point. Your first task is to choose the level best suited to who you are and where you're going. Businesses change materially at each level, requiring a different type of operator and buyer. So it's critical that you start at the right level *for you*. (Spoiler alert: most readers of this book will be at either Level 1 or 2.) This way, not only will you be set up for financial success, you'll also have greater satisfaction and peace of mind.

Competition Is for Losers: Why Small Businesses Are Easier to Buy

Most people who talk about acquisitions refer to businesses doing \$100 million or more in annual revenue. In other words, Fortune

1000 companies and the like, which the average Joe cannot afford. Fortunately, that is an advantage for us. All the buyers are competing for the top part of the pyramid, overlooking profitable small businesses. This is where the opportunities lie, in a sea with plenty of fish and surprisingly few fishermen.



LEVEL 1: Solo Venture

This level is for you if: You've never bought a business before. You're a bit scared (it's okay, I was there too). You want to acquire a business and still be able to maintain your W-2 income or just don't want a business that requires you to put in a full-time effort. You also want a business that's easy to run and doesn't require a lot of training or highly skilled employees.

What you can expect: The books are going to be a mess. The processes are probably not going to be outlined. The owner doesn't need to be there 24/7. But you are going to be doing the work. That said, solo ventures are much less expensive, much less complex, and can often be run as a part-time job (not a business).

Examples of Level 1 businesses: laundromats, vending machines, ice-vending machines, self-serve car washes, self-serve storage centers, camping sites, mailbox centers, and beyond.

THE NUMBERS:

- Cost to acquire: less than \$1 million
- Annual revenue: less than \$300,000
- Total profits: between \$50,000 and \$200,000

- Multiples you can sell it for: 1–2X
- Your annual salary: less than \$200,000
- Number of employees: fewer than 3 (potentially none)
- Time commitment: 10 to 30 hours per week

LEVEL 2: Hands-On CEO

This level is for you if: You have more cash, higher income, management experience, and a higher risk tolerance. The risk is greater, because you're borrowing more money, or the businesses are more expensive and profitable and you're likely dealing with more employees and FF&E (furniture, fixtures, and equipment). This is you essentially buying a CEO job. The main benefit is getting out of the corporate/W-2 world, and even though you're still "working" for a living, you get to at least work for yourself with the potential to build something better.

What you can expect: You may run the business yourself, or you may hire an experienced operator (though at this stage you might not have enough cash to start with that; next level we can get to hiring your own CEO). The business is likely to have tech-enabled books, some knowledge base of systems and processes, and a second tier of management. When sh*t goes wrong at this stage, it's on you; it is a very hands-on, owner-centric business.

Examples of Level 2 businesses: So many industries can fall into this category. It includes almost every industry on Main Street—contractor/trades (although licensing is potentially an issue), cleaning services, education (preschools), etc. So pick your industry.

THE NUMBERS:

- Cost to acquire: less than \$5 million
- Annual revenue: less than \$3 million
- Total profits: less than \$1 million
- Multiples you can sell it for: 3–5X
- Your annual salary: less than \$750,000
- Number of employees: fewer than 15

- Time commitment: You can likely afford an operator or a manager to run the business alongside you. Either way, someone will need to work full time on this business, but you may not have to run it all yourself.

LEVEL 3: On-Deck Operator

This level is for you if: You're comfortable with the complexities of larger businesses, including managing a team of twenty to fifty people and implementing advanced systems and processes. You have access to capital or the ability to raise capital; you have management experience and the ability to scale a business toward the lower-middle market (LMM) and sell for a higher multiple to private equity firms.

What you can expect: A structured hierarchy with tiered management, consistent growth metrics, streamlined processes, and an operator already inside the business. The owner can certainly be CEO, but it's large enough for that to be optional.

Multiple of profit or EBITDA: [fn1](#) 3–8X

Examples of Level 3 businesses: The characteristics here are not sectors but size of the company.

THE NUMBERS:

- Cost to acquire: less than \$10 million
- Annual revenue: \$3–\$10 million
- Total profits: \$1–\$5 million
- Multiples you can sell it for: 3–8X
- Your annual salary: \$300,000–\$1 million (really depends on your level of CEO)
- Number of employees: 20 to 50
- Time commitment: 10 to 40 hours per week, with a management team handling day-to-day operations

LEVEL 4: Market Leader

This level is for you if: You're ready to take on competition with institutional investors like private equity firms. Likely scenario is

that there's an operator in place but there will certainly be owner-operator opportunities if desired. This is the last level we're recommending that most readers look at. If you go any higher you have serious competition and serious costs. At this level, you have significant capital at your disposal, experience in acquisitions, a deep understanding of operations, and the capability to scale a business. You're not just playing the game; you're leading it.

What you can expect: Established and extensive client bases, mature processes, and a skilled workforce. These are sizable operations that may already have a strong middle-management layer and potentially several layers of staff. You'll be involved in strategic decision-making, overseeing operations, and driving growth.

THE NUMBERS:

- Cost to acquire: less than \$15 million
- Annual revenue: \$5–15 million
- Total profits: \$1–5 million
- Multiples you can sell it for: 5–10X
- Your annual salary: \$600,000–\$2 million
- Number of employees: 25 to 100
- Time commitment: Your involvement could vary widely, from strategic oversight requiring 20 to 30 hours per week to a more engaged role demanding 40-plus hours.

LEVEL 1

MICRO ACQUISITION FOR A
SOLO OPERATOR

GOOD FOR LESS EXPERIENCED
FIRST-TIME BUYER

THE NUMBERS

- COST TO ACQUIRE: <\$1 MILLION
- ANNUAL REVENUE: <\$300,000
- NUMBER OF EMPLOYEES: <3
(POTENTIALLY NONE)

LEVEL 2

TINY ACQUISITION

MORE EXPERIENCED FIRST-
OR SECOND-TIME BUYER

THE NUMBERS

- COST TO ACQUIRE: <\$5 MILLION
- ANNUAL REVENUE: <\$3 MILLION
- NUMBER OF EMPLOYEES: <15

LEVEL 3

VERY SMALL BUSINESS

VSBMID-LEVEL

EXPERIENCED BUYER OR
INVESTOR

THE NUMBERS

- OWNER OPERATED OR OPERATOR RUN
- COST TO ACQUIRE: <\$10 MILLION
- ANNUAL REVENUE: \$3-\$10 MILLION
- NUMBER OF EMPLOYEES: 20 TO 50

LEVEL 4

SMALL-BUSINESS

ACQUISITION

BIG ACQUISITION

VERY EXPERIENCED BUYER,
INSTITUTIONAL LEVEL

THE NUMBERS

- OWNER OPERATED OR OPERATOR RUN
- COST TO ACQUIRE: <\$15 MILLION
- ANNUAL REVENUE: \$5-\$15 MILLION
- NUMBER OF EMPLOYEES: 25 TO 100

LEVEL 5: Corporate Battleground

In this book, we aren't going to play at this level. We'll leave this to Wall Street and their Gucci loafers for now. (Fun sidenote: Gucci loafers in Wall Street speak are called deal sleds. I don't know why, I don't make the rules. Also: nerds.)

Remember, you're not going to be *starting* a company. You're going to be *buying a business*—with as little of your own money as possible and a win-win for you and the owner—earning profits on Day 1. That is the goal with smart structuring. You do not have to be a surveyor to own a surveying business; you just need to find a business where the cash flow is enough for you to hire the right people, including subject matter and industry experts, all while taking home a few Benjamins for yourself.

My Four Favorite Types of Businesses to Buy

Over the years, I've discovered what businesses are right *for me*. That's what we're going to do for you next. While I started my business-buying career at Level 1 with laundromats and deals below \$300K, I now only buy businesses at Level 2 and above. Here are my four favorites:

1. Digital Businesses

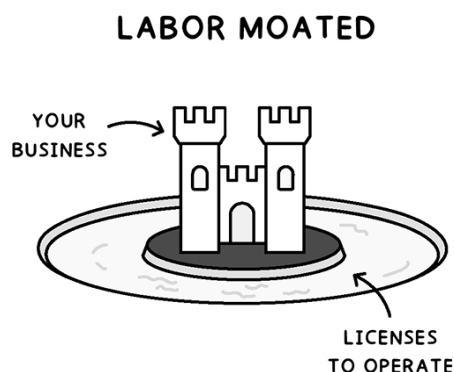
Granted, these are not “boring businesses.” They are also competitive to buy and scale. Still, I love them because of these four words: *Build once, sell forever*. Internet businesses have a near-zero cost for additional users. No other type of business touches that, so huge upside here. Digital businesses are easier to scale and market using search-engine optimization (SEO), content marketing, pay-per-click, and other methods. They typically have better net profit margins because they don't have real estate or hard-asset expenses. On the website Flippa, you can find established profitable websites selling for 1X to 4X net profit. I prefer completely online businesses without physical inventory, but I have friends who have made hundreds of millions with e-commerce as well. Just remember: if you are going to play on the interwebs, do not forget the Lindy effect and the methods you'll learn in this book. Here we buy profitable realities, not start-up dreams.

2. Consumer or Home Services

Consumer services are largely sold to individuals (B2C), as opposed to organizations (B2B). Think roofing, landscaping, pool cleaning, and so on. These are similar to B2B services but can be more volatile. For instance, an established home-cleaning business might have mostly regularly scheduled clients, making the margins more reliable. They're also scalable and easy to finance through the seller or Small Business Administration. I buy these bad boys all day long. The hardest parts are the labor, logistics, and licensing, as well as implementing systems up front.

3. Professional Services or Labor-Moated Businesses

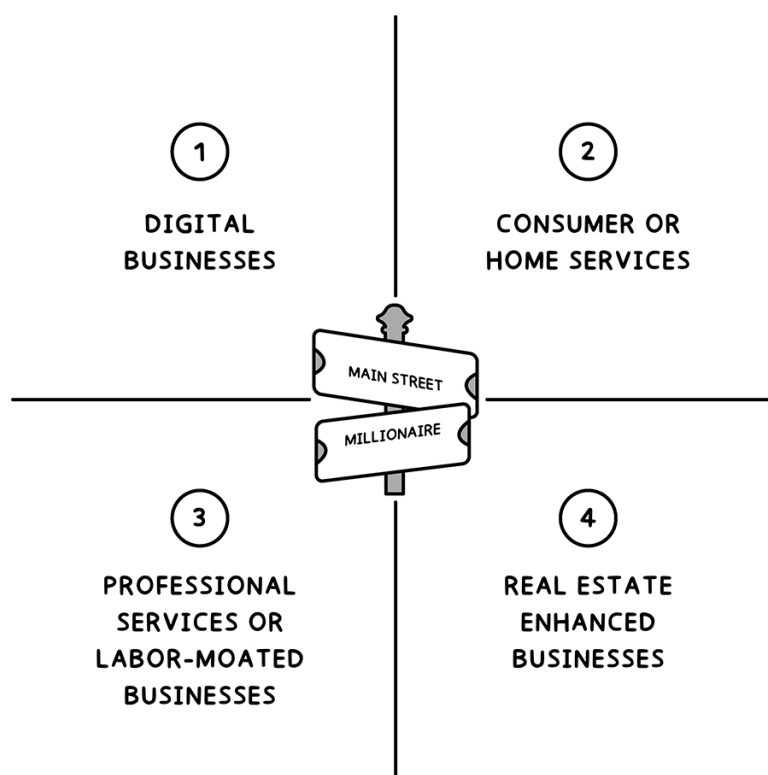
Professional services are businesses that provide services usually accompanied by a unique skill set, certification, training, or specialty. These include accounting, advertising, marketing, and legal services. They are some of my favorite businesses to buy because they have more of a moat around them (you need a CPA to be an accountant; you only need two hands to cut lawns). This is why I call them labor-moated businesses. Your labor needs a license, certification, and registration, which creates a slight moat for others wanting to enter the market. People who provide these services typically charge a premium, have recurring revenue components, and can also sell B2B or B2C. I get all worked up when I think about turning them into a productized professional service.^{[fn2](#)} It makes them easier to sell and manage, but I'll get to how to do that later.



4. Real Estate Enhanced Businesses

Here's my bread and butter. A real estate enhanced business is any business that has a large portion of the acquisition price assigned to the real estate but a cash-flowing component above and beyond

typical real estate. Think the good ole laundromat, car wash, self-storage, mobile-home park, camping site. These straddle the realms of real estate and business, in my opinion. I love adding complementary businesses (aka “satellites”) to these. For instance, owning a mobile-home park plus a property management company, a roofing company, and a landscaping company ... which are all servicing the mobile-home park. Talk dirty to me.



The Seven Deadly Businesses: Avoid These at All Costs

I opened my email to a frantic note from Mary (name changed because that would be rude), one of my business-buying community members. She'd bought her first business, and it was *not* going well. Losing money, partnership imploding, and an incoming lawsuit. All the things that go bump in the night. How did this happen?

To make matters worse: Mary was a new mom with a baby that needed her, and I couldn't see any way out of her losing her \$100,000 on this deal. Mary, oh Mary. She was in the arena, and it was hard. But this all could have been avoided.

Here's what Mary did. She bought a restaurant franchise that was losing money. Strike one. Then she did a fifty-fifty partnership deal with someone she hadn't done business with before. He brought no money to the table, but got all 50 percent of his equity on the very

first day. Strike two. Then, she and her partner hired an inexperienced operator. Strike three. Cherry on top: the business was a three-hour flight from Mary's home.

Dear, sweet Mary, what *the literal F*.

We eventually got Mary out of this deal, thankfully. But even if she'd bought the restaurant and done everything else right, she still would have found herself in a losing situation. Why? Because some businesses are deadly to your money—restaurants being one of them—and you should avoid them at all costs. Yes, you want to find the right business *for you*, but if that business has such a high failure rate that you know you're going to lose, treat it like a land mine. Do not go anywhere near it.

Whenever I buy a boring business, I'm obsessed with one thing: *probabilities*. What is the likelihood that money leaving my hands comes back with more money as friends? That is the only game we play, and those are the only businesses we buy. So let's talk about these rascal businesses that love to murder your money, shall we?

1. Restaurants

I don't care if you're a "foodie," your burgers are legendary, and your buddies all tell you that you should have your own restaurant. Don't do it. Restaurants are for people who simply cannot exist without running one. They ain't for making money. Am I just an a-hole? No, I'm realistic. The numbers don't lie. The average small business in the United States sells for around \$800,000; the average restaurant goes for only \$198,000. Why? Because 60 percent fail in the first year and 80 percent after four years. The restaurant business is one tough slog. I mean, can you imagine wrangling servers all day? Guessing if fickle crowds will eat your three-day-old shrimp? No wonder banks don't lend to restaurants. [fn3](#)

2. Hotels

Hotels aren't businesses. They're real estate with too many parts masquerading as a business. The cash flow typically isn't enough to cover the real estate transaction. If you are dying to own one, do a small version before you go mega. Otherwise: pass. These things are expensive, asset heavy, have massive wear and tear, and often include ... restaurants. They're also one of the few businesses where your customers require your help 24/7. If you are a top top

top-tier operator, you can make a killing. But don't jump into shark-infested waters to start. Pass.

3. Retail Storefronts

It's every lady's dream to start a little boutique with all their favorite things, have friends come in, and sell as many "Live, Laugh, Love" tees as their heart desires. Boutique owning can be a fun *job*—for a bored, very rich housewife who wants to pretend she runs a business. Small problem—her business is awesome at only one thing: burning money. To be fair, it's not just ladies. Many a gent wants to own that store with a bourbon bar and clothes that are "actually cool, man." Nine times out of ten, they are terrible businesses. The future in retail continues to be online, except in high-traffic "experience"-based areas (the types of stores that are focused on creating memorable, interactive experiences for customers rather than just selling products). Just ask the flagship Dillard's, a 200,000-square-foot dark and empty store. If I had to own retail, I'd own luxury, because rich people pay more to solve their problems. But unless you're buying Louis Vuitton or Christian Dior (both of which were massively distressed and had to be turned around through a merger now known as LVMH), hard pass. Here's why:

- **YOU BUY PRODUCT UP FRONT (NO FLOAT).** No float means you have to spend your money up front on inventory. This ties up your cash without a guarantee that the products will sell. The items are shipped to you, and you need to stock them and likely hold them for a season. Leftover inventory? Too bad. Order new fall styles in summer even though you can't sell them for sixty to ninety days? Ouch.
- **YOU PAY HIGH RENT FOR HIGH TRAFFIC.** The cash-flow realities of a high-overhead business model like specialty retail are not to be understated. Most won't ever tell you how much they really make. A lot of these mom-and-pop stores are funded by people with big pockets, as a defective side project, or to bolster a brand's online e-commerce business. You live and die by sales per square foot, but in order to get enough volume, you typically have to pay higher rent.

- **THE FINANCIALS ARE TOUGH.** The high turnover of inventory necessary to keep customers coming back gives me more issues than I'm willing to deal with. What do I stock? When? How do I ensure my lower-pay employees aren't stealing? How come no one will give me a loan to start this business? Those are all fair questions. Your largest problem won't be your gross margin—the percentage you make on each item you buy and then sell—it'll be your net profit, and getting enough volume to handle your fixed costs.

4. Consulting Firms

Consulting firms have one thing more dangerous to a business than almost anything else: key person risk. When the head-honcho consultant with all the relationships leaves, there goes your business right along with him. One of the kisses of death to enjoying running a business is playing the RFP (request for proposal) game, which means your clients get to ask you to do work for them for free up front, to prove you are going to do work well for them later. I'm a pass. Show me the money, then we can talk RFPs. Even at a smaller size, consulting firms tie up too much business capital in individual consultants. This is not a business but a collection of individual jobs. Don't buy jobs. There are a couple of exceptions to the rule:

- Government consulting firms owned by a member of a specialty group. For example, veteran-owned firms are often given preferential treatment if you transfer to another veteran when you sell. These have long-term contracts often with strong margins.
- Having a highly established consulting firm with many levels of management, more than one key consultant, and ideally productized services that are not customizable.

5. Personal Brands

Until AI completely takes over and can deep-fake mimic everything, you can't transition someone's personal brand to yourself. I've seen lots of people try to sell their face-branded YouTube account, social site, or education business (with their face all over it). It doesn't really work. This, too, is a key person risk. Once someone sells their business, they are about as engaged in running it as your cat is in coming when called. Unless you tie the deal to a ton of milestones

and performance-based earn-outs—where part of the payout hinges on hitting future targets—it will be a slog that ends in failure.

If you insist on doing one of these deals, do me a solid: buy the rights to their *likeness* also. A famous(ish) example of this is James Altucher. He sold his newsletter to Agora Financial (for I'd guess eight figures), and they had the right to email for a set period of time. So no one knew the difference between Altucher's newsletter and Agora Financial's. Downside: I would never sell my likeness. Next thing you know, I'd be in your inbox in a bikini asking you to buy crypto. Now you see both sides of the coin.

6. Amazon FBA/Drop-Shipping

Fulfillment by Amazon (FBA) doesn't sound like a bad idea at first glance. You get to leverage Amazon's massive scale and logistics by letting them handle the fulfillment of your orders. All you need to do is set up the product listing pages, then Amazon takes care of the rest. They'll send you the customers via search, they'll handle product storage, shipping, and handling, all while you collect the checks. Heck, you can even pay one of those scammy TikTokers \$10K and they'll set up your store for you!

But here's the dirty truth: the only way people can reliably make money with drop-shipping through Fulfillment by Amazon is to teach others how to do it. Here's why I would never, ever do this type of business:

- **PLATFORM RISK:** Amazon controls everything. The biggest feature is the biggest bug. What happens when Amazon decides your product is a scam because a competitor puts up a bunch of fake reviews? That happens. I know a seller who was doing \$1.5 million in sales, had his account banned for fake negative reviews, and couldn't get it back for ninety days, by which time he'd gone out of business. Another crippling scenario: Amazon gets all your data on how incredible your niche is and duplicates your product with a cheaper version of their own. They instantly become the number-one search result and your sales drop permanently.
- **INSANELY COMPETITIVE:** The barriers to entry to this game are lower than FTX's actual balance-sheet assets. Amazon is flooded with me-too sellers pushing their cheesy knockoffs of popular products. The Chinese, in particular, are remarkably

fast at copycatting products. Their speed is almost as impressive as their indifference to the words “intellectual property.” Chinese sellers outnumber U.S. sellers by a wide margin on Amazon. It’s just a matter of time before they crush you.

- **AMAZON SETS YOUR PRICE:** Amazon uses a bot army to scrape other websites for pricing information. If they see your prices as too high, they may shadow-ban your account, meaning you get deprioritized on the website, which is a sales killer. So if you want to sell higher on your own website or elsewhere, it’s a no. You have to give Amazon your lowest price even though they take a cut. Even if you sell your own branded products on Amazon, it doesn’t mean that you get to set your own prices.

7. Dry Cleaners

What?! Codie loves laundromats and hates dry cleaning businesses? Boy, do I. Dry cleaners appear to be a stable, reliable business. But the truth is different. The chemicals used in dry cleaning are often toxic, and if you’re not up to code, the cleanup costs can be astronomical. It also makes it extremely difficult to find reliable employees who want to stick around.

Rule: Avoid deadly businesses. They typically have some combination of high failure rates, asymmetric risks, high expenses, and low transferability. We don’t want that.

IS IT A DEADLY BUSINESS?



HIGH FAILURE
RATE



ASYMMETRIC
RISK



HIGH EXPENSE



DIFFICULT TO
TRANSFER

Now that you know the seven deadly businesses to avoid, we can move on to the next step in the process. Let's talk about what you want as an owner.

Know Thyself: Defining What You Want from Your Business

The more clarity you get as to who you want to become, the quicker you can start making the choices needed to get you there.

—ROBIN SHARMA, AUTHOR OF *THE MONK WHO SOLD HIS FERRARI*

A goal properly set is halfway reached.

—ZIG ZIGLAR

Have you ever noticed that the clearer you are on what you want, the faster and easier it is to get it? On the flip side, the more vague you are about what you want, the harder it is to stay motivated and

go after it. You can only hit the bull's-eye when you have a clear target. That applies 10X when you're buying a business.

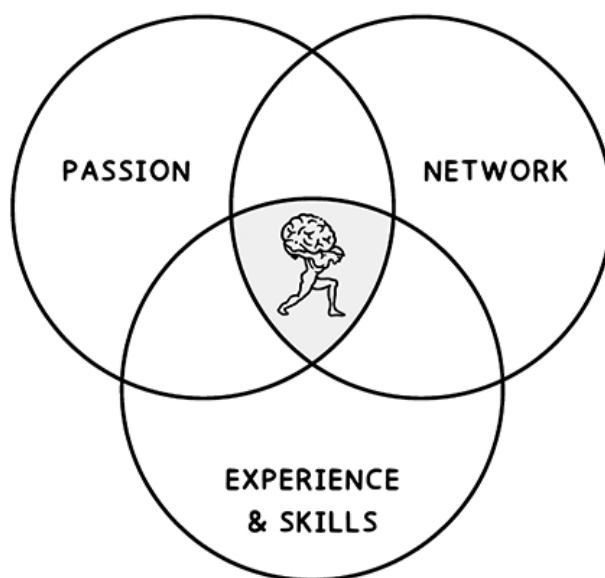
If you want to achieve ninja-level status at this game, you can't just say, "Welp, guess I'll buy a laundromat because Codie did it." No, no, no. You want the right business *for you*. That means you need to be super clear about what you want to get out of your deal, what you bring to the table, and what specific criteria your business needs to meet.

That's what you're going to do now. Grab a pen and paper, because these exercises will help you find the business that fits you like a deliciously worn boot.

STEP 1: Uncover Your Zone of Genius

The first step is to find out what you uniquely bring to the table. To buy the right business for you, you need to be self-aware and have a realistic understanding of your strengths. Most humans do not have this awareness, so I got you. A simple way to achieve this is to draw a Venn diagram, like this one:

YOUR ZONE OF GENIUS IS YOUR BUSINESS LOVE LANGUAGE



Label the circles Passion, Experience and Skills, and Network. Then write the following inside each of those circles:

PASSION. What topics or activities can you engage in for hours without getting bored? Or when was the last time you got so lost in something that time became irrelevant? Do you love solving difficult problems? Can you not shut up about the new copy you wrote for a website? Are you endlessly tinkering on your woodworking project? This is your business love language. List everything you love to do, even if it doesn't seem directly related to business.

EXPERIENCE AND SKILLS. Reflect on what you're good at. These are the tasks that you can do better than most people you know. You don't need to have a PhD; you just have to be better than the average Joe. Consider the skills you have that could translate well into running a business, such as logistics, people management, marketing, or sales. When we talk about skills, it's never just one thing. It's what Scott Adams calls your skill stack, the unique combination of your skills. It's extremely difficult to be in the top 1 percent in any single skill, but being in the top 10 percent? You can do that. And if you can be in the top 10 percent in three or four skills, you now have a world-class skill stack.

Warning: Do not write about your skill or passion for turning horrible situations around. Otherwise you could fool yourself into thinking that you should buy a failing business. Derelict businesses and turnarounds are *really* hard. Only play that game if you know what you're doing, are a sucker for pain, get turned on by lawsuits, and have the capital. You can make millions doing it (check out Cerberus Capital), but for most people, it leads to a miserable life and is generally a very bad idea.

NETWORK. Find your tribe, as the kids say these days. Or in other words, who do you know who could help make your future business a success? These could be people you already know and work with—like colleagues, service providers, mentors, suppliers, or customers—or they could be total strangers who happen to live in your community. Think broadly here. Networks aren't just professional contacts; they can be family, friends, local groups, even online connections. I like to imagine a boardroom table and then think about who would be sitting in each chair. Oh, there's my dad for help with commercial real estate; there's Charlie, who is a master at branding; and I don't want to forget about Lloyd, who

already runs a laundromat, since I want to buy one. Build your board in your mind—they don't even need to know they're on it!

Feeling stuck? Take a look at this example:

- **PASSION:** John loves to build things and help his community. He loves the idea of being the go-to guy, with his team around town, helping locals and seeing his work in the real world. He's passionate about building things that last and making the operations run smoothly. You should see his toolshed—organized to perfection.
- **EXPERIENCE AND SKILLS:** John played with train sets as a kid. If things are on track and on time he's in his happy place. This is called logistics. He is also that guy everyone goes to when they need direction. He has a knack for seeing ways that employees can spend their time doing what they do best. He's great with technology and understands how to leverage online tools to automate processes and be more efficient. Cool, John has a skill stack of logistics, leadership, and tech enablement.
- **NETWORK:** Turns out, John also has a brother-in-law who is a tradesman in plumbing. John has paid him to come fix plumbing issues at his house, and his brother-in-law is always telling him how busy he is. John never thought that was important before, but he has read this book, so now he's getting that tingly feeling. John has always been pushing his brother-in-law to get on a text follow-up system, use a CRM (customer relationship management) tool, and systematize referrals. But a sideline quarterback ain't that helpful. Wait—could John buy a plumbing company with his brother-in-law's expertise, or maybe with him? Let his brother-in-law do the fixing he loves, and John adds tech, processes, and hires employees?

After reviewing his answers in the three circles, running them past his wife and brother-in-law, John decides his Zone of Genius might translate well to running a plumbing company. He writes “Plumbing” in the center of the Venn diagram, and there goes that tingle again. It feels right. Then, because he wants to have a few options, he searches “plumbing-adjacent businesses.” He finds commercial plumbing and residential plumbing. Hmm. He realizes that plumbing companies often offer HVAC services (heating,

ventilation, and air-conditioning). He continues the search and sees that septic tank installation could also be part of his sphere. Ooh, maybe a landscape architecture firm to fix the front yard after he redoes the plumbing! Nice. John now sees that his little niche plumbing business could be a wedge into several satellite businesses.

You're going to carry your Zone of Genius sheet with you as you explore potential business ventures. You'll mentally refer to it during your upcoming discussions with owners, where you'll be better equipped to see what's right for you—and what's not. Half the battle is knowing who you're fighting.

For instance, say you come across a great manufacturing company in your hometown. It's trading at an amazing valuation, the profits are beyond your expectations, and the seller is motivated to keep it in the hands of a local. You think, *Holy sh*t. I should buy this business!* But then you pull out your Zone of Genius sheet, and you're reminded that *Oh yeah, I'm not detail oriented. I'm a big-picture visionary. I like to travel. That's why I'm hardly in my hometown. I'm great at visualizing things, but not at building things. I love online commerce, cryptocurrency, and video advertising across multiple screens.* As you tuck the sheet back in your pocket, you realize, *I would not feel comfortable with a manufacturing company.* Great! You just saved yourself from a potential nightmare!

Let's say it together again: **there is no such thing as a “good business to buy,” there's only the right business *for you*.** The best deal you could ever do is one that feels like it was specifically made for *you*. So, if you're a doctor, you might look for a doctor's office to buy, or a company that sells surgical tools or software for doctor's offices. If you've been a landlord or an apartment-complex manager, you might look to buy property management companies. This isn't rocket science, but it's where most people go sideways.

The goal of this first exercise is to build a tangible connection between your intrinsic qualities and the real-world opportunities that await you. By uncovering your Zone of Genius, you'll be better equipped to find a business that both fulfills you personally and succeeds financially. This is where I am completely different from private equity in how I think about acquisitions. Private equity wants a few things: cash flow, repeatability, scalability, upside potential, resale potential, and recurring revenue. They largely do

not care about “happiness” in their metrics. We are going to layer “not hating your life” into this equation. You’ll thank me later.

FOR EXAMPLE:



DON'T GO INTO MANUFACTURING

STEP 2: Describe Your Ideal Owner Experience

Vision boarding, but for business. That’s basically this step. Describe what you’re hoping to get from this whole game of owning a business. Think of this like writing your online dating profile and describing your ideal partner. You’re not going to write “Open to whatever, good vibes only” and leave it at that. Having low or minimal standards guarantees that you’re gonna have a bad time. Or a GREAT time, but not for a long time (wink). So dig deeper. Start by writing down answers to the following questions:

- What is the one outcome that would make you consider this a win?
- What impact would achieving that result have on your life and your business?
- What might get in your way? How will you overcome that?
- What geographic region do you want the business to be in?
- Which sectors are you most comfortable in? In what sector does your innate ability and experience give you an unfair advantage (i.e., your Zone of Genius)?

- Where can you add the most value to the business?
- What would you need to learn to make this leap?
- How big will the business need to be? (Revenue and profit—aka show me the money)
- Based on your goals, knowledge, and skill set, which businesses appeal most to you?
- Are you after one business or many?
- How much do you want to work in the business?

Knowing the type of experience you want will help you start to notice the right business opportunities for you, the future owner. Do yourself a solid—pause here, write these down. Next, you'll get clear on the numbers.

STEP 3: Define Your Deal Box

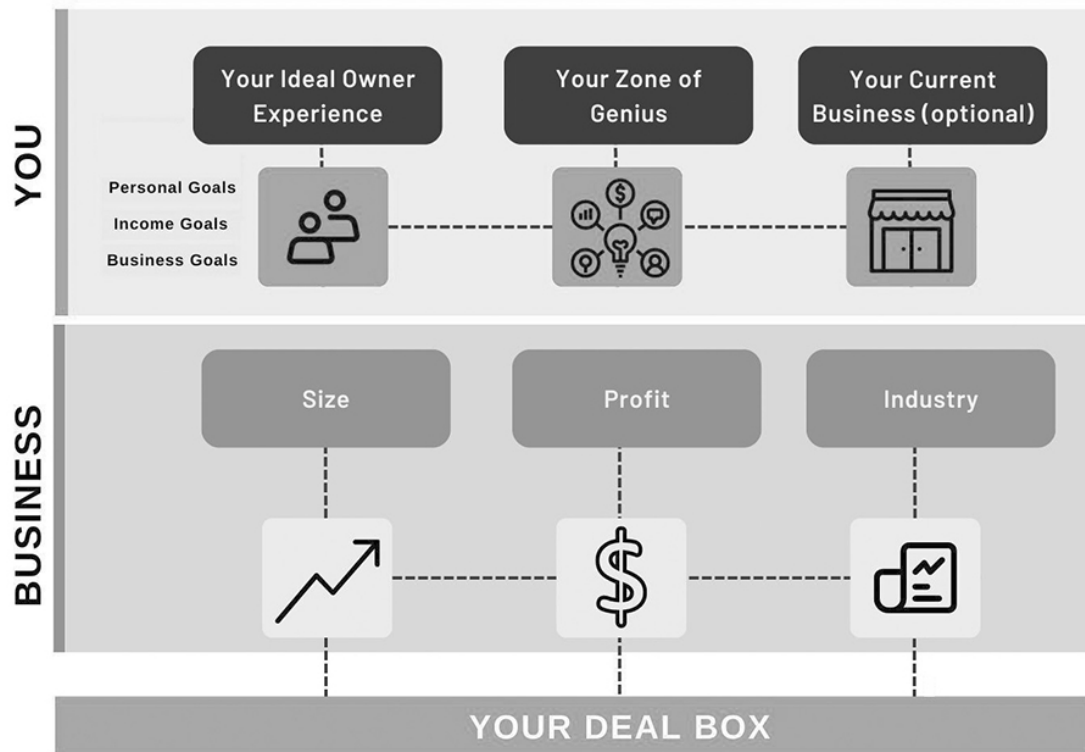
The final step is to create your Deal Box. This is where you'll really drill down into the specific criteria you need, so you can tell people exactly what you are looking to buy.

Think of this part like buying a house. When you open up the Zillow app, you're greeted with every single option in your market. Thousands and thousands of homes for sale. It's impossible to sort through, leading to what I lovingly call "mental masturbation," until you turn on the filters:

- Three bed, three bath
- Fifteen minutes from downtown
- Built after 2015
- Pool in the backyard
- Chicken coop (just me?)

Those filters slim down the thousands of homes for sale in your area to a few dozen options. Jackpot. It is the same for businesses. You have to define your filters, and go narrow to win.

The Contrarian Deal Clarity Framework



With your Deal Box, you'll establish the specific criteria that make sense for you. Can I just tell you ... I wasted countless hours without this thing. I looked at every Tom, Dick, and Harry business that came across my desk. Steal my ten thousand hours, I beg you. Here are the keys to the castle:

- Valuation
- Asking price
- Revenue range
- Profit range
- Margin
- The sector of business you want
- The type of seller you're looking for
- Geographic region
- Scale (Will it be one business or many?)
- Owner or operator (Do you want to be full time, part time, or little time?)

- Multiple of profit you are going to buy your business at
- Money down you're comfortable with

BIG NOTE: This deal criteria is great for a stand-alone business. Later we will talk about additional considerations for your deal thesis if you want to grow through acquisitions and you're buying for synergies. We'll go over platforms, add-ons, and the like, as there are additional steps in deal clarity when you're integrating businesses for synergies. I remember when I owned a business and first learned how important it is to smoothly integrate new acquisitions and make sure everything works together, I wondered, *Why didn't anyone else mention this to me?* Don't worry, current business owners, I got you.

Steal my homework. You can use our Deal Clarity Worksheet and Deal Box:

DEAL CLARITY WORKSHEET

TARGET INCOME

YOUR SALARY + OPERATOR SALARY

DEBT SERVICE

TARGET INCOME $\times$ 0.25

TOTAL TARGET CASH FLOW

TARGET INCOME + DEBT SERVICE

ASKING PRICE RANGE

TARGET CASH FLOW $\times$ 2 = LIKELY MINIMUM

TARGET CASH FLOW $\times$ 4 = LIKELY MAXIMUM

DEAL BOX: LOCK IN YOUR WANTS					
Purchase Price and Cash-Flow Requirements	Description	My Deal Box	Business A	Business B	Business C
Ideal Annual Income	This is how much cash (your income) you'd like to make from the deal.	\$250,000			
Minimum Annual Income	This is the minimum cash flow (your income) you'd have to make to move forward on a deal.	\$120,000			
Operator Salary	This is what you'd have to pay the operator, if you choose to have one.	\$100,000			
Target Business Cash Flow	This is the minimum business cash flow you'd need in order to meet your minimum annual cash flow + the cash flow required to pay your operator's salary.	\$220,000			
Debt Service Cost	If you are going to use financing, this is the potential cost of your debt service.	\$30,000			
Total Cash Flow Needed	This is the cash flow you must have from the business in order to meet your income goals, pay your operator's salary, and pay for any debt service.	\$250,000			
Minimum Purchase Price	This is the minimum price you'd likely pay for your business using a 2X multiple. Do not obsess over this number; this is negotiable and cash flow is most important.	\$500,000			
Maximum Purchase Price	This is the maximum price you'd likely pay for your business using a 4X multiple. Again, do not fixate on this number; cash flow is most important.	\$1,000,000			

[VIEW FULL DESCRIPTION](#)

Here's the BEAUTIFUL part. Now when people ask me what kind of business I'm looking to buy, I don't waste my time or theirs. I can tell them exactly what's in my Deal Box:

- Revenue of \$1 million to \$20 million. (Anything over \$20 million puts me in competition with private equity firms. No thanks.)
- Profit margin of 30 to 50 percent and a history of annual profits. (I'm not looking for a fixer-upper.)
- A simple business using a straightforward business model. I prefer digital businesses, professional or home service-based businesses, and real estate enhanced businesses that I can scale.
- I'm looking for a motivated seller—not someone solely interested in cashing out at the highest price possible.
- I want to be the *owner*, not the operator. I'll either hire an operator or hire the seller to run the business. (Sidenote: I never do a deal if I don't have the operator first anymore.)
- I need it to make AT LEAST \$300,000 to \$350,000 in profit because I want to take home a salary of \$120,000, I want to pay my operator \$100,000, and I want to have a financial cushion.

Now, my Deal Box is relatively wide. If you're just getting started, keep it narrow. For instance: You have experience in the cleaning industry, so you're looking for a cleaning business in your hometown of Austin, Texas. Keep it stupid simple. You want simple “boring” businesses that are easy to understand, with a documented history of profitability. You don't want to acquire a human genome mapping company or an artificial intelligence lab. More on this later, aka how to not royally F up your first acquisition. Because that sucks.

Armed with these three categories—your Zone of Genius, Ideal Owner Experience, and Deal Box—you have successfully **defined what you want**. Congratulations, you are no longer a walking question mark. You can now start my favorite part of the process.

Brainstorming Your Boring Businesses

This is the fun part. It's time to brainstorm all the potential businesses you might want to buy. This is where you let your imagination roam free—list every boring business that ignites a spark of interest and could be a potential fit with your Zone of Genius, Ideal Owner Experience, and Deal Box.

Jot them all down, no matter how far-fetched some may seem. Scribble down anything that comes to mind. A niche bookstore? A bubbling car wash? An online store? Write them all down. No judgments, just write, until you have at least ten options in front of you.

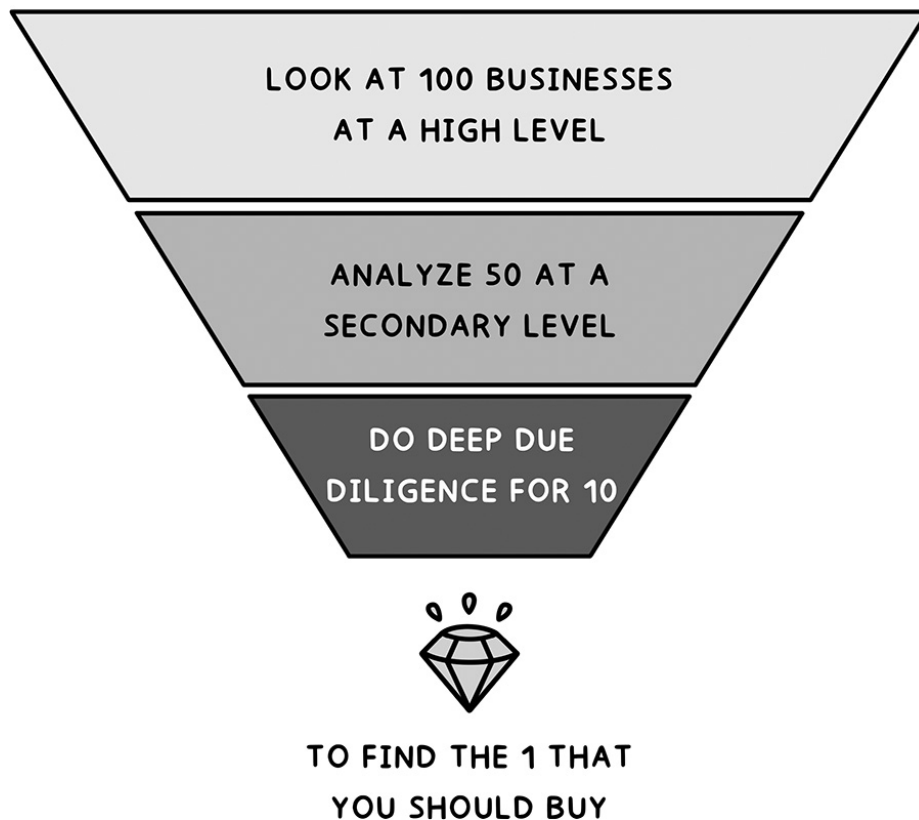
In your search for the right business, it's common to sift through a TON of options. My recommendation is the **100-50-10 to 1 rule**. Look at 100 businesses at a high level for every one you buy; analyze 50 at a secondary level (request financials, do a nondisclosure agreement [NDA], look under the hood); do deep due diligence on 10 (send a letter of intent [LOI], review the private placement memorandum [PPM], do a formal due diligence process). Did you marry the first girl you met? Probs not. You went on dozens or hundreds of dates before you put a ring on one. Same for mergers and acquisitions (M&A).

In our community of a thousand-plus business buyers, the average buyer reviews thirty-plus deals and starts with a Deal Box that includes twenty-plus companies. You might need to explore as few as ten businesses or upward of a hundred before you find the one that's right for you.

Don't view this as a daunting task but rather as part of an exciting journey. Or as Warren Buffett said, "No matter how great the talent or efforts, some things just take time. You can't produce a baby in one month by getting nine women pregnant."

It's the essential step to avoid careening toward a business divorce. Because the best way to determine if a business is a good deal or a bad deal is by comparing it to *other deals*. A very rich mentor of mine at Goldman Sachs said, "Nothing is ever good or bad except by comparison." He was right.

100-50-10 TO 1 RULE



Once you have your list of potential businesses, it's time for your crash course in dealmaking. That brings us to the next step, where you're going to do what most won't in the age of the internet: shake hands and meet people in real life. Shocking, I know.

MOTIVATED SELLERS: HOW TO FIND BUSINESSES FOR SALE

Your Quest to Find a Motivated Seller, aka Find Your "Carl"

Carl put the key in the lock, flipped on the lights, opened the doors, and put out his OPEN sign. He'd done it just like this for the last twenty-five years. It was another Tuesday. But today, the key wouldn't turn as fast, the sign felt a little heavier, and the door harder to open.

Carl had run this coffee shop in his small town for his whole adult life. It had put his kids through college. It had sent them on vacations. It had even bought them two houses. He knew the names of his customers and usually got their "I'll have my regular" right.

But thousands and thousands of coffees later, the smell wasn't quite as sweet. So many years ago, when he'd put up the ROASTER & SONS sign, he believed his kids would carry on the mantle. But they'd replaced their aprons with suits and ties. Of course, Carl was proud of them, but there was one rather large problem. Despite the money he made each year and the profits he stacked, if he had to look at one more F-ing cup of coffee, he might have to take a baseball bat to it.

This, my friends, is often why owners are ready to sell their businesses. You need to find your Carl.

The Secret Seller Phenomenon

I stood in a conference hall in Austin, Texas. It was my third presentation that month to business owners. Whenever I talk about buying businesses, the usual trumpeted response is something along the lines of "What kind of idiot sells their profitable businesses at zero dollars down?" And if the audience is online, it's a bit less subtle: "YOU'RE A LIAR." Fun times.

Then, because the internet is a real garden party, they like to call me names and tell me my deals are fake. *Sigh*. I wish people would listen more carefully to how buying small businesses *helps both sides* of the transaction. But as my father likes to say, "You can lead a horse to water, but you can't make it drink." Or another personal favorite, "Never wrestle with a pig because you both get dirty ... but the pig likes it." Save that one for later.

So, before the disbelievers sounded off, I decided to use a little parlor trick. I asked the audience a few questions:

How many business owners in this room are over forty?

About a hundred people raised their hands. Half of the audience.

Okay, how many of you are actively trying to sell your companies?

All the hands go down, except three or four raised tentatively.

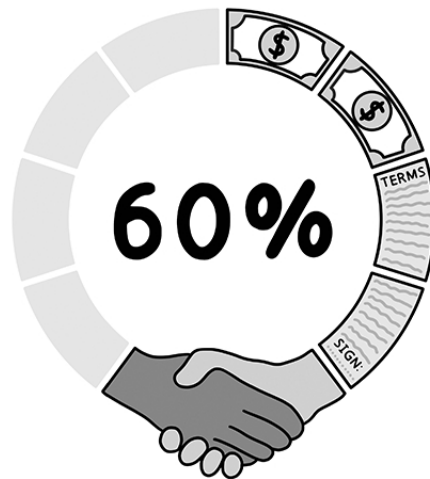
Now ... how many of you would sell if the right offer came along?

More than one hundred hands shot right back up again. Roughly 60 percent of the room. Here's the secret: I have done this in hundreds of rooms, in hundreds of cities across this beautiful country of ours. The reaction is the same. Every. Damn. Time.

I call this the **Secret Seller Phenomenon**. At any given time, more than 60 percent of all business owners would consider selling for the right price, the right terms, to the right person.

Thank God for the trolls. They leave more deals for us.

SECRET SELLER PHENOMENON



Somewhere out there right now in your city—in the industry you want and in the size of business you need—there is an owner waiting for you. There’s a Goldilocks soup that is just your temperature. I can pretty much guarantee it.

Imagine for a moment that you spent decades building a business. You’ve missed your kids’ soccer practices to close deals. You’ve served and employed hundreds of people. Then you turn sixty-five and you’re told it’s time to play bingo and canasta. You go from an “owner” to a “retiree” in a flash. Emotionally, that can be tough. We humans prosper on purpose. Losing it can be a hard pill to swallow.

Then again, if you’ve ever run a business, holy hell do you know the misery in it. Payroll is due every Friday. Employees quit on Christmas Eve. Vendors steal from you. Entrepreneurship can feel like a game best played by masochists, drunks, and the deranged. Including yours truly.

Many boomer business owners keep going because they haven’t saved enough for a comfortable retirement. Forty-five percent of boomers have no retirement savings at all, and even those who do find they haven’t saved enough. Getting old is surprisingly expensive.

That’s why sellers, in fact, are all around. They just need to meet the right person—someone who will respect the business and its customers, take care of its employees, and maintain the reputation the owner has established. And, ya know, pay them the right price.

Baby boomer business owners are ready for their next adventure. They're ready to retire and sip mai tais on a \$249 cruise ship special. Most are motivated to sell for that reason alone, but one in five is simply burned out. One in ten is sick. Most have no successors and no transition plan. They plan to just keep working till, well, they can't.

We call these the **Seven Ds** of why sellers sell:

- Death
- Divorce
- Disease
- Distress
- Dullness
- Departure
- Disagreement

These are your windows to cash flow on Day 1. After all, when you are sick, tired, and ready to retire, an offer to buy your business sounds pretty sweet.

How do you spot these hidden sellers, who quietly dream of offloading their business to someone like you? As a matter of fact, we have a checklist right here for you to follow your way to Carl.

THE SELLER FINANCING AVATAR CHECKLIST		
No.	Feature	✓
1	10+ years since the business was founded	
2	Under \$1 million in profit	
3	Little competition—no one else is competing to buy the biz	
4	Brick and mortar (not online)—or highly commoditized online	
5	5+ years since the owner's been in charge	
6	Lack of successor	
7	Owner is near retirement age	
8	Business isn't applicable for bank loans	

THE SELLER FINANCING AVATAR CHECKLIST		
No.	Feature	✓
9	Priced too high for its balance sheet	
10	Business without clean financials	
11	Business without set leadership team	
12	Distressed business	
13	Asset sale	
14	Established relationship with seller	
15	Owner wants the cash flow versus lump sum OR wants larger exit number over longer time frame	
16	Owner has other sources of income outside of the business	

Which leads to another common question I get:

How do I find these mythical owners who might be open to selling?

My answer: the cash goes to the door knockers, not the mouse clickers.

“But Can’t I Do This on the Internet?”

Buying a business is not like buying a house, where you spend most of your time perusing properties on your laptop. While 90 percent of homes are sold through online advertising, only about 20 percent of businesses are. That means despite the growth and popularity of business-selling websites—like bizbuysell.com, loopnet.com, flippa.com, and acquire.com—they are not always the best places to find a good business to buy.^{[fn4](#)}

Most business owners are, let’s be honest, old. My dad sure as hell is not on Slack or inputting his valuation and uploading his financials onto an online platform. Also, they don’t want their employees to know they want to sell. They don’t want their customers to know. They don’t want to advertise it online because they don’t have time to field hundreds of calls from lookie-loos. They are too busy working. In fact, the idea of selling may not ever have occurred to them until you bring it up. This will change in the future as businesses come online, but for now ... we go off market.

That means knocking on doors and flapping your lips. Asking around, consulting lawyers, accountants, real estate agents, chambers of commerce, and small-business incubators, and by popping into the companies themselves to shake hands and kiss babies.

What do you need to know before you go door-knocking? Keep in mind a few things:

- 78 percent of small-business owners are male.
- 55 percent are generational entrepreneurs; they grew up in small businesses. Sometimes they inherited the business.
- 58 percent have owned a previous business.

What this tells us is that there is often an emotional component to the sale. The business may have been in one family for a generation or more. The owners may not be as interested in money as they are in their legacy, their family name. Again, they want the business to go to the right person—someone who will respect and take care of their employees and customers and maintain the quality the business is known for. Developing a relationship with them and convincing them you will do those things is crucial. That's very hard to do through email.

Also—don't be a *millennial-splainer*. Don't tell them all the reasons you will run their business better than them. Don't come in hot with the "facts" on what their business is worth. Don't talk about the new tech and your superiority due to your financial wizardry. Your mantra is going to be shut up and listen. We'll get into more detail on that later, but the difference in how you start the convo versus how every private equity company does will mean millions of dollars for you, not them.

Jake and the Walking Billboard Strategy

"Codie, are you ready to tell me how much you love me?" Jake, one of my operators shouted excitedly at me into the phone.

"Jake, it's six a.m. in Texas. You had better have a good reason for calling me," I say back, because pre-coffee Codie is not pleasant.

"I have the perfect company for you to buy!" Again with the shouting. I'm annoyed just reminiscing about it. But to his credit, Jake had just found us a business to buy where he knew the seller

(less risk); the seller was ready to retire (motivated); this was just one of his many businesses (open); he was willing to stay on, sell the business to us for 2.5X profits (average online biz trades at 5–10X), and defer 30 percent of the purchase price in seller financing^{fn5} (a Carl); AND it was an online business we already used as a vendor (my Deal Box). Jake is already one of the most excitable, gregarious humans I know. But then you give him a deal and he might as well be a kid in a Toys“R”Us with someone else’s Amex. He’s a vibe.

He was also right. We ended up buying a small online business for a cheap valuation, deferring some of the payment and integrating it into our other online businesses. The kicker? It all started with a handshake. Because that is the secret to deals; they are all around, and they look just as ordinary and unassuming as your dad. The seller of the company got introduced to Jake by his son, they had gone to school together. But turns out the son has no interest in taking over after dear old Dad. So we get to win, and his dad gets a nice, long, paid-for vacation to Southeast Asia.

What was the key? Jake uses a method I taught him that is so painfully obvious, yet never utilized, as to be comical. It’s what I call the *Walking Billboard Strategy*.

- Every time you meet someone, tell them you buy businesses.
- Every time you walk into a small business, compliment them on the biz and ask if they own the place.

Telling them you buy goes like this:

Hey, I’m Codie. I buy small businesses from owners in Austin that do less than \$10 million in revenue and are in professional services—think accounting, marketing, et cetera—but are ready for an exit and some cash flow.

Talking to owners goes like this:

Hey, I love this place! Do you own it? Cool!! I love meeting owners because I actually buy small businesses like this ... if you’ve ever thought about selling at the right terms, obviously. Love to stay in touch.

There are only two inputs: (1) the number of owners you meet, and (2) the number of people who know you buy businesses. Increase either of those (ideally both) and you will eventually have so many potential deals it'll startle you. People overcomplicate growing their deal database. If you remember nothing else from this book, remember the Walking Billboard Strategy and you'll go far.

But let's say you want to go even deeper ...

Seven Ways to Find Motivated Sellers

I'm going to give you my top seven ways to find motivated sellers who want to sell even if they don't know it yet. But before you jump in, I must warn you, please don't do these all at once. Pick one that will work for you or in the area you live. Don't bounce from strategy to strategy looking for the next shiny thing. Focus, people!

1. ASK THE 4A CLUB. That's your accountant, attorney, agent (real estate), and adviser (financial). Call or email them and ask if they know anyone selling a business that's in your wheelhouse. Then ask your friends for the contact info for *their* accountants, attorneys, agents, and advisers. Rinse and repeat each month with check-in emails. "Hey, Alan the accountant, just wanted to ping you because I am still buying businesses :) If anyone comes to mind I'd love to pay you a sourcing fee for any deals you send my way. Thanks!"

2. ASK BUSINESS OWNERS YOU KNOW. Fellow business owners are a great source for potential deals. Start with warm leads (people who are your friends) and end with cold leads (local owners you've purchased from before). Use the biz-buying script above.

3. FIND INTERMEDIARIES. Intermediaries like bankers, business brokers, and mergers-and-acquisition advisers are greater sources for leads. My Contrarian Community member, Ryan, recently wrote on Facebook: "I'm looking for a business broker. Who have you worked with that is a 10/10?" Some of Ryan's friends replied that they didn't know what a business broker was, but three times as many had names and contact info of not just business brokers but SELLERS.

4. JOIN YOUR LOCAL CHAMBER OF COMMERCE
(uschamber.com/co/chambers). These people are literally

steeped in local boring businesses. It's all they talk about. Spoiler: the meetings may make you want to gouge your eyes out These ain't ragers. But they are full of your target avatar nibbling shrimp cocktail and drinking house wine. Get to know these folks and tell them you're looking into buying businesses.

5. VISIT SMALL-BUSINESS DEVELOPMENT CENTERS ([sba.gov](https://www.sba.gov)).

These are cobweb-filled gold mines of free resources, and they are all over the place. Oregon, for instance, has twenty regional centers and twenty-six satellite offices throughout the state. SBDCs offer training, market research, and planning. Their Capital Access team will help you find financing, and their succession-planning advisers provide confidential help to owners thinking about retiring.

6. SCAN YOUR SERVICE PROVIDERS. Pull together all your credit card and bank statements and transactions from the past couple of years into a spreadsheet. Delete the transactions from the big corporations like Amazon, Target, Costco, Home Depot, Walmart, and so forth. Focus on the small companies you paid recently. Maybe there is a landscaper you've used a few times, a plumber, a building contractor, or an accountant. Do any of these companies have a seller type that fits your Deal Box? Hint: you likely are already working with someone who is exactly the person you want to buy out. More on this in the Venmo Challenge.

7. FOLLOW UP EVERY FORTY-FIVE DAYS. Ask for permission to keep them updated, and then put a reminder in your calendar for a quick update every forty-five days. That's enough to stay top of mind without becoming a pest. For instance, a member of our community buys insurance companies. He once made a multimillion-dollar deal with an agent he'd first contacted eight years before. They'd kept in touch because my friend used a customer relationship management system and committed to checking in with his contacts every two or three months. He's been calling some of them for years. Being proactive this way is how you create deal flow. Over time, you can weed out the individuals who aren't helping and get it down to a smaller group of five to ten people who consistently give you some

actionable intel. Only rule? Don't be a taker. Buy 'em a coffee, send 'em a cool relevant article, go wild and text 'em a meme.

Visualize this: Your whole life you've been going to a weight-lifting gym. The only other people in there with you are muscle-bound dudes and chicks who could beat you up. So you think that it's really hard to find feminine single women who are into fitness. Then I take you to my hot yoga class. The room is full of beautiful, fit women and you are the only dude in sight. Perspective.

There are far more motivated sellers than meet the eye online. Yes, they want to be freed from the obligation of running their business, but it's usually much more than that. As the buyer, you are carrying on their legacy. You're helping employees keep their jobs. You're continuing their relationships with the customers. Most important, you're giving the owner a stream of income to help them ease into retirement. You just have to find your proverbial yoga class.

Once you have a list of potential targets, you'll hit the pavement and investigate further to see if they are YOUR Carl. Ideally, you'll physically go into their businesses and chat with them when they're not busy. If you can't do that, give them a call or shoot them an email to see if they're open to the discussion. The bottom line is this: **you will have to put in some face time and build real relationships with owners in order for this to work.**

Below I'll give you some key questions to ask, but take it easy. This is not the Spanish Inquisition. You have to warm up to them, and they'll need to warm up to you. As the conversation unfolds, gently weave in some of these questions:

- How did you get started in the business?
- What inspired you to choose this line of work?
- What were you doing before this?
- What do you love about being in this industry?
- What's your favorite part of running this business?
- If you had it all to do over again, what would you do differently?
- What's the toughest part of being in the business?

- What is the most important thing for your customers to know about you?
- What's a typical day like?
- Have you considered selling the business? How come?
- What are you hoping to do next?
- What is most important to you— Your legacy? Your employees? Your customers? Your sales price? Your reputation?

Keep in mind that the seller may be just as interested in *your* motivations and capabilities. So, be clear about them going in (that's why you did those exercises earlier). If the owner asks why you're interested in buying their pride and joy, have a good answer ready.

Be honest, of course, and while there's no need for flattery, it's not going to hurt your position to say you admire what they've built. The most underrated part of getting to know owners is actually getting them to like you. Who do we like? People like us. People who like the same things we like. Owners want to sell to someone who actually likes the thing they do for a living. Common sense, but not common practice.

Learning the owner's true motivations may take some time. Their motivations are often nuanced, and it's unlikely the seller will spell them all out for you. You may have to tease them out, and that will require some subtlety, emotional intelligence, and time. You may need several conversations getting to know the seller and building trust first. We'll dig deeper into that in the negotiations segment.

Knowing your skills, passion, and level of expertise is valuable to you, but it's crucial to selling your acquisition bid to the seller. Remember, these are small businesses, the product of someone's blood, sweat, and tears, and most sellers want to know their offspring is going to a good family. When you're a great fit to take over a company, the seller is more willing to negotiate or give you equity for your skills.

The best predictor of future behavior is past behavior. The seller is going to be interested in your work history. Tell them how you've won, examples of how you've leveraged your strengths, and times when you failed but learned valuable lessons that paid off later. This

isn't a job interview (so please do not bring a PowerPoint), but, in a non-braggy way, mention relevant accomplishments that prove you have an upward trajectory. Forget about ticking off all the duties you performed. Nobody cares. How did you *win*?

The Venmo Challenge: Become an Owner in 30 Minutes

I know what you're thinking:

This process is going to take forever! Is there any way to speed this up?

So glad you asked. In this section, I'm going to show you my method for quickly securing partial ownership of a cash-flowing Level 1 or Level 2 business—for zero dollars—with a few conversations. I know, it sounds ridiculous. Except it works. It's called the Venmo Challenge. Here's how to steal my homework.

STEP 1: OPEN UP YOUR VENMO ACCOUNT. You're going to look at where you are consistently spending cash with small businesses and service providers. For me, I quickly see that I'm regularly paying money to my:

- Cleaning lady
- Property manager
- Handyman

Before you proceed, check in with yourself and your desire to own a portion of their businesses. Do you actually want to help your cleaning lady grow her business? If yes, proceed.

STEP 2: TALLY UP YOUR MONTHLY EXPENSES FOR THEIR SERVICES. For me:

- Cleaning lady: \$2,000 a month ('cause I'm a dirty girl)
- Property manager: \$6,500 a month
- Handyman: \$500 a month

STEP 3: ESTIMATE THEIR ANNUAL REVENUE. After doing some research, I get a feel for how many customers their businesses are likely serving throughout the year and come up with my estimates for their revenue:

- Cleaning lady: \$90,000 per year
- Property manager: \$350,000 per year
- Handyman's company: \$800,000 per year

STEP 4: LIST WAYS YOU CAN ADD VALUE TO THEIR BUSINESSES.

At this point, you might still be wondering, “Why would a small-time business owner give me a cut of their business? Won’t they just want to keep all that money to themselves?” This is where you need to make sure you understand their desires. Desires usually fall into three buckets:

1. They want to make more money.
2. They want to do less stuff.
3. They want to do the things they do smarter.

If you can help them do any of those things, you can provide real value. Now, remember your Zone of Genius? Well, mine is marketing. I notice my cleaning lady doesn’t have a website, a logo, or even a name for her company. She doesn’t market her services online at all—zero social media. Then I see the property manager and handyman have some of these problems too. It’s clear I can add value by helping them market their businesses.

STEP 5: HAVE A CONVERSATION WITH THEM ABOUT THEIR BUSINESS. Now I’m going to give you an example of how you can speak with an owner about their business. Let’s start with my cleaning lady, who I’ll call Jane.

CODIE:	Jane, we’ve never really talked about your cleaning business before. And I was curious, do you clean a lot of other people’s houses?
JANE:	Yes, I do.
CODIE:	Of course you do, cool. And do you have any other employees?
JANE:	Nope, it’s just me.

CODIE: Very cool. The reason I ask is because I sometimes invest in small businesses and help them grow. And what that usually looks like is helping them with marketing so they can bring in more clients and make more revenue. I was looking online, and I couldn't find your website or social media.

JANE: I don't have those things. I just get referrals.

CODIE: Okay, cool. Are you looking to grow your business at all, or not so much?

JANE: Hmm, I've thought about it. But right now, I'm pretty much at capacity.

CODIE: Well, what I do is help business owners like you so they can grow their business. We make sure they can handle more business first, of course. But in exchange, I take a distribution—a part of the total sales they do each month. You do great work, I love your services, and if you want to keep growing, I'd love to help you. Would you be interested in doing that together?

JANE: Hmm ... I think so, yes. That could work.

CODIE: I know this is kind of a personal question, but how much money do you make in this business each year? What's the total annual revenue? (*Note: I am always shocked how many people tell me this!*)

JANE: Well, I made about \$90,000 last year.

CODIE: Wow, congratulations! All right, let's write down some numbers and see how many clients you have right now, and what your capacity is to take on more clients. And if it's something you want, we can talk about how it might look if I help you grow your business.

STEP 6: DO THE MATH FOR HOW MUCH YOU CAN GROW THEIR BUSINESS. Jane charges an average of \$300 per cleaning, and she does about three hundred cleanings per year.

CODIE: If we can increase your number of cleanings to five hundred per year, and you raise your prices to \$400 per cleaning, you'll be making \$200,000. Does that sound doable to you?

JANE: Hmm. It could be possible.

CODIE: Okay, let's see how many new people I'd need to refer to get you there. Doing the math, it looks like I'd have to send you four more clients a week. If I come up with a process to send you four more paying clients a week, would that work for you?

JANE: Well ... I suppose I could hire someone to help me. Yes, I could make it work.

CODIE: Perfect. So, why don't we do this: You keep all the revenue on your first \$90,000 that you're already going to make this year. That's all yours, I get none of it. And then any money that you make over \$90,000, I'll get 25 percent of that. So what that means is, if I help you grow this year's revenue to \$190,000—that's an additional \$100,000 that you're not making right now—I keep 25 percent of that. So you get an additional \$75,000 and I keep \$25,000 for the year, or roughly \$2,083 per month. Again, this is only from the additional revenue you're making from the clients I bring you—the ones you wouldn't have gotten otherwise. Does that sound fair to you?

JANE: That sounds fair. How will we do it?

CODIE: Well, I'd set up your marketing systems first, at no cost to you. Then, once they start bringing in more clients, you'd pay me once a month. The only thing I'd ask is to be able to look at your payments. I could look at your Venmo, or better yet, I'll come up with a payment system to automate everything so you never have to chase people's money down again. Sound good to you?

JANE: Let's do it.

Did reading that exchange make you feel uncomfortable? Think I'm taking advantage of my cleaning lady? Time to examine your beliefs around money. This is what's known as a sweat equity deal, or a distributing equity deal. Consultants do it all the time. It's a win-win for Jane because I'm building her marketing systems, bringing her clients, and giving her a raise of \$75,000 *per year*. She's not going to make that money without my help. And it's a win-win for me because I'm not spending any money up front to get a 25 percent cut of her ongoing sales.

I've personally used this method to get paid between \$8,000 to \$15,000 per month from a podcast editing company. In that case, the owner of the business hated sales and finding new clients, who were

each worth \$3,000 per month. I referred a ton of my friends and followers to his business, and in turn he sent me a monthly check. These days, we do this with businesses that make millions. It's all the same game, just different levels.

That's the Venmo Challenge. You don't have to put down a bunch of cash, and you don't put yourself at risk of going bankrupt. Just a nice exchange of profits for value. Now go forth and have those conversations with your favorite service providers. Who knows. It could earn you a nice monthly paycheck for the rest of the year.

Step 1	Step 2	Step 3	Step 4	Step 5
Venmo Spend Pull up your Venmo history for the last two months.	List All List all the people you pay, how much, and what they do.	Desire to Own Ask yourself whether you'd want to own part of their business.	Owner Convo Have your first convo with them: Are they interested in growth, increasing profits?	Offer Interpret the results and write your conclusion.

EVALUATION ESSENTIALS: ASSESSING YOUR BORING BUSINESS

Miss Nevada's Mailbox Master Class

Lisa Song Sutton has a whole vibe. She's a five-foot-two bundle of pure Korean immigrant hustle who refuses to wear anything but red-bottom heels. She's a friend who taught me more than a few things about finding reliable, replicable, cash-flowing small businesses. In the town of glitter, gold, and gyrating neon, Lisa found cash flow in a corner of Sin City that few gamblers ever experience: the mail.

I met Lisa at a small-business conference. Let's set the scene: I showed up in my usual work boots, jeans, suit jacket coat, and attitude. Lisa did not get the same assignment. She showed up in a Hervé Léger (read: skintight) dress and six-inch stilettos clacking with each stride. *Very Vegas*, I thought. *She looks like Miss Nevada*. Shocker, later I learned she was.

As a recently reformed private equity finance try-hard, I doubted there was much I would learn from my fellow presenter. Turns out, I am a judgmental idiot.

Dolly Parton has a line I've come to love: "You know, I look like a woman but I think like a man. And in this world of business, that has helped me a lot. Because by the time they think that I don't know what's goin' on, I then got the money, and gone." Dolly, you minx.

Turns out that Lisa's got a little Dolly in her. She worked as a real estate attorney and owned a slew of businesses. She's got a real estate franchise, a bunch of multifamily and single-family homes, Sin City Cupcakes (alcohol plus cupcakes), and Liquid & Lace, a swimsuit line. But my favorite business of hers has none of her glitz on it.

Here's what happened: in 2021, she was looking to invest in something that cash-flowed in any market. Think about it. When the economy goes down, I'd hazard a gamble that Don Julio 1942 Margarita cupcakes—one of Lisa's Sin City flavors—take a back seat. Same goes for Lisa's other ventures, real estate and swimwear.

The question was: *What will people buy or use no matter what the market is doing?* She started circling on self-storage. It was the top-performing market sector of all U.S. real estate for many years, after all. Yet Lisa thought the start-up costs were too high and that the market had become saturated. Still, the idea of people renting space, month after month, clung to her.

What if they weren't big walk-in storage units? What if they were smaller? Like a lot smaller. What if they were ... *postal boxes*? Aren't those just mini storage units? Then she remembered that *she* had a postal box. She rarely used it, but they charged her card every month like clockwork. Hmm. Twenty bucks a month for a six-by-six-by-six-inch cave. If you had several hundred of those ...

She called her friend Greg in San Diego, who had three UPS pack-and-ship franchises.

"If you could do anything different to make your store more profitable, what would it be?" she asked him.

"Add more mailboxes," he said without hesitation.

Mailboxes, he explained, are your steady, recurring revenue. Shipping is ancillary and seasonal, but mailboxes are year-round. Unfortunately, UPS limits the number of mailboxes you can have to a few hundred. If he were to start over, Lisa's friend said, he'd go independent and line every square inch he could with boxes. That's the gold.

Lisa did some more research. What she learned:

- Postal business is increasing 5.3 percent a year.
- Demand for locations is tied to new businesses, all of which are up in Vegas.
- Competitors in the area had sold out their mailboxes and were running long waiting lists.

Thesis validated. Now this is where it gets interesting.

She arranged to meet with the owner of the shipping center she'd been using for years. As they were talking about his business, he dropped a bombshell on her: The store was doing \$1 million per year in revenue, with just 1,200 square feet. *Damn.*

Then, Lisa made him a brilliant pitch:

"Let me shadow you for two weeks, document your entire operation, and then deliver to you a complete set of SOPs [standard operating procedures].^{fn6} I'll also give you a check for \$10,000, and a promise not to compete in your service area."

He glanced down at those lethal-looking heels, the sprayed-on leggings.

"Like a trainee, you mean?" he said skeptically.

"Exactly, like a trainee. I want to learn how to do everything."

The owner chuckled. "All right, I guess you've got a deal."

For the next two rather bizarre weeks, Lisa "Fireball" Song Sutton clacked around his store, opening up shop at dawn, trailing her two little walking hot dogs (ahem, corgis), and documenting every step in the pack-and-ship process. The hilarity of this visual aside, this was a crucial part of Lisa's due diligence. She would be there first thing in the morning to open up, and be the last person there at night to close. She would pack and tape. She'd greet customers and fill out box rental agreements. She'd sort mail. She'd learn how to run all the equipment. And she took notes on *everything*. If after a couple of weeks behind the counter she hated the experience, she would know this business was not for her.

She loved it. And now she knew how to hire and run it.

After getting her ten thousand hours of experience in two weeks, Lisa left the owner with her SOPs and set out to find some locations. She searched the "gentrifying neighborhoods" that had no competition, then used her real estate experience to negotiate reasonable leases. She rented space in a strip mall in North Las Vegas, then another thirty miles south in Spring Valley. Her build-

out costs for two locations were about \$40,000 for counters, mailboxes, registers, signage, promotions, and packing materials.

Her hiring strategy was just as bizarrely perfect. In the north, she discovered the value of military spouses. Efficient. A built-in network of military friends shipping stuff all the time. Only interested in work and no time for foolishness. Down south, she had a different talent pool. Think Vegas pool party cocktail waitresses meet swimsuit models. These ladies made some serious stacks of cash working the Vegas pools, but had to deal with handsy drunk gents and 120-degree heat all day. At some point, many wanted to push the unsubscribe button. So they did, and instead of heels and thongs, they got to wear sneakers, get equity and ownership, and leave the butt squeezes in the past.

In her first year of running her mini-mailbox business, she was profitable. By year two, she was making \$300,000 in revenue. By year three, she was doing \$500,000.

I share Lisa's story because she did everything right that we've covered so far.

First, she **defined what she wanted**. She knew what kind of Owner Experience she wanted (recession-proof, recurring revenue, no drama), as well as specific criteria in her Deal Box.

Then, she **went out and talked to an owner in her network** and got the information she needed to make an informed decision. She didn't expect to get a listing sent to her email or find opportunities on a website. She just walked straight into a UPS franchise, asked questions, and came up with an even better business model. She even convinced a successful operator to train her in the business, reveal his secrets, and hand her the keys to the castle. She didn't repeat the mistake I've made before by re-creating the wheel. She just bought a set of tires and hit the gas.

Oh, and Lisa's **Zone of Genius**? She knew what it was and she used it. She was able to negotiate favorable rents using her real estate skills. She took the time to find the right operators—young women eager to work *with* someone rather than *for* someone—and incentivized them to help make the business a success. She's not behind a counter licking stamps all day; she's out in the community, looking for the next deal that might dovetail with what she's started.

Most important, she did her **due diligence**, the process of evaluating the business before buying it. That's what you'll learn

how to do in this chapter. And don't worry, it's not as difficult as it sounds. It is critical, though.

Lisa's story shows what's possible when you follow the steps. As I've said, this is a recipe, and it works.

How I Rapidly Evaluate Boring Businesses

When you buy a business, you are essentially buying a spouse. We don't just swipe right and get on one knee, now do we? No. We find "the one," and then 50 percent of the time we kick 'em to the curb. Ah, modern society. Jokes aside, having been through a divorce, I can tell you how to avoid its business equivalent—a shutdown.

You have a better likelihood of lasting success in business than in the average marriage. So long as you don't pick a nutjob of a business to settle down with. Thankfully, there is a 20 percent that drives 80 percent of every business. Your goal is to find that 20 percent. First, I like to think of it as not just buying a business but buying an income stream. Replace a laundromat for a car wash for an accounting firm. Most businesses are songs, just different genres. They need to all have one thing in them: the ability to pay a cash flow amount consistently, as cash flow (income) is the lifeblood of a business. Before I buy, I like to ensure that my business covers four things:

Income stream must cover four things:



- 1. DEBT SERVICE/FINANCING:** Can the business comfortably afford its debts and financing costs?
- 2. OPERATOR SALARY:** Is there enough margin to pay someone to manage daily operations without my constant involvement?
- 3. GROWTH CAPITAL:** Are there funds left over to reinvest for future growth?

4. MY EARNINGS/INCOME: After all expenses, does the business generate sufficient profit to contribute to my personal income?

If the business covers those, I move on to determining the level of risk. What is the likelihood that, once I buy it, this business will go out, find more dollars, and bring them back to me? How reliably will it do this consistently, day after day, year after year? Three tests have helped keep me honest:

TEST 1: Is It a SOWS?

My framework for finding great boring businesses is called SOWS. Like cows, but without all the methane gas. SOWS stands for:

- **STALE:** As in, minimal innovation has been adopted.
- **OLD:** The business has been around for a while.
- **WEAK:** The competition is lazy and uninspired.
- **SIMPLE:** You don't need to be a rocket scientist to run the damn thing.

If the word SOWS conjures up an image of an adult female pig, that's fine. Pigs are smart. They're valuable. They live a long time. They got a lotta fat on 'em. They make bacon. So, yeah, both the acronym and the metaphor work for me.

Stale, you ask? What do I mean by that and why is that a good thing?

"Stale" means it's a business that hasn't kept up with the times. Its website is circa 2008. The owners don't use social media. They have no testimonials or customer ratings. They not only have a fax machine; they actually use it and require their customers to use it. They may send you documents by email, but they expect you to print them out, sign them, and mail them back.

Why do I find these archaic practices so appealing? Because less innovation means more potential upside for me, the buyer, and thus less risk. If they send you an email address from aol.com, still use fax machines, or write paper receipts, you should be getting all hot and bothered. Marketing 101 is rarely done in small businesses. With tech and social media done right, you can turn a boring business that you buy for pennies into a \$10 million company.

Old, too? Yeah. I am not looking for the sweet young thing. Nor am I looking for the big disrupter who's exploded on the scene and is capturing all the market share. Those kinds of businesses attract a lot of attention, a lot of competitors. I want companies older than five years that have been plugging along just fine, thank you very much. They have faithful customers, repeat business, and social equity in the community. People use their location as a point of reference when giving directions. ("Take your first right after that pack-and-ship store at the corner of Liberty.") Old businesses can be hidden gems. As you'll recall from earlier in the book, they operate on the Lindy effect: the longer they've been around, the more likely they'll continue to survive.

Weak? Really? The company you're buying isn't weak, but its competition is. Your target company is old and stale, but its competition is even worse. When was the last time you got a plumber:

- On time
- With automated billing
- Who sent follow-up texts

Never, right? Those are three easy fixes to make your new acquisition better than competitors (and more profitable for you).

Simple? Simple, as in you can explain the business model to an eight-year-old. ("People with dirty cars come here and drink a cup of coffee while we make their cars look new again.") There is nothing proprietary here. No biotech. No R&D. No industrial secret that you can scale nationally. Instead, you're looking for businesses that are in high demand and have few inputs.

Only you, my brilliant grasshopper, will see ways to bring modern magic into their business, with futuristic advancements like *Billing software! Customer relations management software! Outsourced employees!* and other little tricks that build speed and capacity, allowing you to charge more and handle more customers.

SOWS: Stale, Old, Weak, Simple. That is your winning boring business formula and how you see businesses that no one else even realizes are there.

TEST 2: Can It BRRT?

Once you've found a potential SOWS, then what? You put it through the second test: the BRRT Method.

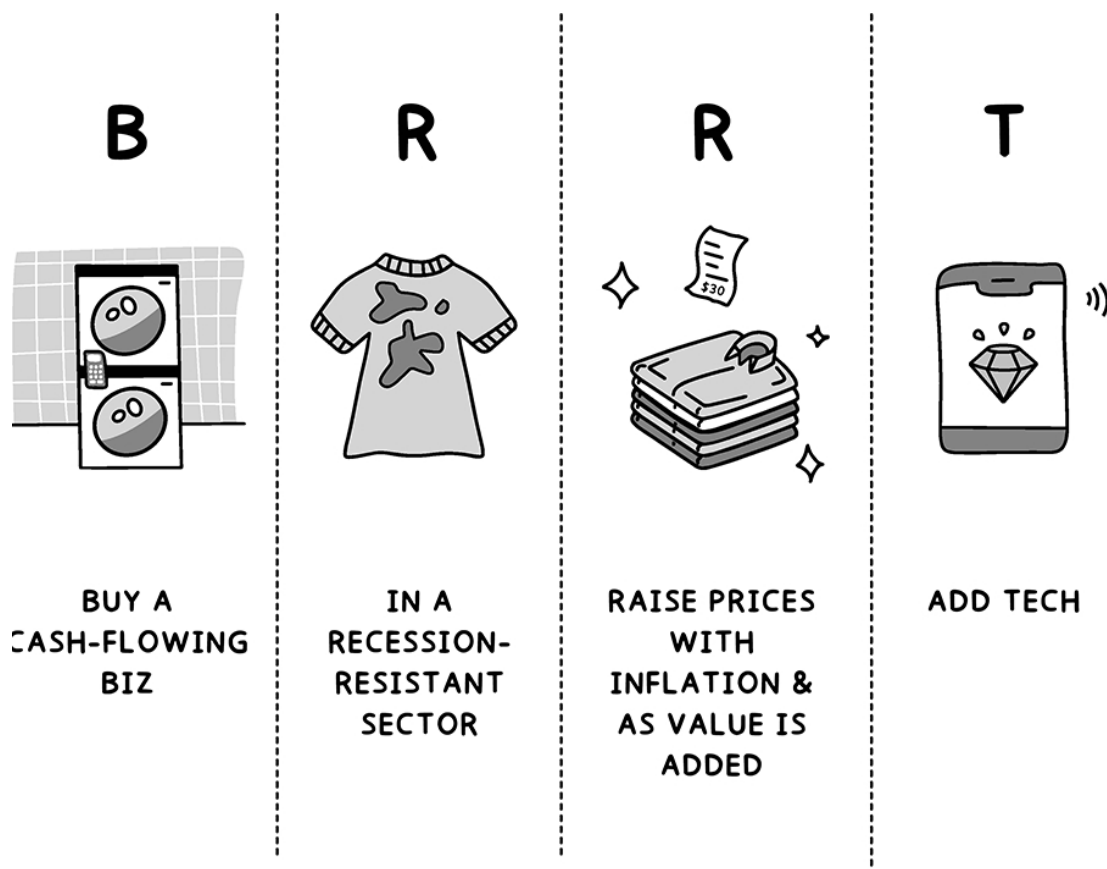
BRRT is just as simple, but its purpose is a bit different. While SOWS proves to you that a business is indeed boring, the BRRT Method ensures it has upside potential.

BRRT stands for:

- **BUY:** You want to buy a business that cash-flows, not cash-sucks. Think monthly subscriptions, maintenance contracts, or membership fees. The revenue is recurring, predictable, and spread across a diverse client base. On the flip side, cash-suck businesses are “work first, pray for payment later.” Think special-event services, seasonal stores, art galleries, consulting firms, and tech start-ups. The only time I'll buy a cash-suck business is if I know I can successfully convert it into a cash-flow model in the first ninety days. Otherwise, I stick to cash-flow businesses only.
- **RESIST:** You want a business that's in a recession-resistant sector and can actually grow during an economic downturn. I think about it like this: If the economy tanks but your toilet is overflowing, you still gonna fix it? Yup. That's a resist business. If the economy tanks but your custom frame breaks, are you going to buy a new one? Or just go to Target for a cheaper one? Custom framing = not a resist business.
- **RAISE:** You'll need a business that can increase its prices. Which, by the way, nearly every small business can do. Most small businesses are underpriced by 30 to 300 percent in our experience, and only about one-third of owners raise their prices annually.
- **TECH:** Can you add technology to the business in a meaningful way? Goes back to that fax machine and notebooks-as-ledgers model.

Here's how I used the BRRT Method with a deal I did recently. I have a media company, so I decided to use my unfair advantage and look for some media prospects to acquire. I scouted the internet and came upon an online education business that looked promising. To me, it seemed like the business was underperforming and neglected

—a sure sign the owner was running out of gas and might be open to selling.



I pulled out my trusty rapid-fire BRRT machine and did this:

1. **BUY:** Check for cash flow. I estimated the company's revenue and profit by checking their site traffic on Semrush and Similarweb. I examined their product set, applied a 2 to 4 percent conversion rate, and estimated their revenue. I figured they had about \$100,000 in revenue with \$20,000 profit. I could have gotten all this from the owner, but this is Due Diligence for Dummies, my friend. I was still deciding if I wanted to move forward.
2. **RESIST:** Check for ability to withstand recessions. People don't usually drop out of school or abandon learning during economic downturns. In fact, they usually do more in a downturn. So far, so good.
3. **RAISE:** Check for ability to raise prices. Many small businesses never raise prices and many forget to charge more for inflation.

This acquisition was overdue for a price hike. The company was selling its content for twenty-nine dollars a month, which struck me as extremely low.

- 4. TECH:** Check for whether they are already tech savvy and optimized. No social media? Perfect. No chat automation software? Great.

Feeling good about my BRRT results, I sent an email to the owner: “Would you be open to chatting about a sale (at the right price, obviously)?” I indicated I typically buy businesses for 2 to 5X profit.

Twelve emails, two phone calls, and one Zoom meeting later, we closed the deal with the condition that the owner would stay on for three months to transition the operation to my team. After we completed the deal, I redesigned the website materials, built out their email marketing system, revamped their sales funnel, and increased prices to \$299 a month or \$1,000 a year (72 percent discount to incentivize annual payments). We lost 3 percent of our customers, but our annual revenue went up.

TEST 3: Can I Pay an Operator First?

Hard truth: if there is not enough profit in a deal, you are buying a *job*, not a business.



How much is “enough”? The business’s profit margins cover the costs of a quality operator and still allow you to hit your personal profit goals. That’s enough.

I don’t like to buy businesses unless they put \$100,000 in annual profit in my pocket. So, when I’m evaluating a business, I’ll estimate the annual profits, subtract \$100,000 or so for hiring an

operator, then subtract another \$100,000 for my salary. That means the business needs to be making *at least* \$200,000 in profit.

It's crucial that you ensure there is enough profit in the company to hire a quality operator *first*, and then put cash in your own pocket. Unless, of course, you want to run the business yourself (which is how I started). You'll learn exactly how to hire an operator in Step 3, the "C is for Command" section of the book, so stay tuned.

These three simple tests—**SOWS, BRRT, and Operator First**—will give most first-time boring business owners the ability to rapidly evaluate whether a deal is worth pursuing or not. If the business passes all three tests, then it's time to begin the due-diligence process. That's what we'll cover next.

Due Diligence 101: How I Lost \$12 Million in 90 Days

Trust but verify.

—RUSSIAN PROVERB, IRONICALLY POPULARIZED BY
RONALD REAGAN WHILE NEGOTIATING NUCLEAR
DISARMAMENT WITH THE SOVIET UNION

A few years ago, my partners and I considered investing in a cannabis company in Oakland, California. They sold buds in cute little packages, but their main thing was manufacturing edibles, pre-rolls, concentrates, and topicals. Although weed was still restricted to just a few states, this company had been around for years serving the medical marijuana market. When recreational weed started spreading, this company's strong brand helped it develop a distribution network in California, Oregon, and Arizona.

You may have noticed I haven't named the company. I'm not going to. In a minute, you'll understand why.

The company was run by this cute little fellow. Nicest guy you'll ever meet. You know the type. Young and straitlaced. Married with two kids. Super at home with spreadsheets. Loved the numbers.

So, due diligence was a breeze. We examined tax returns, inventory lists, and all their profit-and-loss statements. It all checked out. Its revenue doubled in one year, and the California cannabis sector alone was expected to grow into a \$5.2 billion industry. This investment was about as close to a no-brainer as you get. We invested \$12 million for a large majority stake. The money would help the business increase production, acquire expanded sources of

raw materials, hire more staff, and launch a new vape cartridge line. A line of ice pops. High-grade pre-rolls infused with concentrate and terpenes. The company would also start a nonprofit to provide medical marijuana to veterans suffering from opioid addiction. We were excited.

Then, after a few months, we got a frantic phone call from the guy.

“Everybody needs to fly out here immediately,” he said.

Through the speaker I could hear a quiver in his voice. Was he about to cry?

“What’s up?” I asked.

“Well, umm, well,” he stammered. “There’s no easy way ...”

“Spit it out, we’re pros,” I said.

“We’re two weeks from running out of money.”

I fell silent, but thoughts were racing through my head. The big question, of course, was: *How’d Opie from Mayberry blow through \$12 million in three months?*

Needless to say, we sent our best fixers to converge on the Bay Area to find out what was going on. What had we missed?

What we’d failed to notice in our due diligence was that our CEO was not who he appeared to be. As we reexamined the books, a few surprises emerged. Surprises. Understatement. These were more like unabridged WHAT THE HOLY F***? moments. For starters, he was using company funds to rent apartments for his mistresses. Not one, but two. He was paying family members large salaries for jobs that didn’t exist. And then there were the hookers and the drug parties, all funded by his naive investors.

Wait. It gets better.

We sat down with him to go over all that we discovered. When we told him his termination was immediate, he slammed back into his fancy leather office chair with a look of astonishment.

“What do you mean I’m fired?” he said. “I’m the CEO!”

“Dude,” I said. “You stole more than a million bucks from the company. You don’t have a job!”

He continued to stare at us with an open mouth.

“Not only do you not have a job, but we’re coming after you for the money you stole!”

So we fired him and sued him. He sued us back, claiming wrongful termination and slander. It’s a funny story unless it’s happening to you. He lost on both fronts.

As it turns out, the company survived. Someone else was put in charge of it, and the company went on to do well, winning awards, introducing new products, and eventually being purchased by a larger company. I got out of it and washed my hands of all cannabis investments.

Here's the moral of the story: **the bigger the investment, the deeper your due diligence should go.** Higher levels, higher devils. Don't take anything for granted. Trust but verify.

PHASE 1: Truth Telling

Due diligence should be conducted before starting any negotiations to buy a business. This involves a preliminary evaluation before even extending an offer, where you officially test what the seller has told you about their revenue, profit, customers, competitors, employees, and operating procedures.

You're not trying to do a full colonoscopy but you are going to determine whether the seller is giving it to you straight about the health and future of the business. You want to know if the seller is telling the truth, but you also want to ferret out what the seller *isn't* telling you. There are four ways for sellers not to tell the truth: lie, omit, obfuscate, and not even know the truth themselves. For instance, did they just lose their biggest customer due to some poor performance? Are they using undocumented workers? Do they think they are profitable but their accounting is wrong? Is what they're telling you about their income the same as what they report to the IRS? Spoiler: doubtful.

Let's be clear that there are typically two levels of due diligence for every deal. The first level is really called preliminary evaluation and occurs when you're first evaluating the business and haven't decided whether to make an offer. At this stage, you are asking for a simple set of documents:

- Three to six years of financials
- Expenses broken down annually (monthly is ideal but not always likely)
- Revenue broken down annually (monthly is ideal but not always likely)
- Asset and equipment list (valuations would be ideal but you'll likely get them later)

- Photos of location
- Lease
- Overview report or summary

Remember, the seller is still running their business, and they likely won't have a lot of time to track down reams of documents for you. You're still just kicking the tires here. So keep your requests relatively light and work with the seller if you can to make it easier for them to produce what you need. You want to balance not spending a ton of time and money evaluating every single deal before offer with doing just enough to continue to the next stage. In our community and accelerator program we have an entire list of pre-offer and post-offer questions I like to ask. I won't give you all one hundred of them now, but if you're serious, go check out contrarianthinking.co.

Another awesome resource: Bizminer (bizminer.com). This site offers a trove of statistical data and industry trends for when you start doing due diligence. Their platform gives you access to the most frequently updated granular data so you can research, analyze, and prospect across nine thousand unique markets and ten thousand-plus companies.

We use flow charts for everything at Contrarian Thinking, so in our community we created them to allow for easy decision-making. It might go something like this:

STAGE 1: OUTREACH		
Decision Point	Criteria/Action	Next Steps
Evaluate basic information or listing online.	Is the deal in your Deal Box? (Key components/main criteria)	Yes: Proceed to sign NDA. No: Pass on the deal.
STAGE 2: EVALUATION		
Decision Point	Criteria/Action	Next Steps
Review financial information.	Enter as much as you can into your deal calculator.	Continue with detailed evaluation.

STAGE 2: EVALUATION		
Decision Point	Criteria/Action	Next Steps
Assess business stability and location.	- Is it a good business? (Stable/rising sales, margins, seller's discretionary earnings [SDE], net operating income [NOI], earnings before interest, taxes, depreciation, and amortization [EBITDA]) - Good market/location? - Any gross defects?	Yes: Continue evaluation. No: Pass on the deal.
Evaluate the asking price and financial health.	- Is the asking price reasonable? - For small businesses: Is SDE multiple reasonable? - For commercial real estate: Is cap rate > loan rate + 1%? Is cash flow sufficient?	Yes: Move to offer/negotiation. No: Pass on the deal.

PHASE 2: The Full Monty

If after Phase 1 the business looks promising, you will want to move on to a more in-depth process of due diligence. At this point or prior, the seller may ask for a letter of intent (LOI). That's fine, as long as the letter of intent is nonbinding. It may include the seller's asking price, but the letter can make it clear that is not binding either. You can check out our Gold Standard LOI Template (see the appendix), but make sure to get yours from an attorney. I don't play one in this book, on TV, or in real life.

In the in-depth round, you are looking at a variety of financials beyond the income-tax returns. Now you're looking at cash-flow statements, contracts, business structure and bylaws, insurance, competitor information, cash management, company credit score, professional services agreements, legal issues, and employee data. **A key thing to determine is what your break-even point will be.**

In other words, based on the financials you're seeing, how long will it be before you get your investment back?^{[fn7](#)}

Now this is where most buyers start to get nervous. *What do I know about bylaws?* It's going to be okay. I've given you a lengthy checklist, but you probably aren't going to need all this material—many things listed are likely to be irrelevant in your deal. The key is to verify that the financials are accurate and that you have a full sense of the risk and liabilities involved. The smaller the business, the less complex they get. Right about here it's really useful to have a group of accountability buddies. That's why we built our Contrarian Community to guide people through buying these businesses in real time. But whether you join ours or find your own ... get in the room with other dealmakers.

Every deal is different, so the items on your due diligence list will change. For instance, if you're buying a laundromat where 80 percent of the revenue is in coins, you might want to do a random count of how many coins are deposited in the machines, two days per week, for a month. You'd want to look at the energy bills. How often are the machines serviced and does the business have a service contract with an appliance repairman that ensures timely responses when a machine breaks? In addition to checking the rent, check the length of the lease and compare what this business pays to what its neighbors are paying.

Look, too, for red flags, such as:

- **CASH-FLOW DISCREPANCIES:** In a cash-based business, like a laundromat, the owner reports less income on his tax return than on the financial statements he provided you. He explains that he uses cash sometimes to buy supplies. It doesn't take a forensic accountant to see that the owner is skimming from his own business. When you evaluate the business, go with what he reports to the IRS, not what he claims to make.
- **CONSISTENTLY BAD REVIEWS ON YELP OR GOOGLE:** These aren't deal killers, but you *can* use them as a bargaining chip in negotiations. Multiple complaints to a state licensing board? Possible deal killer.
- **MISSING LICENSES:** The state tells you landscapers should have a certain license. When you ask to see the seller's, he claims he "never needed one." No bueno.

PHASE 3: Hired Guns and Experts

Remember that board you built in your mind? Now is your time to call on them. I often have my attorney and accountant review due diligence documents. For example, I'll ask my accountant to review financials and tell me if they find any discrepancies. Or they might do a quick overview of the seller's tax returns, receipts, and future inventory to see if any irregularities pop up. I might have my attorney review contracts or employee clauses. He'll check to see if the company is or has been involved in any lawsuits and review any customer or supplier agreements.

I also recommend you get a subject matter expert in the sector you're buying and pick their brain—much like how Lisa Sutton found that pack-and-ship operator to train her. You don't always have to pay the person. You'd be amazed how thrilled an owner of a roofing company is to talk to a young gun about the biz. Cost = the price of lunch. If you're not the best at making friends and mentors, no sweat. You can also offer to pay them fifty or a hundred bucks an hour for a short consultation. That hour might save you tens of thousands of dollars on a deal. Just do me a solid: do NOT do a deal without some sector-specific expert in your corner. You're going to thank me for this later.

I call these folks my deal team, and there are others who rotate in and out. If the deal involves real estate, I'll consult a realtor or a real estate broker and ask them to pull some comparable sales. Industry trade associations are also a good source of subject matter experts and advice on entering that sector. You can also use social media. I've done that several times. If I'm thinking of buying, say, a plumbing company, I'll post the details of the deal and ask plumbing professionals on Reddit if it's a good purchase or not. I did the same thing on Facebook for a laundromat I bought, and I got several great ideas for boosting profits. Experts and specialists love to share their knowledge. Think about how much free information I share with people. We humans get off on relevance.

Some elements of due diligence take a broader view. What kind of risks do operators in this sector sometimes face? How are those risks typically mitigated? What market forces or new technology could change how the business is run? Do sales come from a concentrated, discrete set of customers or from a broad base of customers? Does the business rely on a single supplier? Are the

geographic boundaries of the business changing in any way? What kind of nearby development might affect future sales?

It may also make sense sometimes to meet with key employees to talk about their roles and future plans. Do they see themselves continuing with the company? Are they happy or are there other roles that might appeal more to them? If they were running the company, what changes would they make to improve the bottom line? These conversations can be valuable, but the seller may be reluctant to have employees know that he's thinking about selling.

Red Flags and Land Mines: Warning Signs to Look for During Due Diligence

The first rule of making money: don't lose money. Second rule: don't forget rule number one.

—WARREN BUFFETT

When you start looking at a potential deal and doing your initial due diligence, it's easy to become locked in and obsessed with *this one deal*. You'll have to fight that natural tendency. Falling in love with a single business will only hurt you. You must be willing to walk away without feeling like you failed. Lesson from my father: "Never fall in love with something that can't love you back."

The truth is that buying a business is just like any investment: there are winners and there are losers. Even if you love the deal, a few red flags and land mines should send you running. You have to set aside your emotions and avoid businesses with the following characteristics, with the same fervor politicians have for avoiding taxes.

- 1. UNPROFITABLE:** 'Nuff said. Never buy a money-losing operation because you think you can turn it around. That's for pros. You are not a pro yet. Once you are a pro, you can buy the ugly house on the block, fix it up, and flip it. For now, you wouldn't even know how to stucco a kitchen. So keep it easy for yourself. Buy a nice house (aka biz) in a nice neighborhood (that has cash flow), and wait.
- 2. DON'T BANKRUPT YOURSELF:** This is controversial, but for me at least, I would never do a recourse, personal-guaranteed loan on my first deal unless it was tiny. There is nothing worse than

the weight of debt you cannot repay. As you get more sophisticated, you can do debt well. But in the beginning, be careful.

- 3. THIN MARGINS:** Margins vary by sector, but generally speaking, a 30-plus percent margin is good, and 20 percent is average. Anything less than 10 percent should be a concern. Aim high, miss high.
- 4. ASSET HEAVY:** Take a page from the private equity firms that prefer nimble, asset-light companies. Laundromats are okay, but in the beginning, you want to avoid giant industrial production facilities.
- 5. NOT YOUR IDEAL SELLER TYPE:** Personally, I like the older buyer who is willing to help with transitioning or managing the business while they ease into retirement. Avoid the thirtysomethings with hypergrowth companies who want a VC-style exit. Not a good dancing partner.
- 6. NOT ENOUGH CASH FLOW FOR AN LBO:** When beginning buyers like you borrow part of the purchase price against your new company's assets or cash flow, that's called a leveraged buyout (LBO). But the banks won't lend if the cash isn't flowing.
- 7. NOT ENOUGH CASH FLOW TO PAY YOURSELF:** Remember, cash flow must repay the primary debt, repay whatever down payment you made to get the loan, pay for a manager to run the business, and then pay you, the new owner. This is simple math. You get paid what's left.
- 8. NOT ENOUGH CASH FOR RAINY DAYS:** Do you know most businesses don't even know how much cash they have on hand, or how long that cash would last if their sales stopped or slowed? You will not be most people. You'll ask yourself, "Self, do I have enough cash for hard times?" Have enough cash and you'll sleep well.
- 9. HAVE TO OPERATE IT EVEN IF YOU DON'T WANT TO:** Unless you're buying yourself a new job, make sure there is enough profit in your new company to hire an operator who reports to

you. If there isn't, you may find yourself running the business every day rather than working on your next deal.

- 10. NOT COMPLETELY TRANSPARENT IN DUE DILIGENCE:** If the seller is not forthcoming with tax returns and their ledgers, drop the deal. Math wins.
- 11. DECLINING SALES AND TOO MUCH COMPETITION:** You may love the business, but if the books reveal declining revenue in a competitive market, walk away. Downside scenario planning will save you. What if your worst year happens this year? Are you still profitable? If not, pass. What if the sales fall by 50 percent? Still profitable? If not, restructure the deal so you don't lose your shirt.
- 12. INABILITY TO SCALE OR DO ADD-ONS:** Your role as owner is to grow the business: attract more customers, get existing customers to spend more, or raise prices. If none of those is possible—either because the market is saturated or because the cash flow isn't high enough to fund these endeavors—keep looking.
- 13. PROMOTING EBITDA (GROSS):** Earnings before interest, taxes, depreciation, and amortization is just a fancy way of calculating cash flow. It's tossed around like it represents something greater than what it is. Cash flow is simply the amount of money coming in and leaving the business. It is not net profit. Good investors scoff at EBITDA at this level of business buying. If a company has a large amount of depreciable equipment, the cost of maintaining those assets isn't accounted for. We want net cash flow. That's it.
- 14. IF THEY SAY "PROPRIETARY PATENT PENDING":** Run. Odds are high that they are overstating their value and misleading you OR it's more complex than you may want on your first deal.
- 15. UNETHICAL SELLER:** You can't do a good deal with a bad guy. Do your homework on the people involved in the deal.
- 16. NO EXIT PLAN:** How long will it take you to sell this business if you need to? Start knowing who would buy you up early. Ideally, I'd know before buying, so if I got in and hated the deal, I'd have someone to flip it to.

- 17. PARTNERS? PROCEED WITH CAUTION:** Imagine every partner you have will leave you high and dry. It's certainly happened to me. I didn't always have a lot of rules for partners, but now I do.
- 18. SELLER RUSHES THE DEAL:** A super-pushy, antsy seller is a red flag. Deals take time. Just like starting a new job, you are on a new venture. Don't make the mistake of signing before you're ready.
- 19. DON'T FALL IN LOVE:** Remember: "Never fall in love with something that can't love you back." This is the kiss of death. You're too far into a deal, you really want to close, and the seller knows it. So right before you go to close, he adds last-minute terms that are unfavorable to you. Tiny paper cuts can bleed you out. Hold the line. There are too many deals to fall in love with one.

One last tip: Don't keep the details all to yourself. Run your terms by experts before you sign. We have group members in our Contrarian Community who did not share the final deal terms and analysis before they bought a business. WHY? Terrible idea. What often happens: Deals move fast. You get caught up in it, you feel good about it, and it sucks to share your baby and have people call it ugly. Do the opposite of what feels good. Find a wet-blanket friend, have them review, and keep whittling down until even they get on board.

• • •

As you come to the end of this chapter, you're now at a critical point in your boring business journey: You're officially ready to set the stage for negotiations. Congrats!

Now, throughout the dealmaking process, I want you to create a fun challenge for yourself: Could you do a deal with *as little money down as possible* and with as creative financing as possible? I call this the **Transfer Risk Strategy**. Of course, you may have to put some money down, and you may not be able to get complete seller financing. You may have to do a revenue share, sweat equity, or an SBA loan. That's okay. But if you start out with a zero-down, seller-

financing goal, you're more likely to land closer to that ideal. M&A manifestation at its finest.

Your next assignment: Get on the same side of the table as the seller. This means presenting the seller with an informal proposal containing a realistic valuation of their business and an offer to buy it with seller financing. In other words, you're going to name your price before the real negotiations begin.



THE LIFE-CHANGING MAGIC OF PROFIT PAYBACKS*

***OR HOW TO LEGALLY BUY BUSINESSES FOR ZERO DOLLARS
(AND HAVE THE SELLER THANK YOU FOR IT)**

David Foster Wallace once told a joke about two young fish who passed by an older fish one morning. The older fish said, “Morning, boys. How’s the water?” The two young fish swam on for a bit, and then looked at each other and said, “What the hell is water?”

We are the fish. Access and belief in the availability of money is our water. It’s all around us, and yet we spend our lives never really seeing or understanding it.

At least that was what it was like for me. I grew up in a household where my debit account was more overdrawn than it ever was full, where my mom counted every purchase I made, asking if I really needed it. I didn’t have a credit card until I was well into my twenties, and I thought debt was for poor, bad, or rather idiotic people.

One of the most tragic ways we conform is through our belief that money is scarce. Money is limited. Money is, in fact, all around us like water. In the United States, we’re long on wanting money but short on financial literacy.

Today, we are going to change that. I’m going to teach you how my understanding of money allowed me to buy cash-flowing businesses worth millions, in exchange for ... no money at all. How did I do that? I Robin Hooded this sh*t. I stole the secrets from private equity and applied them to Main Street. And you can do the same thing when you buy your businesses too.

But we’ll get to that in a moment. First, let’s talk about debt.

How bad is debt, really?

The difference between you and the truly wealthy—the Rolls-Royce-driving, Hamptons-summering, multi-mansion-owning global elite—is not simply their bank account. It is their knowledge of how to turn their money into *even more money*. There is an entire

cabal of humans who not only have money but have money that “works” for them. That is the dream we are pursuing.

Some of the methods I talk about in this chapter require loans, and I want to make sure you do not have a little voice in your head telling you it is always a bad idea to ask for money with the promise you’ll pay it back. That’s all debt is, essentially—an IOU with repercussions.

Debt has historically been turned into the bad guy. When I wrote a tweet about the power of debt, it garnered 150 trolling comments like these:

Shame on you, Allah says debt is sin.

You just want to control the poor with debt as shackles.

Ah, the internet, you are special. But this time I was genuinely shocked. Some noted that the Aramaic word for sin and debt are identical (*chovah*). Therefore, if you use debt, you are a sinner. That’s a new one for me. Another said Islam forbids taking interest payments. Who knew? Even Buddha asserted that interest-bearing, centralized, privatized debt is harmful, unethical, and delusional. Bottom line, debt users: forget Nirvana, we’re all going to hell.

I’m no religious scholar. Maybe all those things are true. But I have a different view. In my mind, debt *can* be incredibly dangerous, but if used properly, it’s a lever that lifts the world from poverty. When you remove the emotion and insert rationality, debt makes a lot of sense. (Thank God, Allah, and the Buddha that you’re reading this in a book and not on Twitter.)

OPM: Other People’s Money

No matter how much wealth you’ve accumulated, there is a saying in investing: “I like to use cash, just not mine.” That’s why private equity firms do giant leveraged buyouts using the bank’s money to accelerate growth. That’s why we, and even Taylor Swift, use mortgages to buy houses. And that’s why you will use the Profit Payback method to do your deals. You’re inside the cool kids club now.

The Profit Payback Method

This is my not-so-secret secret weapon. Sixty percent of all small businesses change hands using the Profit Payback method, more commonly known as seller financing or creative financing. This means that they get to pay the seller for their business over time,

using the future profits from the business. Don't let the name "seller financing" fool you. It's not the seller paying for it, it's the *business's profits* that are paying for the purchase.

Now wait a minute. You may be thinking, *Why would a seller give you their future profits so you get the right to buy their business?* So many reasons. Once you see this, you can't unsee it. Let's walk through an example.

My friend Matt wanted to buy a business for \$500,000, but he didn't want to put up all the cash and didn't want to deal with a bank or the SBA office. His seller agreed to finance the deal. It looked like this:

- Price of the business: \$500,000
- Annual profit: \$200,000
- Monthly profit: \$16,000
- Down payment: \$50,000
- Monthly payments to owner: \$4,000 over 120 months (10 years) plus interest
- Monthly profit to Matt: \$10,000 after payout and interest

Why did the seller do this deal? Because no one else wanted to buy his business. He was located in a small town, and he was ready to move and retire.

Members of our Contrarian Community have done millions^{[fn1](#)} in seller-financing deals, just like that one. No debt. No high-risk collateral (like putting up your house). None of your cash to buy a profitable business. The Profit Payback method—aka seller financing—is hands down the most common approach I use when buying a business.

Why I Love Profit Paybacks

Everything is negotiable. *Everything*. Do you want a lower monthly payment and a longer loan length? Ask. Do you want to include some assets in your terms? It's on the table. Would you rather put more cash up front? That's an option too. This is the exact opposite of bank loans and the SBA. There, everything is set. No wiggle room. With seller financing, nothing is set, and the only thing that's standard is wiggles.

The best part is that you can adjust the terms to fit the business. You've seen all their financials during the due diligence process, so if you want lower payments over a longer period, it's totally doable. You can also incentivize the owner by giving them a higher payout if the business makes more than anticipated, or if the seller extends the terms. The ceiling is only as low as your creative structure. The more you know, the better deals you can do.

What Is Common in Profit Paybacks?

Terms vary widely with seller financing, but the baseline is typically:

- Average term length: 3 to 10 years
- Average percentage down: 10 to 50 percent (sellers will almost always do 50 to 70 percent down and finance the rest)
- The seller might:
 - Request financial statements during the term of the loan
 - Want to remain on the lease during the note
 - Require the buyer meets certain financial benchmarks, like keeping a minimum in a bank account, etc.

You might still be wondering: *But why would a seller do this type of deal?* Many reasons. But sometimes it's easier to show you than tell you.

More Money and an Annuity

Here's how you get the seller to finance your business with a profit purchase ... and thank you for it. Real life example: You find a business to buy. The seller wants \$1 million. So you take it to the bank to get a loan. The bank says, "Well, the cash flow can support a purchase price of \$750,000, not \$1,000,000, and it'll be an 8 percent interest rate per year we'll charge you. That means another \$60,000 a year you'll pay in interest."

You think about that and say, well, if the business does what the seller says it is going to do, I'd pay \$1.15 million for it, not \$1 million. So you go to the seller and say, "Hey, Carl, there are two options we can do. Option 1 is I use the bank and pay you \$750,000 for your business plus interest to the bank on the loan. OR I pay you

\$1.15 million, plus a 5 percent interest rate, which means another \$50,000-ish a year to you and you loan me the money from the business. We use the profits of the business to give you more money, and you make all the money the bank would have made. As long as the business does what you say it has and will keep unlocking more money.” Game, set, match.

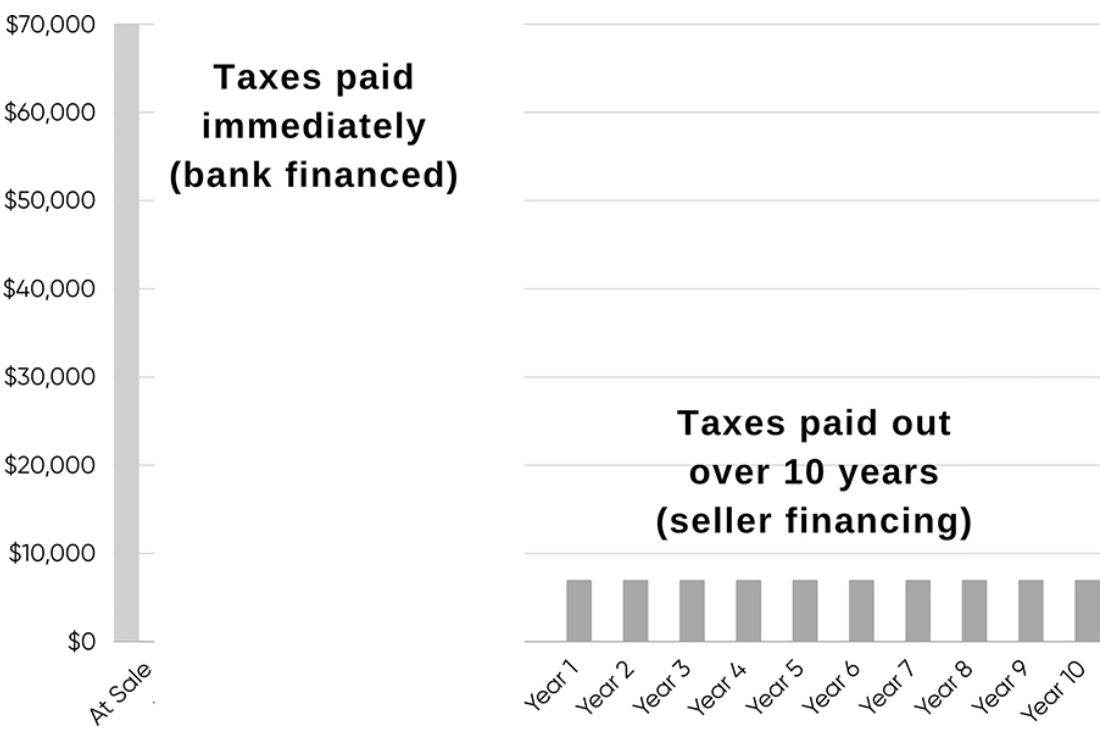
More cash for the seller, and the seller (not the bank) gets an annuity.

Description	Value
Purchase price	\$1,000,000
Number of years over which seller financing is paid	10

Category	Bank	Seller Financing	Notes
Cash	\$750,000	\$1,150,000	25% discount to their offer versus 15% more than their offer price
Interest rate (given to the bank versus interest paid to seller over ten years)	\$60,000	\$57,500	8% bank versus 5% seller financing
TOTAL TO SELLER	\$750,000	\$1,207,500	

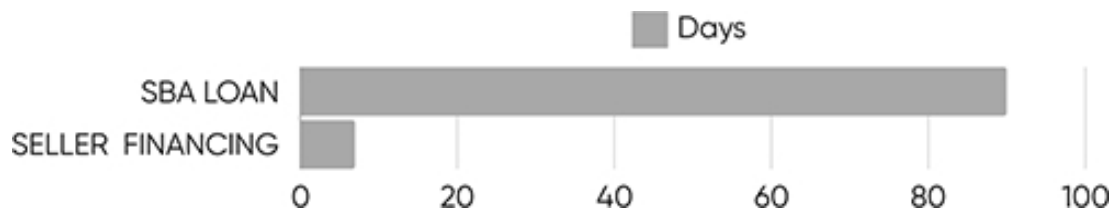
Now dear Carl, how about taxes? Do you like paying them? Me neither. What if we could spread out taxes, defer them, and likely by that time your income would be lower and your tax bracket could be lower? You have two options. We could do a lump-sum payment and you could pay the total amount all at once. Or you could pay taxes over ten years. I know which I’d prefer. Maybe we even keep you on in a consulting 1099 capacity so that you have more write-offs to use on a go-forward basis.

Tax Savings: Long-Term Payouts over Years, Not a Lump Sum



So Carl, we’ve gotten you more money and less taxes. How about we also do the deal faster? Let’s look again at two options. Option A: We get a loan from the SBA; their website says they take ninety-plus days on average. When has a bank ever been faster than average for you? Me neither. Also, Carl, the world is tough, who knows what could happen in ninety days. Deal could fall apart, and banks could stop lending. Or, with Option B, Profit Payback, we can close as fast as you, me, and our attorneys can move. We’ve even closed deals in a week once all the due diligence is done. Time kills deals. Let’s not kill ours, eh?

Day 1	Day 2	Day 3	Day 4	Day 5	Day 6	Day 7
Share seller financing terms	Joint attorney call to walk through offer	Negotiate and confirm terms with attorneys	Sign terms	Transfer down payment	Transfer ownership docs	Business sold



The amount of opportunity will always be limited by your ability to recognize it.

After all, seller financing is not a one-sided transaction at all. The seller gets:

- Cheaper closing, including no bank fees or appraisal or mandated costs.
- A done deal. Some businesses are hard to sell or don't have many buyers, and seller financing attracts interest.
- Paid over time at a lower tax rate.
- Cash flow like an annuity, allowing them to maintain a lifestyle they want to keep.
- An interest payment. The buyer is going to pay bank loan interest, so why not pay the seller instead?
- More money. Seller financing can help sellers increase their price.
- Faster closing. The buyer isn't waiting for loan approval, underwriting, and legal.
- More potential buyers. With seller financing, the seller can entertain offers from those who can't get a loan.
- To leave a legacy. A seller who wants to transfer to an employee or someone they like can use seller financing to make it easy on them.

What Cons Are There?

Honestly, not many. However, there are a few worth considering:

- Higher price: If you can get a killer business at a lower price that you feel 100 percent certainty about, then maybe it's cheaper in total price to go to the bank.

- Tied to the seller: Sometimes it's cleaner to just cut and deal with a third party.
- Higher interest: Occasionally the interest rate with seller financing may be higher (I'd fight that).
- Seller approval: You have to talk the seller into this transaction. They may not want to be your bank.

Let's walk through one of my deals.

How I Used Profit Payback to Buy My First Laundromat

One day, I was sitting in my finance job, spectacularly miserable making money for other people I didn't even like. It was maybe my tenth or twelfth consecutive weekend in the office until 9:00 p.m. under fluorescent lights, painfully making someone else millions. Ever been there?

I realized, *Ya know what, if these jagaloons in braided belts can do deals, why can't I?* Thus my humble beginnings with buying laundromats and making money with quarters. The balance sheet of the laundromat looked about the same over the five-year period I requested, showing a consistent profit.

When I reached out to the owner, he said he wanted roughly \$200,000 and would finance a good chunk of it through seller financing. Given that the seller *really* wanted to sell, there were no other buyers, and it had been listed for over a year, I was able to negotiate him down to a much lower buying price. A perfect storm for me to get a deal.

But let's say I couldn't get that deal done at that lower price but could still make it work at something higher, say, around \$125,000. I'd give him a small down payment, something in the ballpark of \$25,000, and then structure a Profit Payback to do the rest of the payment over three years. Let me show you why this is so intriguing, even at the higher price point:

For this deal, I would be making a solid profit each month. Then, I would be at breakeven in three months for my initial cash down, and my cash-on-cash return in year one would be downright impressive. Close to 3X!

Once the deal was settled, I could use the proceeds as cash down on another business.

My friend Brandon of Investment Joy did this exact process:

- Total deal size = \$675,000, but 94 percent was seller financed. Brandon put in \$40,000 of his own money for the down payment and the other \$635,000 was negotiated as seller financing with 3 percent interest.
- Of his three main businesses, they are more than 90 percent seller-financed.

Honestly, the businesses I bought back then weren't even great deals at that price. Not enough profit, too small, operators I couldn't rely on. It was a ton of work and I wish I had done a thousand things differently. Those first deals were jobs, not businesses; I was too scared of failing and going bigger on a real deal. I also made tons of mistakes but still made money. So don't for one second think I'm some kind of genius, or lucky, for buying these. I was not, and still am not. I'm largely allergic to spreadsheets and get hives looking at forward projections. If you're willing to roll up your sleeves, the Profit Payback method is the way.

“But I’m Still Scared of Debt!”

If it scares you to take on debt, good. It should. The first deal you do is the most important deal you'll ever do; get it wrong, and you'll think deals are bad. Get it right, and your life changes forever.

There are really two main questions to ask yourself about debt before you take it on:

1. WILL IT PAY FOR ITSELF?

I only take on debt when the return on what I'm using it for will pay me more than the debt service. I don't buy boats or fast cars. I do deals. Example: Buy a business with a stock loan and use the profits to pay for the debt service.

2. WHAT IF IT DOESN'T PAY FOR ITSELF?

Chaos theory reigns. If something can go wrong, it probably will. So, what happens if I am totally wrong and I end up not being able to cover the debt service? What will I do? How do I cut my losses? First, I never do a deal so big it can bankrupt me. Please don't do that. Get investors, use seller financing, don't mortgage your house. Learn, earn, then invest. Eventually, if you do this right, your first deal will look dumb in retrospect. You'll realize it was too small, too far, too whatever. So you

make sure that it's sellable. Then you sell it. That's what I do. You can too.

The Truth about Debt

Smart men go broke three ways: liquor, ladies, and leverage.

—CHARLIE MUNGER

Charlie's partner, Warren Buffett, famously corrected him later to say, "My partner Charlie says there are only three ways a smart person can go broke: liquor, ladies, and leverage. Now the truth is, the first two he just added because they started with *L*—it's leverage."

Leverage is just another word for debt. Debt is neither good nor bad. It is simply a tool. However, it's a tool that separates the rich from the poor. Use it wisely to create millions. Use it poorly to bury yourself under its weight. The wealthy understand debt. They use debt to buy cash-flowing businesses that will, in turn, pay off the debt. They use it to fund those businesses' growth (lines of credit). They use it to buy real estate (mortgages). Average people don't understand debt, so they do dumb things with it. They use debt to buy liabilities (things that don't make any money) and then wonder how they're in such a deep hole. Remember, leverage done wrong can bury you.

Just remember the old Warren Buffett-ism: "Never risk what you have and need for what you don't have and don't need."

If you read the above and say, "That won't work for me," you are probably right. It won't. If you read the above and think, "How could that work for me?" it probably will.

I've built broke. I've built scared. I've built alone. And let me tell you: It's never the right time to buy a business. But it's also *always* the right time.

So, as you move forward with the negotiations process, I want you to remember these two words: seller financing. That is the debt strategy that wealthy people use, which will allow you to buy your first business with little money down, bringing you one step closer to financial freedom.

Five More Ways to Buy a Boring Business without Relying Only on Cash

There are many paths to the promised land. After doing hundreds of deals and helping thousands of people, we've found several other ways to buy a business with little or no money down. I've seen all of them work again and again, depending on the situation.

I am often asked, "Which is best?" The annoyingly true answer: it depends. So in this section, you'll see the pros, the cons, and some examples of five more strategies we've used to buy businesses using smart financing.

1. Loans (SBA, Asset Loans, Equipment Loans, etc.)

This is probably the only love letter to our government you'll ever see me write. My favorite three-letter word: SBA ... well, SBA loan.

Think of it like this: dear old Uncle Sam is giving you up to 90 percent of the purchase price for you to buy a small business. Wild. Basically, the government works with banks to set guidelines for loans to be qualified under SBA requirements. It's like having the government back your loan, so if you go belly-up, the government covers some of it, which means lenders lend more freely. It's genuinely a phenomenal program.

What's the catch? There are a few parameters (also these change, so hit up your local SBA bank):

- The business has to be profitable.
- It has to have been around for at least two to five years.
- There are limits on how much money they'll give you.
- You have to qualify, as does the business.

What does it take for you to qualify for an SBA loan? Specific requirements can vary, but you'll typically need the following:

- Credit score of 680 or higher
- Minimum 10 percent down payment
- No criminal history
- No ongoing federal debt

- Industry or managerial experience
- Bankrupt-free record from the past three years

Now, the most common loan I've used is an SBA 7(a) loan. That is the most flexible and basic loan, and the interest rate is based on the amount you want to borrow up to \$5 million (there are nuances here and this varies, so go talk to your local bank). You can use it to buy a business or get working capital, expand a business, purchase equipment, and improve facilities. The loan term can be up to ten years for working capital and up to twenty-five years for fixed assets.

There are many other types of SBA loans, so I recommend going to sba.gov to find an SBA loan office that can give you options on which type of loan you qualify for. They have options for veterans, minorities, and more. Let's not turn this into an encyclopedia, eh?

Your loan application will require (at least):

- A purchase agreement
- A letter of intent to buy the business
- The past three years of business tax returns
- Reporting of any outstanding business debt
- A business lease agreement (if leasing)
- Reporting of long-term business contracts
- Incorporation documents and business license
- Documentation of business assets

You'll also typically want a short business plan to show that you are not completely inept and are capable of running the business. If you Google "SBA sample business plans," you can steal other people's homework.

SBA BENEFITS:

- Lower down payment: Banks typically want 20 to 30 percent down, but you can (sometimes, not always) do 10 percent with the SBA.

- Longer terms: You can get loans anywhere from ten to twenty-five years as opposed to the standard three to ten years.
- Easier qualifications: It's infinitely easier to get this loan.

CONS:

- Time: It usually takes 90 to 120 days. (Is the government ever speedy?)
- Rates: You can get lower rates than an SBA loan if you have a good relationship with a local bank. Interest rates are often variable, which can be very problematic.
- Inflexible payments: There are set terms, prepayment penalties, and variable interest rates.
- Personal guarantee: You are on the hook if you can't repay.
THIS IS BIG.
- Decent credit: The loan is assessing the business, but you can't have bottom scores.

Bottom line: It's found money. It's got strings attached, but it's a source nonetheless. The government certainly takes enough of your taxes, and this is an opportunity to take some back.

WHO GIVES YOU THE LOAN?

Below is a list of some of the top-ranked SBA 7(a) lenders in the United States. Call them, or you can hit up the SBA direct. It has local centers across the country ready to help you.

- Live Oak Bank (liveoakbank.com, 866-518-0286). They're my favorite. We do deals with them and we do get a commission, FYI. Use the code word "Codie" for them to hook you up.
- Huntington National Bank (huntington.com, 800-480-2265)
- Newtek Small Business Finance (newtekone.com, 800-749-8707)
- Celtic Bank (celticbank.com, 801-363-6500). We also get a commission here, as we use them a lot too.

2. Customer Acquisition for \$0

Brittany ran a small gym during the height of the pandemic.

Walking down her town's main street, she could almost hear the snap, snap, snap of closed signs going up in windows as she walked by. Of the ten fitness companies she competed with, only two were left standing by the end of 2020. She called me one day to ask about buying equipment from the closing gyms at a discount, aka an asset acquisition.

"You are missing the boat entirely," I said. "The opportunity is in helping them sell and you buying them." Here's how Brittany did it:

- She reached out to all the gym owners who had closed or seemed close to closing. She said she wanted to help them recoup some of their costs through creative acquisitions.
- She told each owner she would give them 50 percent of all the revenue for six months from any client they transferred to her business. Now Brittany's former competitors had skin in the game of building Brittany's business. (Brittany could have structured this as a percentage payout over a multiyear period based on future sales so the former owners had an income for a few years and Brittany could have deferred payment.)
- She brought in the former owners to her club to do a farewell class and handhold their clients over.
- She helped former owners draft email/social/marketing messages for all their former clients to explain how they didn't want to leave them without a home, so they found them one.
- She gave former owners lifetime memberships to her business and welcomed them to the family.
- She created an email and marketing sequence that dripped on the new customers for a few weeks to close them.

Brittany acquired \$100,000-plus in revenue for her business with two acquisitions, for a total cost of zero dollars. She gave those customers a home and the dejected owner a win. Hell, the owner could even say they sold their business instead of closing it. You cannot underestimate what that means to an owner.

Let's say a business is closing in your area. What if you reached out to the owner and repurposed their clients to your business? You

propose a deal to refer their clients to you, they get a percentage of the revenue of clients who sign up, and you help the owner craft a “goodbye or transition plan.” In one fell swoop, you’ve allowed the owner to get an annuity, given those clients a new home, and cut yourself into a revenue stream or a new business line.

3. Customer Acquisition for Referral Fees

The average restaurant doesn’t last longer than a year. But when they go under, they get nothing and all their customers have to find a new spot. Hold my beer, let’s fix that.

Peter, a member of our Contrarian Community, reached out to a local restaurant owner who was going out of business. He asked if they would send their customer list a final goodbye email with a discount code that was good for a year at another restaurant nearby. Here was the deal:

- Anytime a customer bought something with that code for 25 percent off, both the previous owner and the acquiring restaurant made money.
- That restaurant owner, who had a list of fifteen thousand customers, made \$2,250 in two weeks following his email.
- Meanwhile, Peter made \$1,000 off that same email and continued to make more than \$100 a week from that deal.
- As for the acquiring restaurant owner—that customer list he essentially bought into for \$0 has netted him more than \$20,000.
- Once he realized that this strategy would be useful, the old owner switched his email list to being a recommendations list with his “best of” picks. So that is almost \$23K from a business that previously was going to evaporate for \$0.

The playbook is simple: Find businesses that are closing or closed, email their owners to see if they want to do a referral fee for any customers transferred, then find an adjacent business that will pay you for those warm leads in perpetuity. Voila, you’ve bought yourself a revenue share in a business.

4. Revenue Share Acquisition for \$0

My friend Drew Sanocki made a career out of paying one dollar for big and small websites that were losing money. He turned AutoAnything into a nine-figure company by buying up money-losing websites for a dollar each and growing them. He even bought businesses doing millions in revenue for one dollar. How did he get something for nothing? By promising the owners a percentage of future revenue as he turned the companies around.

Why would anyone do this? These are often called zombie companies by private equity and venture capital funds. They barely exist, careening along costing them either money or time. They've tried to grow them and failed. All of a sudden an expert with a track record of success comes along and says, "Your business can keep bleeding, or you can let me take it over, turn things around, and take a percentage of my upside. Which do you prefer?"

5. Employee Acquisition for \$0

There is a uniquely terrible feeling of being on video, with your own face, and those videos being awful ... and all over the internet. That was me, and I was drowning in misery. My editors were chopping up videos so poorly that one got memed. My ego was bruised AF. The problem was we couldn't find good enough editors, producers, and videographers in Austin. So I hired a vendor. They were expensive, but they were AWESOME. Then I did what I always do, I talk to the owners. His name is Tanner. I was like, "Tanner, how's this going? Do you like the agency model? Seems like a lot of work?" These are leading questions. Tanner proceeded to tell me it all. Not fun. Tough partners. Not working. Hmm. Insert maniacal, calculated laughter. "Young Tanner, what if I bought your company?" He was like, umm yes. "But here's the catch: I don't want your partners and I don't want the assets. I really just want you and your team. So I'll do what's called an acqui-hire. I'll buy out your company but just for the cost of you and your team's salaries, plus a signing bonus if they all come on and stay on for a certain period. You get a sale on your résumé, and I get great team members." Win-win.

In VC land, this is called acqui-hiring—a combination of acquisition and hiring. We also did this with instructors at Brittany's gym and added ten new employees who brought hundreds of new clients with them.

After all, does anyone think it's easy to hire right now? Ya, me neither. Well, how about this: A business that is closing refers employees to you, a competitor who is staying open. You pay either a finder's fee for all employees who stay past a certain period or a profit revenue share for any clients brought over. Here's how you can play too:

- Do the same process with employees of the other gyms or businesses in your sector.
- Ask the owner to help transfer their best employees or contractors *and client list*.
- Give the owner and the employee a percentage share of revenue or profits for their clients.
- Give new employees off-hours that you currently don't have filled to do their classes.
- Bring them in to co-teach a class with one of your other instructors.
- By acquiring employees through revenue or profit share, you are growing inorganically with *zero* dollars out of pocket.
- Keep only those who work to offset their costs.

The moral of this story is, if you run a business and you aren't out there trying to buy competitors who are closing, you are missing a *huge* opportunity. Plus, it's fun as hell.

PREPARE FOR PURCHASE: GETTING YOUR DOCUMENTS IN ORDER

The Blank Page: How to Begin the Negotiation Process

People > Terms

When most people do deals, they try to turn it into a full-blown audit. But I like to steal Buffett's homework. Buffett is famous for executing deals on a single-page contract. Why? There are only two things that matter in analyzing deals.

1. *Will I make money?* (the business economics — revenue, profit, expenses, assets)

2. Do I want to work with these people? (the team—employees, clients, contractors, sellers)

So before we get into how we do deals, I want to give you a little secret trick I call the Blank Page Start. Why? Because lawyers are awesome ... at complicating things. So when I'm negotiating and structuring the deal, before I bring in an attorney, I take a blank piece of paper and write out something like this:

Hey, seller, we've agreed there might be a deal here. I want to buy your business for X amount, using Y financing, based on Z terms and conditions.

I do this on an actual blank page and use a pen. Last thing you want to do is scare off a seller, so keep it stupid simple. Personally, I make the deal basic and nonbinding, then I sign and date it. Pro tip: once you get the first yes, the next one is always easier.

I scan the page and email it as an attachment to the seller, with a brief message: "If these terms sound good to you, let's both sign this and I'll get it over to my attorney to paper the deal." I don't bring in the attorney until both sides have signed the blank page.

If you haven't realized it by now, this book is not normal. We have three main tenets here: fast and simple financing, fast and simple signing, fast and simple negotiating. You get the idea. If time and complexity kill deals, we try to eliminate deal killers.

Negotiating Price (without Shooting Yourself in the Foot)

What's the old adage? Never say your price first? That's good advice, usually. But when you're buying a small business from an owner who has never done a deal before (which is most owners), they will almost certainly have an inflated idea of what their business is worth. They have put their lives into it, so letting them set the floor can often send you to fantasyland. If their business is making \$200,000 a year and the owner says they believe it's worth \$20 million, walking them back down to a realistic figure is hard. The seller now has to lose face, and they have what is called price anchoring. They are anchored to an unrealistic price.

What do I do differently than almost all other buyers? I name my price up front. By naming my price first, I get to avoid these emotional pitfalls. Besides, I am buying something that I'll need the

seller's help with in the future. I always want to pay a price that is a win-win. Let one seller lose, and you'll never buy from them (or their friends) again.

How do you set a price on a thing when you have no idea what it's worth? Let the market decide. Small businesses typically sell somewhere between 1 and 5X their net annual profit. I also like to say to the seller:

By the way, we'll get into how profit is truly calculated because it varies. Small businesses sell for 1 to 5X their annual profit at your level. It's not my price, it's the market price. Given there are a lot of companies, transitioning and buying is hard, and the seller is always at an information disadvantage, we just can't go above those numbers.

In other words: it's really out of your hands. Now you're on the same side of the aisle as them. Dang market. You wish you could pay them more. You just can't.

Then, just as a realtor will show market comps when buying a house, I will fortify my point by handing them a white paper from Contrarian Thinking's Annual SMB Report (see the appendix) showing the average purchase price. The final number will be determined by several variables—from inventory and equipment to location and revenue history—but giving them a range will tamp down their emotional investment and tendency to overvalue their business by 10,000X. Now you're in the game.

Finally, always leave them with a mint. You know how you go to a nice restaurant and you get a complimentary mint with your bill? The last moment is minty and magical. You should do the same. They may not remember your first words, but they'll remember your last. So you wrap up this initial conversation on a positive note, reaffirming your interest in their business and your respect for what they've built. Emphasize this one point: you only win if they win. You need the business to continue and them to be aligned with you. By taking the lead, you're laying the groundwork for a smooth and respectful negotiation process.

Once they've signed your page and sent it back, it's time to lawyer up.

How to Find the Right Attorney

*If you think hiring a professional is expensive, wait until
you hire an amateur.*

—RED ADAIR

Before you obsess about whether to set up a C Corp, LLC, ESOP, or some other baffling acronym, you need to obsess about finding a good attorney who knows how to structure deals. A smart attorney with extensive M&A experience can make you ten times what you'd make using a \$200 online legal service. Trust me. This is your "Who Not How" moment.

In other words, the only way to boost your wealth and productivity is to find out *who* can help you, not *how* to get things done. The wrong question is "How do I create a great letter of intent?" The right question is "Who can make my deal structure bulletproof?"

Where do you find your attorney? Three methods:

- 1. PROS REFER PROS:** Ask your mentors or accountants who they recommend. Pros only refer pros. Amateurs can't tell the difference.
- 2. RICH PEOPLE:** With money comes risk. Where there is risk, there are attorneys. Ask your rich friends; rich people often have good attorneys. And yes, even if you're broke, you *do* know some rich people. Everyone is six degrees from Kevin Bacon.
- 3. THE WHO'S WHO LISTS:** Consult the local "luxury" magazines for their annual best-of results and see who makes their lists in the legal field. You can also go to Vault Law 100 (vault.com), which ranks the most prestigious law firms based on assessments of lawyers at peer firms. BizScout also has a list of our favorite vendors.

Once you've got some leads, interview your candidates. Here are some questions to ask:

- How many deals have you done?
- What size deals do you specialize in?

- In what sectors?
- What geographic region are you familiar with? (It usually helps to find someone familiar with your local turf.)
- What price points?

When in the company of attorneys, always remember every conversation comes with a price tag. If you can, get a flat-rate quote from your attorney for drawing up the papers and advising you on the deal. They'll always give you an hourly rate, but I say, "Hey, here is what I want. I want an LOI, a purchase agreement, and an operating agreement for a company worth less than X amount. What is the cost to get those things accomplished?" Then comparison shop.

The right questions make you money. You'll want to get a time estimate from them. How fast can you get these documents back to me? How many revisions do we need to have? The biggest killer of deals is time, so speed is important. You should take your time to find the right deal for you, but once you've found it, you want to move.

Lawyers have more specialties than birds have feathers. You may find that you can use the same attorney for similar deals in the future. But if you execute a completely different type of deal, it could make sense to find another lawyer. For example, I tend to use one attorney for many of my purchases, but recently when I was acquiring some intellectual property, I switched to a person who specializes in that area of the law. This is when using a midsize firm might be to your advantage. Midsize firms often "got a guy" for just about everything, so it might be easier and cheaper to stay within the firm you're already using. Just get a new guy.

After you've found your attorney, the next step is to focus on the three essential documents you'll need to get this deal done.

The Three Documents You Need from Your Attorney

Those who write the blueprint control the structure. As the buyer, you should always do your own documents—or, in all likelihood, your attorney should. Do NOT let the seller or the seller's broker do the documents; whatever draft you get from them is inherently biased. You want your attorney to come up with clean documents—your documents.

I've had many, many sellers say, "Oh, the broker gave me the offering docs and I'm going to review them and make sure the terms look good." Nope. No, you're not. So you say, "No, let's start with my documents because I'm the one buying the company. Then your attorney can review them and make sure you like them."

Contracts cost. Expect to pay \$3,000 to \$25,000, with the complexity of the deal increasing the overall cost. Apart from your college degree, these documents will likely be the most expensive pieces of paper you've ever purchased. The only difference is that these can actually make you a lot of money.

1. LETTER OF INTENT (LOI), NONBINDING OR BINDING: Think of the LOI as an engagement ring. It's your official proposal to buy their business. It's also a framework that aligns both of your expectations going into the deal. A nonbinding LOI indicates that both parties are serious about the transaction but are not legally committed to proceed. A binding LOI has legal consequences and may require both parties to complete the deal under the terms specified. There is nuance here, a lot of it. So get with your attorney before you move forward on this stage.

2. PURCHASE AGREEMENT: If the LOI is the engagement ring, the purchase agreement is your marriage certificate at the courthouse. This is the main document in the acquisition process, which details all of the final terms and conditions of the business sale. Unlike the LOI, this document is legally binding. For the buyer, it ensures that they receive what they are paying for. For the seller, it provides assurance that they will be compensated as agreed upon.

3. OPERATING AGREEMENT/SHAREHOLDER AGREEMENT: There is no document like this one in a marriage, so let's kill that analogy now. The operating agreement outlines the business structure, management roles, profit-sharing mechanisms, and other operational details. This document will dictate how the business is run post-acquisition, including decision-making processes, dispute resolution, and profit distribution. You and your lawyer will want to ensure this is aligned with your vision and management style for the business.

A key thing for your attorney to know is whether you think you'll eventually sell the business or keep it forever. Here are other key questions to know about yourself:

- Do you want to buy more than one business and add it to your company, or are you interested in buying just one business?
- How big do you think this business will get? For example, if it's a laundromat, you're probably not going to sell for \$10 million. Therefore, you do not need a complex C Corp structure. But only you, your attorney, and the business can tell you that.

This leads us to another common question I get:

What type of company structure should my business have?

Never take marital advice from a single person, and never take legal advice from a non-attorney. Your lawyer is the best person to answer this for you, but I'll give a few examples here that might help with this decision.

Let's say you are looking at buying an e-commerce company doing a couple hundred thousand in revenue annually. An LLC structure might be sufficient. But if you're planning to grow the company and sell it for several million dollars, a C Corp structure would make more sense. You pay a little more in taxes for a C Corp than for an LLC, but with the C Corp you can use the QSBS (qualified small business stock) exemption, which lets you take no capital gains on a C Corp structure that you sell.

By the same token, if you buy a laundromat and you're never going to sell it for millions, a C Corp structure is overkill, and an LLC may make more sense. Repetitions at this game of business will steer you well eventually, but perhaps not yet. In the meantime, pay the pros.

There are a couple of key things I want you to talk to your attorney about. The first is asset purchase versus stock purchase. An asset purchase involves buying only the assets of the business (like equipment, inventory, and real estate), whereas a stock purchase involves buying the entire company, including all its assets and liabilities. The most common I've seen in small Main Street businesses are asset purchases, due to wanting to limit liability and just buy the assets, not intellectual property (IP). That said, there are many reasons why companies may want to do a stock purchase

instead, such as if the IP and name is needed historically for government contracts, or if you need the credit history of the business. Talk to your attorney. It's not overly complicated but it is decided on a case-by-case basis.

Next is the allocation of the purchase price, which is a process in which both parties agree on how to allocate the purchase price among different assets. These typically fall into four categories:

- Furniture, fixtures, and equipment (FF&E): Office supplies, trucks, computers, and more.
- Inventory: Products and goods on hand to sell.
- Noncompete agreement: For tax reasons, buyers normally want some of the purchase price allocated to a noncompete to help bolster its enforceability. There is value in not having the seller compete with you.
- Goodwill: This is an intangible asset that accounts for the excess purchase price of another company. Items included in goodwill are proprietary or intellectual property and brand recognition, which are not easily quantifiable.

Essentially, what you need to know right now is if you buy a business for \$600,000 you can be taxed very differently depending on how you allocate it. So just keep that in your back pocket for when you close.

EXAMPLE: \$600,000 PURCHASE PRICE			
Item	Tax Treatment for the Buyer	Allocation Option 1	Allocation Option 2
FF&E (furniture, fixtures, and equipment)	Depreciated	\$500,000	\$200,000
Inventory (goods on hand)	Deducted as COGS	\$50,000	\$50,000
Noncompete agreement	Ordinary expense	\$5,000	\$5,000
Goodwill (brand and anything in excess of the	Amortized over 15 years	\$45,000	\$345,000

EXAMPLE: \$600,000 PURCHASE PRICE			
Item	Tax Treatment for the Buyer	Allocation Option 1	Allocation Option 2
above in purchase price)			

There are two things an attorney can't tell you: whether the deal is good, and whether your partner is gonna work out. Only you can answer those questions. All I can tell you is forgoing a business partnership agreement comes at your own peril. This next section will tell you why.

So, You Want a Business Partner ...

Your most expensive mistake will not be an action taken, it will be a human chosen. And one of the biggest mistakes I see first-time business buyers make is partnering with whoever is in front of them.

But it'll be more fun! I won't be alone! They're one of my most talented friends! They bring so much to the table! This will allow us to get rich together!

Maybe, but probably not. When it comes to partners, I like to reference a rather off-color article by Ben Franklin. It is called "Advice to a Young Man on the Choice of a Mistress," written in 1745. While I'm not in the business of needing a mistress, if you substitute the word "partner" for "mistress," Franklin is rather sage. He writes that if you must have a mistress, you should pick an older one. Why? Because "they have more Knowledge of the World and their Minds are better stor'd with Observations." Which is prescient. And perhaps my favorite reason: "They are *so grateful!!*"

Buffett and Munger often reference these two things about their partnership. One of them with more experience, and both immensely grateful. If I leave you with no other advice, experience and gratitude would likely be a good place to start. When it comes to partners, I prefer that they not learn on my dime and that I smile when I see them.

Think of it this way: Even when people marry their dream partner, they still have a 50 percent chance of failure. A business partnership is similar but without all the fun of makeup sex and the glue of mini humans. It is a commitment to another imperfect person through

difficulty, disaster, and dullness. This is not for the faint of heart and not to be taken lightly.

My advice has largely become: Don't partner on your first business. Don't give away your equity. Yes, a good partnership can be powerful. But are you so sure you know what good looks like? Do one-off projects, work alongside others, but be careful whom you marry. Just because you can doesn't mean you should.

You want to win with another? Prepare for what winning looks like. Late nights. Frivolous lawsuits. Money stolen. Banks withholding your pay. Missed date nights. Firing employees. Hard choices. There is no other way, there never was, and most humans cannot take it. I wish someone had told me that your success will likely be driven by your partners, and that bad ones look very different from good ones.

BAD PARTNERS:

- History of losses
- No long-term partners
- Need you to win, while you don't need them
- Say they do "strategy"

GOOD PARTNERS:

- History of winning
- Long-term games and friends
- Will win regardless, but choose you
- Say they do whatever is necessary

When I first started, I didn't have a lot of rules for business partners. I confused friendship with partnership. This was a mistake I wish upon no one. I've lost count of the money I've spent learning lessons on choosing the right people (for me). I do know that I've cut a \$1 million check, I've spent multiple six figures on attorneys (plus a year of my life), and I've lost friendships because I wasn't willing to have hard conversations up front. Fear up front meant payment later. I've come to believe that your success is a direct result of the number of difficult conversations you are willing to

have. Now I ask myself a few questions and do a little hard-hitting homework before I ever do a deal with another human. Here are my rules for having a partner in an acquisition:

- 1. TRUST BUT VERIFY:** Run a complete background check. Chat with ten others who have done business with them. Yes, ten. Review their business's reviews and BBB files. If they've ever raised capital, talk to their previous investors. Humans leave trails.
- 2. START WITH THE END IN MIND:** Imagine you will get a divorce. How would that change things for you today?
- 3. NO FIFTY-FIFTY PARTNERSHIPS EVER:** At least to begin with. Someone needs to be in charge.
- 4. NO ONE GETS EQUITY ON DAY 1 FOR FUTURE POTENTIAL WORK:** You either put in money or wait and vest over time.
- 5. ALWAYS DO VESTING CLIFFS FOR PARTNERS:** If you want to give away 20 percent to your operator, give them 5 percent the first year, 5 percent the next year, and so on. (Typically my operators get 10 percent as CEOs of the business, and that can go up as they provide value.)
- 6. TAKE-BACKS IN BUSINESS ARE OKAY:** Add clawback clauses for work or milestones. If the operator of a million-dollar business does poorly and only makes \$200,000, ensure that they don't get their equity.
- 7. SET THE PRICE NOW, OR PAY THE PRICE LATER:** Add in triggers. If they want to leave, you get to buy their equity at a set valuation or multiple.
- 8. IF IT'S NOT WRITTEN, IT DIDN'T HAPPEN:** Add an operating agreement and an employment agreement for your operator with very specific expectations and triggers if they don't hit benchmarks.
- 9. BEWARE OF SHADOW INFLUENCES:** Protect yourself from anyone who could get in the middle, such as your operator's partners or family members.

10. MAKE YOUR PRO THE BAD (BUT SMART) GUY: Attorneys review all contracts prior to doing the deal.

I wish I could tell you this will solve all your potential problems, but it won't. You can't do a good deal with a bad guy. So proceed on partnerships with caution.

A few final words of wisdom on partnerships:

- Partnerships are easy to get into and hard to get out of.
- People change; expect it. Expect people to turn into the worst versions of themselves when money's involved. For many, money creates monsters.
- Incentives drive actions. If they earn their money regardless of their performance, expect them to do less.
- When people show you who they are, believe them. One partner I had YELLED at two young and inexperienced designers who pitched us, bringing one to tears. Assume you will one day be the one they turn their worst on. He sure proved that right.
- Most people won't want it as bad as you. They won't be willing to put in what it takes. Set the agreement accordingly.

Let's prepare for the shift from diligence to dealmaking.

Think of it as the calm before the storm—a moment to breathe before you officially become a business owner. Because what comes next is the pivot point of your journey toward financial freedom: negotiating the deal.

In the following section, you'll step into the ring, equipped with tips I've picked up (along with many scars) on how to negotiate and close the deal.

HOW TO MAKE YOUR FIRST BUSINESS DEAL A SLAM DUNK

Most things in life come with instructions, safety measures, and guardrails. Dealmaking has none of that.

Think of closing a real estate deal, where you go into a title office and sign a towering stack of documents without reading any of them. You just sign, sign, sign, initial, initial, initial. The industry is

so standardized you sign with blind faith and with no concern for what lurks in the pages.

When you're buying a company, there are no bumpers. There is no normalized structure. There are no standard terms. The two parties can go back and forth, making any changes they want to those legal documents. This can be done in person, over the phone, through email—over and over, through the end of time.

What does that mean for you? It means your dealmaking process can either go really well, or it can completely fall apart. No one wants the latter, but in a world where there are no rules, the ones you don't even know about are the ones that will get ya.

I'm going to lay out the dealmaking and negotiation principles I've learned over the years. I wish I could take credit for all of these, but you're going to learn from some of the giants who helped me not absolutely lose my shirt and make a bit of money along the way.

TIP 1: Pros Control Terms

My friend David Osborn can count his wealth in the nine figures. He's a no-nonsense man who, before our very first meeting, gave me a sixteen-page personality test to fill out. Despite all that, I love the guy. Few people these days tell you things you don't want to hear and why you should believe them. In that vein, I'll never forget when, on the first of our many walks, he told me a truth I've come to use too many times to count. I was negotiating an eight-figure deal and, candidly, royally screwing it up. The deal had become a monster—crazy fighting on the price, me combating every which way to lower it, an entrenched counterparty. But David told me this line:

You can have my price and your terms, or my terms and your price ... but you can't have both.

Then he told me I was being rather like a stubborn donkey fixating on price. Control the terms and you actually control the price. He used an example: "Codie, let's say you have a business that does one million dollars a year and I ask you to buy that business for one billion. You'd probably say yes, right? Well, what if after you sign, I tell you that I'll pay a dollar a day until I get to a billion. Does that change your mind? Sure should. That is the power of terms."

There are only two notes in any negotiation: price and terms. There are countless ways to arrange those notes, but they always belong to one of two categories. Play the chords wisely. ***Pros control the terms.***

Here's a good example of using terms in one's favor. A friend of mine was negotiating to buy a business that made \$200,000 net profit annually. He wanted to pay 2X (\$400,000) for the business, but the owner wanted 4X (\$800,000).

To bring the two sides closer, my friend proposed some milestones:

- He would pay the 4X valuation, provided the business made enough each quarter of that first year to keep it on pace to hit that \$200,000 profit.
- If it went above that \$50,000-per-quarter milestone, then the price would go up.
- So, for instance, if the company only made \$40,000 in the first quarter, the price my friend paid would fall by X amount. Conversely, if the business made \$60,000, the price would increase by Y amount.

Spoiler: nine times out of ten the business will do less than the seller thinks. So in this case the price of \$800,000 for above \$200,000 in profit wasn't actually hit. The final purchase price is more like \$450,000 for slight outperformance. Win-win. Control the terms and you control the deal.

TIP 2: Be Likable

Sometimes the key to good negotiating is donuts. Never underestimate the power of a sugary treat, a strong cup of joe, and zero suits, spreadsheets, or numbers in the vicinity.

One of my deal partners likes to say, "Being likable beats being good nine times out of ten." He's right. We were supposed to pay a guy \$70,000 down for a business we were buying, and I accidentally sent the guy only \$60,000. My partner told me about six months later that we still owed him \$10,000. I was red from my cheeks to my feet. How embarrassing! His response, "This is why you make sure they like you." We paid the owner but he never even raised a peep. The power of affinity.

In a society of self-inflated asshats who come in swinging to negotiations, being likable is pretty simple. Just be honest, set realistic expectations, and show respect for the seller. And when you can, treat 'em to donuts and a thank-you card. In the deluge of texts and emails, a handshake and a pen go a long way. Warren Buffett knew this so well that his thank-you notes have become legendary — a bit tongue-in-cheek, overly transparent, and always handwritten.

TIP 3: Be Patient

Those who can wait, win. There's a famous story of Wall Street negotiators who would pull the competing negotiation team into their office conference rooms, give them plenty of water, coffee, and other beverages, and then, when they needed to use the bathroom, apologize that the bathroom is "sadly" under construction. Since leaving the deal table meant blowing up the deal, the parched team had all the power. The longer the water guzzlers had to wait, the more anxious they became, until they finally signed a deal and, despite the hard terms, smiled in relief. Not my style, but the sentiment carries. My mentor used to say, "Model the Buddha: I can think. I can wait. I can fast." Who would have thought the Buddha would have a place in negotiations? But he's right.

One of the best deals I ever did was with a team that wanted it done so badly they would call and email me constantly. I was getting antsy and thought we were going to lose the deal since they were pushing so hard. My attorney, Todd Phillips, told me to call him and said simply, "The lady doth protest too much, methinks." A famous line from *Hamlet* where the Player Queen's protestations of love and fidelity are too excessive to be believed. What was he saying? They're bluffing. Calm down, pretend to not be rattled. Loud ones aren't usually the issue; be wary of the quiet ones, they are usually the adversaries to beware of.

TIP 4: Flinches and Questions

Sometimes it's not what you say, it's how you say it. A little game I like to play is when the seller names a price that's higher than I want, I simply wince. Without your saying a word, the seller is now compelled to explain how they arrived at their price. That gives you vital information and puts them on the defensive. Sometimes the

seller will quickly start negotiating against themselves and lower their price. If that doesn't happen I like to revert back to what the deal is worth and use the old Chris Voss-ism, "How am I supposed to do that?" It's a no, but it pushes on the problem, not the person.

To get technical: When it comes to price, you have a few additional, smaller levers you can use. If the seller wants an inflated price, let them know that the bank won't loan you that kind of money for a business at their profit level. Or come in with recent sales of similar businesses. Shift the blame to market forces that are outside your control as you make your case for a lower price. But never underestimate a flinch and a question.

TIP 5: Meet Them at Home

Many people hold Warren Buffett as their favorite investor. I, however, hold a special place in my heart for Sam Zell. Zell was a real estate magnate who earned a multibillion-dollar fortune and a reputation as "the grave dancer" for his ability to bring companies and properties back from the dead, but not before buying them for pennies on the dollar. Zell wrote this unforgettable piece of advice:

Today I could probably get just about anybody to come to my office for a meeting, but that wouldn't tell me much. Instead, I spend over a thousand hours a year on my plane traveling around the world to meet with people. I want to see what they are like on their home court, how they treat their people and the examples they set.

Most people want to do deals behind the comfort of their keyboard. I want to shake hands and meet them in their warehouse. Show me, don't tell me.

TIP 6: Be Ready to Walk

Never fall in love with something that can't love you back. The kiss of death is getting too far down the road on a deal and being struck with a healthy dose of sunk-cost fallacy. This means that because you spent all this time and cash on a deal, you think you still have to do the deal, even if you're nicked with tiny paper cuts (bad terms and details) that'll bleed you out. Know what your walkaway number is and stick to it. Remember, in the small-business arena,

there are a LOT of deals available. Hours into a deal do not equal hours you'll get out of a deal. Sam Zell liked to reference the old Peter Drucker quote, "We suffer from knowing the numbers." He meant that no matter what emotions or beliefs come along, we look back to the math. When emotions soar, intelligence plummets. Trust in the numbers. When the math doesn't math ... walk.

A line remembered can sometimes be a dollar saved. Here are truisms I wish I would have known sooner in doing deals:

1. He who wants it least wins.
2. Choices. Give yourself options.
3. Mirror back what the seller is saying. Label and summarize.
4. Negotiations don't happen between nine and five o'clock. [fn2](#)
5. Nothing is good or bad, except by comparison.
6. If it's not in writing, it never happened.
7. Follow-up questions are your secret weapon.
8. He/she who talks most loses.
9. He/she who asks the most wins.

Negotiation is an art, not a science. It takes time to become a skilled artist.

Closing the Deal

Price and terms do not make a deal locked. The magic and the mayhem in doing deals come from the devil in their details. I can't take you through every if-then statement you will come across, but I can tell you a couple of ways things start to get wonky.

Valuation Segmentation

When you're structuring the documents, you want to pay close attention to the price, of course, but also to what is associated with that cost. How much of the price is driven by the equipment and how much of it is driven by the goodwill you're buying? The seller is going to want to assign as much as they can to goodwill because the higher that is, the less they'll pay in taxes.

But that is not a good deal for the buyer. The buyer wants as much assigned to equipment as possible. You do not want to be buying a lot of goodwill, unless you love paying the IRS. You can accelerate the depreciation of equipment, but you have to amortize your tax write-off on goodwill, and that takes longer. Big words that mean: get with your accountant before you close. But sellers might (read: will) try to sneak a high level of goodwill into the deal if they prepare the docs.

We politely pass on that. This is an example of the sellers saying, “Okay, we agreed on terms, and we agreed on price!” and then they sneak in their number for goodwill in an attempt to lower their taxes at your expense. Nice try.

NDAs, Noncompetes, and Guarantees

There are other red flags you should watch out for. Most deals have noncompete clauses that prevent the seller from immediately opening a new business in direct competition with you. But states have different noncompete allowances, and you and your attorney have to be aware of those. For instance, California allows a seller to compete a lot sooner than other states, and if you put in a fifty-year noncompete clause, the state might revoke your entire agreement.

You also want to make sure to add clauses that free you from historical liability. For instance, if a customer sues the laundromat for an incident that occurred before you became owner, you want to ensure that you have no liability. You don’t want liability for outstanding lawsuits the seller didn’t tell you about and that didn’t come up during your due diligence.

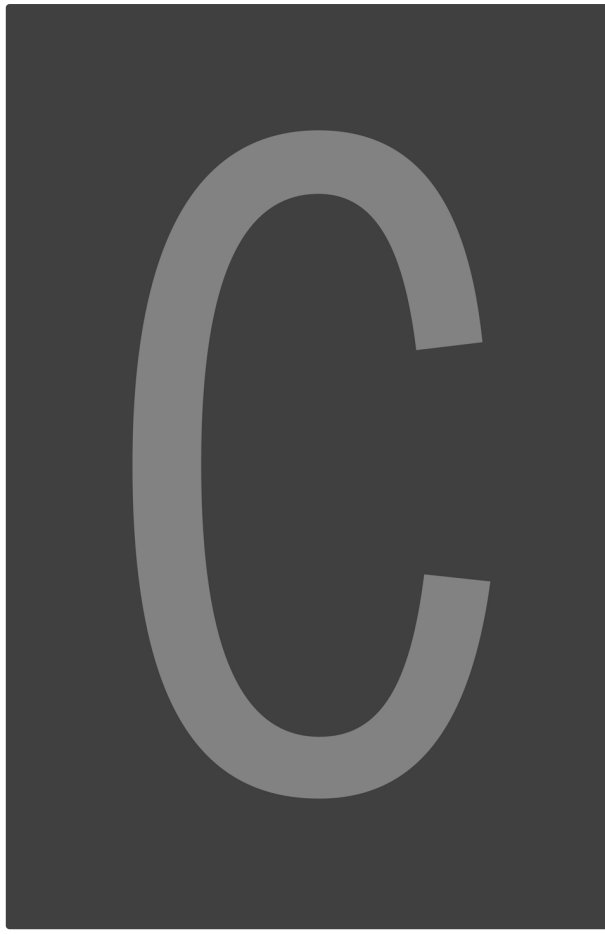
In general, though, keep an eye on the main terms in the purchase agreement:

- Is the asset purchase list complete?
- Is the inventory list complete?
- Do you need a non-solicit clause that prevents the seller from stealing your staff to work in their next venture?
- Do you have contingencies for when X, Y, or Z that were *supposed* to happen didn’t happen?

• • •

Some moments are worth remembering. This is one of them. I remember the first time I signed my name onto a document as an owner. It was both terrifying and exhilarating. No one else to blame, no one else in charge. Just me. Yet, having skin in the game is something every human should try at one point. What else is the point of life except to push your capacity to its limit? Now you will do what most won't. Because you know: Acquisitions are hard. Start-ups are hard. Employment is hard. So, choose YOUR hard.

Today, you could officially be at the cusp of ownership. There is magic in that moment—savor it.



HIRING AN OPERATOR: THE KEY PLAYER OF YOUR BUSINESS

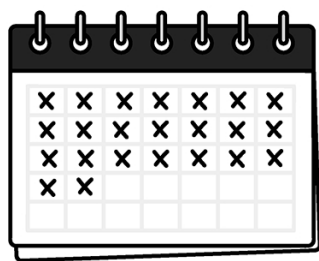
At this stage of the game, the most common question I get from new owners is this:

After I buy the business, how do I manage the damn thing?

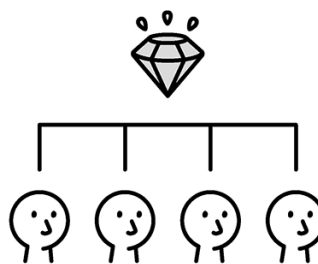
If this is how you're feeling, don't worry. Most new owners don't know how to run a new business they've acquired. And they can't fathom how entrepreneurs like me oversee anywhere from ten to thirty cash-flowing businesses at a time.

The secret rule of ownership is to hire a team that runs your entire business better than you. In business, unlike sports, we don't perform to the level we practice, we perform to the level of those we hire. Managing multiple businesses ain't easy, so please start with one. As a beginner, it will feel like an oddly fun mixture of bull riding meets tequila shot drinking.

Here, the captain and all-star of your team is your operator. The one who runs the plays day to day while you fund it and find your next deal. Before you get all excited, with dreams of others doing your work and growing your bank accounts while you lounge poolside, let's talk about the tale of two operators ...



SPORT IS ABOUT HOW
MUCH WE PRACTICE



BUSINESS IS ABOUT
WHO WE HIRE

TALE 1: The Dark Side

The keys to the business were ours, finally. We had just bought a twelve-year-old business that would profit each of us a few hundred thousand dollars a year. Or so I thought.

My operator found me the business and promised to run it as well. Perfect, right? Months pass and the business is growing slightly slower than we thought, but hey, that happens. We've asked for a few updates, we've had a slight push and pull on the business, but we give the operator a lot of rope. It's his first business takeover with me, and I love him. He's basically family.

Then one night, on our annual family summer vacation, I get an odd email from my accountant. Turns out our operator was on vacation too. The accountant had started running the numbers in his stead. Small problem: the math was not mathing. After several late-night phone calls (which the operator wouldn't pick up) and many more texts (left firmly on unread), we realize, *Holy hell, we've been taken for a ride.*

Our little business was running on fumes, likely funding our operator's European vacation from the profits of a business that was apparently far from profitable. It took long sleepless nights, months of work, and lost friendships to get the business back from him and turn it around. Turns out, you should always use the word "family" carefully.

TALE 2: The Bright Side

What does a good operator look like? You have conversations like this:

"Chris, what is this deposit for \$14,850?" I ask while checking one of our bank accounts.

"Oh, that's PortCo payout. Hunter just sent it through," he replies.

Mailbox money. 'Tis possible. Hunter runs one of our portfolio companies. He works hard, treats the business like it's his, does what he says he is going to do, is BETTER at running this business than we are, and has fully aligned incentives. This is the power of a good operator. You do what you promise, they do what they promise, and the checks get deposited while you're living life.

Is it always perfect? Sadly, no. Does he make mistakes? He'd be the first to admit, yes. But once you have worked with pros, you'll never allow for another amateur.

Many want you to believe that business ownership and operations is impossibly difficult. You, the average person, can never do it. How dare I simplify, and how dare you try. My response to them is always, “Okay, if it is so hard, why didn’t you go back to being an employee?” At which point they all chuckle. *Well, yes, it is better than that.*

In this chapter, I’m going to give you a framework that’s allowed me to own my businesses, instead of getting owned by them. (Spoiler: the key is hiring a great operator.)

Do You *Really* Need an Operator?

Short answer, no. I have bought many businesses to replace a job, then ran it myself to start. Long answer, it’s a heck of a lot more fun than doing it all yourself. Consider my own experience with a laundromat. This might shock you, but I do not know how to fix a washing machine. My husband doesn’t even allow me to wash our own clothes for fear of my ineptitude with our residential machine. So you can imagine, the first day I walked in as the owner, I would’ve rather swum with sharks than be tasked with laundry operations. Every task—from mixing soap for large wash batches to opening coin collectors—was foreign to me. Operating this simple, boring business required skills and knowledge I didn’t have. I was an embarrassment.

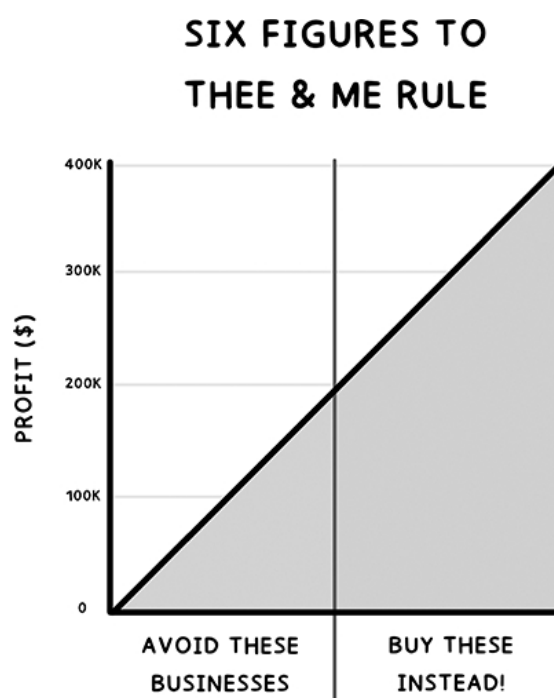
Thankfully, I had a guy who brought the expertise needed to keep the business running smoothly. His role was essential.

This brings us to the crux of the owner-operator relationship. Owning a business where your daily involvement is minimal can feel ... strange. You might wonder if you’re even necessary to the whole equation. Before you ask, the answer is YES. Your operator often relies on you as much as you depend on them. This is a symbiotic relationship, where your investment and their expertise converge. Together, you create a pathway to success for both parties.

In my case, hiring an operator was mission critical. The business became a well-oiled machine under his daily supervision, which allowed me to find more deals, add them on, finance them, and build toward our future growth. We brought different skills to the table but worked together harmoniously to create more profits. That’s the name of the game.

How Much Should You Pay an Operator?

Follow my “Six Figures to Thee & Me” rule. Your business needs to make enough in profits to pay six-figure salaries to both you and your operator. I won’t buy a business unless it has \$200,000 in annual profits. That’s because I want to make at least \$100,000 (six figures) and pay my operator \$100,000 (six figures). Why? The three most important words in investing are *margin of safety*. Buffett said it best: “Margin of safety, which means, don’t try and drive a 9,800-pound truck over a bridge that says ‘Capacity: 10,000 pounds.’ But go down the road a little bit and find one that says ‘Capacity: 15,000 pounds.’”



My rule is always be generous in paying those who make your life easier. Coups start with shallow pockets. I’d rather pay myself less than my operator to start with. Let’s say you’re happy with making \$50,000. You buy a local auto-repair shop, with annual profits of \$120,000. According to Glassdoor, a fair salary for an experienced auto-repair operator is \$60,000. That means you have \$60,000 left over for your annual salary. Nice! Just one small issue: if ANYTHING goes wrong in the business, you will either need to pay yourself less or find a cheaper operator. *Margin of safety*. Magic words.

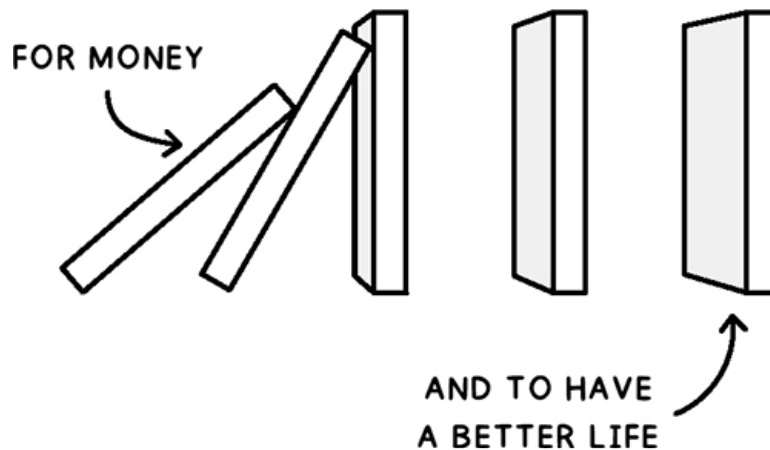
If you don’t want to run the business yourself, you need profits. Those profits will let you hire a quality operator while still reaching

your financial goals. How do butchers stay fat? They keep a little meat on the bone for droughts. Same goes for investing.

Money is just one carrot to dangle. If you're hiring top talent, it should not be the only carrot you offer. Here are my top three options to make an operator's compensation package more attractive and aligned with you and the business:

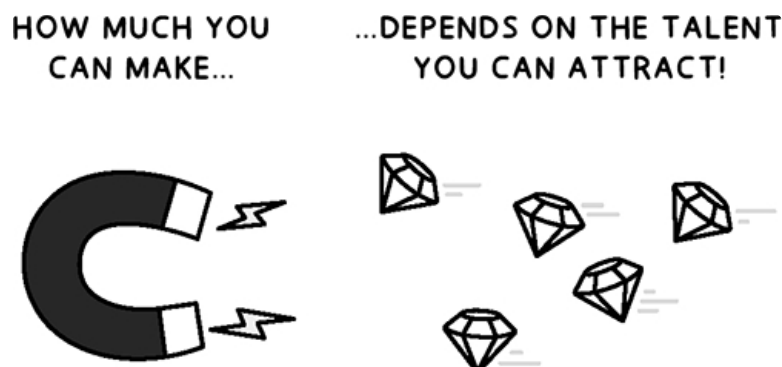
- 1. PERFORMANCE BONUSES:** Offer bonus incentives based on the business hitting certain milestones or key performance indicators (KPIs). For example, if they can increase revenue by \$100,000 within the fiscal year, they get a 5 percent bonus (i.e., \$5,000). The operator's performance is now tied to the business's success. They have skin in the game. Nothing aligns behavior better than that.
- 2. EQUITY:** Consider offering an equity earn-in or buy-in option. Maybe after one year of meeting or exceeding set KPIs, they earn a 2 percent equity stake. Or they could be awarded a 5 percent equity stake if they hit 20 percent year-over-year growth for three consecutive years. This method can be particularly effective with proven talent. It aligns their long-term interests with the health and growth of the business.
- 3. LONGEVITY PAYOUTS:** Craft your compensation plan to reward both longevity and performance. For instance, set different payout tiers for three-, five-, and ten-year milestones. This motivates your operator to not only stick around but consistently perform at their best.

PEOPLE WORK FOR YOU:



Naval Ravikant said it best: **Play long-term games with long-term people.** This is the key to success. But success can be engineered with win-win scenarios. Your operator is incentivized to grow your business, all while creating a culture of ownership and accountability. Their success is your success, and vice versa.

Don't Chase Talent, Draw Them to You



The problem with most job listings is that they're starting a love letter with "To Whom It May Concern." Amateurs. You are not going to make that mistake. You are going to serenade your people.

The best job listing of all time is often attributed to Sir Ernest Shackleton, and it supposedly read like this: *Men wanted for hazardous journey. Low wages, bitter cold, long hours of complete darkness. Safe return doubtful. Honour and recognition in case of success.*

Your job listing should read like an advertisement for a thrilling opportunity. Those who want safe harbor will stick to cubicles and 3 percent annual raises. Give yourself permission to be creative and go beyond a list of responsibilities. Like my friend Shaan Puri, who posted this job listing for an intern on Twitter:

Internship Contract

I'll pay you, but this won't make you rich.

It will be hard, and you will learn a lot.

Sometimes I'll forget that you're young and have never done this before.

I'll ask you what you think. Not as a pop quiz. Just to know.

If I say "can you do that?" Just say yes & figure out how to do it later.

I'll invest in you as much as you're investing in yourself.

I'll push you into the pool, but I won't let you drown.

I will be brutally honest with you. I may be the first to do so.

You will get 3 years of experience in 1 year.

I won't give you any work that I haven't done myself.

You will end up in meetings you don't belong in, so that one day you belong in them.

I'll judge you on your results, not your age.

I don't drink coffee, so you'll never have to make me one.

Sound good? Let's do it.

-Shaan

P.S. If I forget to do one of these things, remind me.

Seven Tips to Write a Job Listing That Attracts Amazing People

Here are my golden rules for attracting talent so good they'll make you question whether you should, in fact, work for them instead.

- 1. WRITE LIKE YOU TALK:** I once hung out with a guy who spoke like a Macy's ad: monotone, bizarre sentences like "for a limited time only" and "we look forward to your presence." It was the opposite of fun. It felt like being too close to your weird, pale uncle. When you write, write like you're talking to a smart, curious, cool friend. You kind of want to impress them, but if you used a bunch of big words, they'd think you were a snob. Less important to sound sexy here, more important to be honest.
- 2. ROLE TITLE:** Use something that is SEO-friendly. Don't use any "Ninja/Unicorn/Badass" whatever-type-of-operator title. No one is searching for that.
- 3. ROLE INTRO:** Draft a compelling introduction to the role. Remember that you are basically marketing the company, and this position, to the world. What would catch this person's attention? What pain have they experienced before in relation to their work? What have been their frustrations with the role? How can we help solve that?
- 4. POSITION OVERVIEW:** Here's your general overview of the role and responsibilities. The more specialized the required skill set, the more specific you should be.
- 5. COMPANY OVERVIEW:** Explain what your company does (aka how you make money). Bonus if you can include a founder story.
- 6. COMPANY MISSION:** Tell them what the long-term vision is for the company. Leave them feeling inspired and wanting to join you on the journey.
- 7. LOGISTICS:**
 - Where it's located
 - Salary (job postings with salary ranges are significantly more likely to get applications than ones that don't offer a range—just be transparent)
 - Benefits
 - Instructions on how to apply for the job

Here's a real job listing we used to find and attract an operator.

Title: GM/Operator of Contrarian Thinking Capital Portfolio

Contrarian Thinking is seeking a motivated GM/Operator to build and run the next generation of business acquisition. This person will build the team in underwriting, investing, and managing new investments. This is not your grandparents' holding company, we're using media and money to revolutionize acquisitions.

The ideal candidate for this role is intellectually curious; able to analyze complex data to identify risks and opportunities; has the capacity to work in a fast-paced, collaborative team environment; and is driven to help improve and innovate the team's approach to investing. Responsibilities include performing due diligence analysis of potential investment opportunities and assisting with day-to-day monitoring and reporting of the investment portfolio. The catch here is this is nothing like your traditional private equity companies. We use seller financing heavily, we do deals in the micro SMB space, we use our audience as a magnet for deal flow and investment, and we have a focus on using as little capital as possible up front to do deals.

Specific Responsibilities:

- Provide hands-on leadership for all aspects of investment activity—from origination to exit—with the goal of growing the portfolio into a significant asset base and high-quality opportunities
- Develop and execute an acquisition strategy that drives revenue and growth
- Source proprietary investment opportunities and create an investment deal flow pipeline
- Validate the business opportunity, establish an investment case, and structure and negotiate terms for potential investments
- Develop a complete understanding of an emerging company by evaluating its market opportunity, competition, product, sales and growth, operations, financial statements and projections, management strength, equity needs, and capital structure

- Work with and support portfolio companies in tandem with the Head of Portfolio Management, including attending board meetings and monitoring performance to ensure returns and strategic objectives are achieved
- Analyze and report on portfolio performance, and make recommendations for future deals
- Due diligence includes but is not limited to: reviewing detailed company information, conducting in-depth industry analysis, completing reference checks, running debt models, and performing valuation analysis (comparable and DCF) in order to evaluate the overall attractiveness of a transaction

Qualifications:

- Minimum of 10 years of experience including significant experience at a top-tier venture capital firm or major corporation venture capital group, with a deep understanding of the small-business acquisition space
- Proven experience from sourcing to exiting investments, including deal analysis, due diligence, reviewing and negotiating all documentation, serving as deal interface, and driving deal processes to completion
- Highly developed analytical skills with ability to define issues, collect and analyze pertinent data, identify alternative solutions, project consequences of proposed actions, draw valid conclusions, propose sound recommendations, and implement approved solutions in support of specified goals; attention to detail is critical

About Contrarian Thinking:

Contrarian Thinking is a digital media company, education business, and an investment firm. We are one of the fastest-growing business-focused media companies with 100 million views a month and 5 million social followers. We have a holding company of businesses that comprise our enterprise and are launching several new channels and businesses this year. We are led by Codie Sanchez as a creator-driven company.

The Perks—Why Work on Our Team:

- Competitive salary
- Flexible vacation policy and paid company holidays
- Company-provided technology package
- Relocation for those coming in from outside the area including travel and company-provided housing for the first 30 days

Beyond the Listing: Six More Ways to Find Potential Operators

Not every great operator will be found through a job listing. You'll need to actively seek them out and ask around. Over the years, I've honed several methods to attract what I call "10X hires." Here they are:

- 1. POACH PROVEN TALENT:** Let's say you're buying a car wash. Start getting to know, visiting, and calling all the top competitors in your area. The best talent already does this job, but for someone else. Don't sleep on proven talent working at other businesses.
- 2. HIRE EX-MILITARY:** Former military members often make great operators. They're disciplined, they establish hierarchy, and they can make decisions under pressure. Programs for veterans are a fantastic place to scout for potential operators. Most of the veteran hires I've made were through friends, or the SEAL Future Foundation, Goldman Sachs Veterans Integration Program, and the Veteran Career Transition Assistance Program (VetCTAP). You can also get the word out on veteran job boards, such as Hire Heroes USA (hireheroesusa.org), VetJobs (vetjobs.org), and Recruit Military (recruitmilitary.com). I may be biased (I'm married to one), but I believe veterans are far more capable and deserving of ownership than most.
- 3. USE RECRUITERS:** Imagine you could pick up the phone and within fifteen minutes call every top car wash operator in your local area, have them answer your call, and know you by name. That's what recruiters have—well, at least the good ones. These

people do this for a living for a reason. Don't be short-term greedy and long-term stupid. Whenever I can pay to steal someone's ten thousand hours, I do so. Google "top recruiters in X industry and X area." Now borrow their network.

- 4. COMPETENCY COLLECTOR:** I sniff out competence like a German shepherd on a cocaine trail at the airport. Once you know the scent, you can't help but jump on it. People say business cards are dead. They've never hired operators for blue-collar businesses. Keep a few of your cards on hand. Then every time you see someone go above and beyond, give them your card and ask for theirs. Collect competence—you'll never know when you could need it next.
- 5. THE FRIEND FLYWHEEL:** We all occasionally get that person who asks us if we know anyone for XYZ position. Be the person who takes ten minutes each time someone asks to try to connect them to someone. Small actions of giving ripple over time into big waves. Be the friend people go to for talent and they'll be the same for you.
- 6. SOCIAL MEDIA = HIRING SUPERHIGHWAY:** Your social media is a walking billboard. Use it as a hiring funnel. When you build in public, your billboard stands on people's commutes for free. Done right, this attracts competent candidates who are more likely to understand your mission and believe in it. I've spent years building up a big social following, and because of that, one job posting leads to hundreds or thousands of potential hires. Recently, we received over five hundred applications for an operator job listing. Those applications came from my social channels alone.

The amount of money you make will always be limited by the level of talent you can attract. Don't shortchange yourself. Do whatever it takes to find a great operator.

How to Short-List the Best Candidates

The next step is to not suck at *picking* the right operator. We all have that friend who cannot help but date the wrong person. They get their heart broken and stomped on every time. Here's how we avoid bad operator syndrome. The key is finding someone who:

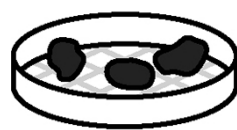
- Has the right moral compass
- Has a history of winning
- Leads instead of waits
- Takes work off your plate
- Has team members who will follow them
- Is better than you
- Is not going to F you

That combination is an individual who will add significant value and leverage through their role in your business. When it comes to selecting these individuals from a pool of candidates, there are three filters I value above all others: **Known, Experienced, and Proven Talent**.

- 1. KNOWN TALENT:** These are people you already know. I prefer people from my existing network whom I already know, like, and trust. Why? Winston Churchill told a story I will never forget. He was touring a young new Member of Parliament (MP) around the building. He showed him how one party sits on one side of the chamber, the other party on the other side, motioning behind them. The young MP starts pointing at the other side of the chamber, saying enemy this and enemy that. After a moment Churchill stops him and says, “Young man, the opposition is on the other side. The enemy? Why, the enemy is behind you,” as he points to where their party will sit. The point is, your biggest risk is *inside* your business, not outside. I like knowing the risk I choose.
- 2. EXPERIENCED TALENT:** Pick people who have done the role before. This means looking for folks who have managed and grown a similar business. Why let them learn on your dime when you can find someone who already knows how to turn the wrench (and can tell you where the bodies will be buried).
- 3. PROVEN TALENT:** The best predictor of future behavior is past behavior. Leadership potential is nonnegotiable, and it leaves warning signs everywhere. These signs include: leading groups, managing significant projects, playing on sports teams, enrolling

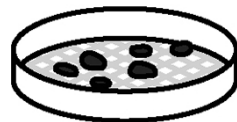
in the military, or managing previous business ventures. My favorite hack is asking, “If I hire you, who will you want to bring from your past jobs?” Why? If the answer is no one, then were they leading anyone after all? Remember: Proven talent comes with a history of success but at a higher cost. Potential talent is more affordable but requires a major time investment in their training. Choose your own adventure.

HIRING FILTERS



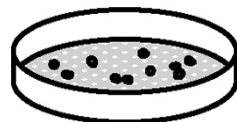
1. KNOWN TALENT

PEOPLE IN YOUR EXISTING NETWORK THAT YOU LIKE & TRUST.



2. EXPERIENCED TALENT

PEOPLE WHO HAVE EXCELLED AT THE ROLE BEFORE.



3. PROVEN TALENT

PEOPLE WITH A HISTORY OF SUCCESS & LEADERSHIP POTENTIAL.



Build Your Candidate Hiring Matrix

Here’s the hiring matrix I use for every interview. It’s amazing how many people this screens out. And it lets the likely winners rise to the top.

Known Candidate	Proven Experience	Proven Industry	Proven Problem Set	Proven Scale
Has someone on our team previously worked with this candidate	Has the candidate done this exact job before (e.g., hiring a COO)	Has this candidate worked in this exact industry or type of	Has this candidate solved the exact problem we are solving for?	Has this candidate worked at companies of varying sizes and scales,

Known Candidate	Proven Experience	Proven Industry	Proven Problem Set	Proven Scale
and is personally willing to vouch for them?	to be a COO)?	company before?		or one close in size?

It's like a grading rubric from school. You score candidates 0 to 5 for each category, and they can get between 0 and 25 total. You can edit the categories to be relevant to your company, but these are the five categories I've found to be the most important.

Here's what it looks like when it's been filled out:

	Known Candidate	Proven Experience	Proven Industry	Proven Problem Set	Proven Scale
Mary, the Perfect Candidate (24/25)	Codie previously worked with Mary and recommends her. (5/5)	Mary was a head of ops before, and we are hiring a head of ops. (5/5)	Mary worked at a media company, and we are a media company. (5/5)	Mary is being hired as a first ops hire at CT to clean up and install all-new SOPs. She did the same thing at company X. (5/5)	Mary worked at a start-up and scaled it to \$50 million (slightly bigger than us but not huge). (4/5)
Simon, the Average Candidate (17/25)	Simon worked with a friend of Codie's who recommended him. (3/5)	Simon worked as a head of ops previously. (5/5)	Simon worked at an education company, an adjacent industry. (3/5)	Simon worked as a head of ops but the company was already established. (3/5)	Simon worked at a company doing \$50 million already, then grew it. (3/5)

	Known Candidate	Proven Experience	Proven Industry	Proven Problem Set	Proven Scale
Pam, the Bad Candidate (1/25)	No one knows the candidate, all cold references. (0/5)	Pam has never done this role before at any level. (0/5)	Pam has never worked in a similar role at a related company, like being a head of ops in a legal firm. (0/5)	Pam maintained existing processes without driving change or taking on a leadership role. (0/5)	She's only worked at a massive company like Google, or a tiny business like a restaurant. (1/5)

How to Interview the Top Operator Candidates

You've curated a list of the best candidates. The next step is to screen them. Here you will assess the skills and compatibility of your future operator. At my companies, we make sure every candidate gets a **high-standard interview**. What is a high-standard interview?

- It uses the same questions every time.
- It follows our process for documenting and sharing your notes with other team members.
- It ranks each candidate on the five core components.

TL;DR—don't wing it. It leads to poor notes from hiring managers and poor experience for candidates.

Top Questions We Use in Operator Interviews

We ask questions that directly translate to values we embody at Contrarian. You should do the same.

- **WE VALUE SPEED OF EXECUTION.** Tell me about one of the last projects you did? What was it? How'd you start? What

happened? How do you compress timelines?

- In the answer, you're looking for them to move fast. Look for examples of where they went from start to finish in twenty-four hours.
- **WE VALUE GOOD EMPLOYEES.** What will past bosses say are your three biggest strengths and weaknesses?
 - There's always a real possibility that you **WILL** call these people. You're more likely to get an honest answer by mentioning the possibility.
- **WE VALUE PEOPLE WHO HAVE A HISTORY OF WINNING.** Let's walk through your résumé together, starting with your last three jobs. What were your most significant achievements in each role? How did your contributions directly impact the success of your team or company? What challenges did you face, and how did you turn them into wins?
- **WE VALUE EXPERTS.** What could you give a five-minute presentation on with no prep? (Then hand them a whiteboard and let them do it.)
 - You learn their thinking process, communication skills, and creativity.
- **WE VALUE FOLLOW-THROUGH; WE WORK THE PROBLEM.** Walk me through your last project. What should have been different?
 - Do they jump to the blame game? Are they self-aware? Can they implement a feedback loop in their own work?
- **WE VALUE LEADERS.** Who would follow you here? What do they do? Who would you absolutely want to hire alongside you? What is your philosophy on managing teams? How do you handle a problem team member?
 - How are they perceived in their network? Can they self-assess that? This is especially important if you want this person to help build with you.
- **WE VALUE ARCHIMEDES FINDING THEIR LEVERS.** What strategies or tools did you use to prepare for this interview?

- Let them show their work. It reveals how they think.
- **WE VALUE A RELENTLESS OBSESSION WITH EXCELLENCE.**
What do you think we are doing wrong as a company right now?
- Will show you how much they care, what work they've done, and if they are ready to hit the ground running.

GREEN-LIGHT ANSWERS:

- ✓ Detailed descriptions of roles
- ✓ Mentions specific achievements or improvements they brought about
- ✓ Demonstrates a clear understanding of their impact in each role
- ✓ Clear alignment with your company's values
- ✓ Examples of past behaviors reflecting these values
- ✓ Enthusiasm about your company culture
- ✓ Goals that align with the role and your company's direction
- ✓ Clear and realistic career plans showing ambition and foresight

RED-FLAG ANSWERS:

- ✗ Vague descriptions
- ✗ Inability to articulate specific responsibilities or achievements
- ✗ A focus only on negative aspects of past jobs
- ✗ Misalignment or unfamiliarity with your company's values
- ✗ Responses that seem rehearsed or superficial
- ✗ Goals that are unrelated to the role or your company
- ✗ Vague or absurdly ambitious plans that don't seem achievable in the role

Making It Official: How to Hire Your Operator

Once you've chosen your candidate, it's time to make an offer. Craft a compensation package that motivates and aligns interests with success. I like to give two types of offers:

OFFER 1: BONUSES AND SALARY. We humans like things nice and simple. So I usually like to give three bonus opportunities, one related to profit, one related to revenue, and one related to people.

OPERATOR SALARY STRUCTURE WITH BONUSES AND PERFORMANCE GOALS		
Category	Amount	Goals Explained with Context
Salary	\$180,000	
EOY bonus	\$25,000	Hit \$5 million in revenue by EOY
1st half of year bonus	\$25,000	Keep 30% profit margin
2nd half of year bonus	\$50,000	Keep key hires at the company at least twelve months
Total Potential	\$280,000	

COMPENSATION OVERVIEW	
Compensation Component	Details
Annual salary	\$180,000
Bonus opportunities	Up to \$100,000
Annual salary increase	10%
Equity stake	0%

OFFER 2: PROFIT SHARE AND SALARY. This is usually where we end up with our operators, but I don't always start here until I really trust my operators to be aligned. Typically I'll add a profit share for revenue earned above and beyond what is currently being operated on at the business.

POTENTIAL OPERATOR OFFER	
Item	Amount
Salary	\$180,000
EOY goal	\$25,000
Margin	37.50%
\$3 million of additional revenue (this is the profit share calculation base)	\$1,125,000

POTENTIAL OPERATOR OFFER	
Item	Amount
\$5 million of additional revenue	\$1,875,000
\$7 million of additional revenue	\$2,625,000
5% profit share at \$3 million	\$56,250
5% profit share at \$5 million	\$93,750
5% profit share at \$7 million	\$131,250
Total salary at \$3 million	\$261,250
Total salary + stretch + \$5 million	\$298,750
Total salary + stretch + \$7 million	\$336,250

GOALS EXPLAINED WITH CONTEXT	
Goal	Context
EOY goal	Hit \$5 million in revenue by EOY, \$25,000
5% profit share at \$4 million	On track to hit \$4 million—plus, anything over \$4 million you earn a 5% profit share
Profit defined	This comes after the owner's salary distribution of \$100,000, which is already included in this calculation
Payment terms	Profit share paid on a quarterly basis, bonuses on completion date

COMPENSATION OVERVIEW	
Compensation Component	Details
Annual salary	\$180,000
Bonuses	1 bonus opportunity + profit share
Annual salary increase	10%
Equity stake	0%

Once they've accepted your offer, the onboarding process begins!

How to succeed at business: Hire smart people. Pay them well. Set them up to win. Then, leave them alone.

This is more than just a welcome tour; it's about integrating your operator directly into the business as efficiently as possible. You can steal our New Hire 100-Day Game Plan if you want to (see the appendix).

The Four Meetings You Need with Your Operator

Most problems stem from bad communication. Here are the key meetings you'll want to immediately get on the schedule to avoid that:

- **BUSINESS OVERVIEW:** Dive into the history, current standing, and future direction of your business. This sets the stage for their role.
- **TEAM MEETINGS:** Set up meetings with any other key team members (group or one-on-one). This helps in kick-starting their relationships and understanding team dynamics.
- **WEEKLY MEETING:** Set a regular meeting schedule for the two of you to discuss progress, challenges, and strategies. An open communication environment means they can safely share their ideas, concerns, and feedback.
- **MONTHLY PERFORMANCE REVIEWS:** Regularly review their performance against the set goals and KPIs. This helps in maintaining focus and adjusting strategies as needed.

How to Coach Your Operator in 90 Days

You don't want a liability. You want a partner in crime. This is where your operator transitions from a candidate to a driver of the business. And who is the best person to coach them? The previous operator (i.e., the former owner).

This is a big reason why I'll rarely do a deal unless the owner stays on for a few months after I take over. I need to have future access to them. That way, my operator can learn directly from the person who knows the company best. Here's how it works:

- **DAYS 1–30: SHADOW STAGE.** Your new operator follows the former owner (like a shadow), from opening to closing, observing how to run the business. Their focus should be on developing the company's standard operating procedures.

What is the previous owner doing from one moment to the next? Track and write it all down in a notebook. Follow the rule of three: If an action is repeated three times, or involves more than three steps, it goes in the playbook.

- **DAYS 31–60: MIMICRY STAGE.** Your operator will start doing the work alongside the former owner. They'll continue documenting and developing the business SOPs. The main focus will be on gaining hands-on experience running the business. If you want to learn, watch—then do.
- **DAYS 61–90: ACTIVITY STAGE.** Your new operator will perform the business tasks all by themselves. The previous owner will show up part time to oversee their work, answer questions, and point out potential mistakes. You will make sure you like what you see, then finalize the documentation.

By the end of this period, the new operator should (1) feel confident in performing the tasks for their role, and (2) have a documented Operator's Playbook for the business. Together, you can both refine the playbook so that it covers all SOPs, decision-making processes, and strategies. This will be a living document, so encourage continuous updates and improvements.

Whether you've hired an experienced operator, or an operator you trust to FITFO (figure it the F out), having an Operator's Playbook is invaluable. Your operator can use it daily to guide their decisions. It will also be important if they leave, or if you decide to sell the business. You are one good hire from cutting your problems in half. Two good hires from a completely different company.

TOOLS AND RESOURCES

- **NOTION ([notion.so](https://www.notion.so)):** My preferred tool for documenting standard operating procedures (SOPs) and internal company resources. My team and I use Notion every day.
- **ENTREPRENEURIAL OPERATING SYSTEM (eosworldwide.com):** More than 190,000 companies around the world use EOS tools to get their teams aligned with a singular vision.

- **HOW TO BUY AND SCALE A BUSINESS FOR \$0 (SEE THE APPENDIX):** We also have a course run by my friend Ayman Al-Abdullah on how to hire, scale, and grow seven-to-nine-figure companies. He should know: he built one from \$5 million to \$85 million a year in revenue.

THE NEW OWNER'S GUIDE TO LEADERSHIP AND CULTURE

Can you really run a business? Will you fail? Will you become another statistic on the wall of those who tried and didn't make it? Every move you make in life comes with a risk. Now we're going to do everything we can to help you win the long game.

At this point, you have a trained operator in place to run your business. The next step is to truly make this business your own. This is where buying a business fundamentally differs from starting one from scratch. You're stepping into an established business with its own heartbeat and its own way of doing things. You are fast-tracked by coming into something cash-flowing and established. But if you think this is a four-hour workweek on Day 1, you are nuttier than Mr. Peanut. Challenges? You will face many of them. But sometimes in life, hard things are a feature, not a bug.

Please just do me one solid: **Don't assume you're smarter than the previous operator. You're not.** Consider yourself a beautiful little idiot who knows nothing. That's actually better. You'll win more battles asking questions, *not* giving feedback, and documenting up front than you will telling everyone how stupid they've been these last ten years in business. Bulls wreck china shops, newbies break businesses. "You've got to know it before you grow it." If you try to grow the company before you've got your feet under you, your likelihood of winning decreases.

In this section, I'm going to give you the process I've used to manage ownership transitions for more than one hundred acquisitions. If you are the one operating your business, use this chapter as your playbook. If you are a passive investor with an operator, give them this playbook. Having a plan before things go sideways solves 99.9 percent of daily issues.

The Takeover Process: How to Go from Handoff to Harness

Days 1–60: Transfer and Transition

This period is where you follow, document, note, and insert. Your entire purpose here is largely to learn who does what, where the passwords and keys are, where the bodies are buried, and what you REALLY bought.

Days 60–90: Stabilize and Systematize

This period is where you start stabilizing what is broken and wrapping processes around everything in the business. At the end of it, your goal is to have SOPs, dashboards, KPIs, and humans responsible for running them. You are setting the standards.

Days 90–120: Power Up

In this stage, we care about three things more than anything: accelerating how fast we get cash in the bank, finding the people inside our business who are most critical, and then beginning to insert small ideas for changes in the business.

120+ Days: Harness

You have a handle on the business, you know where the pots of gold and the monsters that guard them lie. This is your time to start executing on all the notes, ideas, and growth plans you've accumulated.

A word of warning, based on thousands and thousands of acquisitions I've seen from my funds, my holding company, and our Contrarian Community: *The next year is the Death Zone*. But if you stick to the guidelines in Step 4 ("H is for Harness"), we shall hold hands through the valley of business death and emerge some rich bitches. At least, that's the plan.

DAYS 1–60: TRANSFER AND TRANSITION

Your First and Last Words Get Tattooed: Connecting with Your New Team

Remember how Maya Angelou said, "People won't remember what you say, they'll remember the way you make them feel"? Scratch that in acquisitions. They'll remember *everything*.

It's 2023 and there's a new CEO at the helm of Clearlink, a company in Utah that's been sold, taken over, resold, and taken over again. The new CEO thought his company had a lot of room for improvement. So he fired up the old Zoom, got his thousand-plus employees to log in, then began a nine-minute tirade so cringeworthy even *BuzzFeed* picked it up. The CEO started by telling everyone how hard he works, challenging "any one of you to outwork me." Then he quickly added, "But you won't." Brilliant move in empathy. Then he went on to say the company's employees are quiet-quitting and checking out. But not to worry, one employee "went and sold their family dog" to honor the new requirements. He then added that it "breaks my heart as someone who's been, you know, at the head of the humanization of pets movement in other businesses that we've built." Everyone is dumbfounded by his tone-deaf speech, including hundreds of thousands of nonemployees on LinkedIn, Reddit, and YouTube, where his Zoom speech has gone viral.

Moral of the story: you can do your first meeting *very wrong*.

To start off on the right foot (without shooting it), you're going to schedule an initial meeting with the entire team and the previous owner. This will be an opportunity to have the owner officially hand off the torch to you and their team. Here's my two cents: have the owner be good, complimentary, excited, brief, then gone.

From there, you and your operator can control and run the rest of the meeting. Keep it as short as possible and have your team members reach out with one-on-one questions afterward. Here are the key points I hit:

- **HARD WORK:** What kills businesses? Apathy and time. You are bringing fire and vinegar to the business and are excited to help them all achieve big things.
- **HUMILITY:** As the new owner, you're there to learn. Assure them you have no plans to change anything right away. Then emphasize that you're eager to grow the business while carrying on its great tradition.
- **EXCITEMENT:** Outline why you bought the business, why you're excited about the future, and where the company is heading. Paint a picture of their roles in it. A little trick is to get

to know as many employees as you can in advance and interject their names and roles.

- **GRATITUDE:** You're grateful to them for staying on. Each of them has a key role to play, and you'll be leaning on their skills and knowledge. You're looking forward to having a free and open dialogue with them. Your door is always open.

Even if you follow the above formula for a great initial meeting, you ultimately don't have control of how people will emotionally respond. So I want to prepare you for an unlikely yet still possible reaction.

Nolan Gore was thrilled. He had just bought a company to add to his landscaping company. As Monday morning's announcement rolled around, he was equal parts excited and *WTF did I just do*. Time to call the first meeting with the team.

To say the juxtaposition in attitude was a chasm bigger than the Grand Canyon would be an understatement. Nolan and the former owner were thrilled. The new team was not. One of the guys cut him off in his first minute of talking: "I don't like this. I quit." Then he stood up and left. Fun. By the end of the day, three more people quit and he had to fire another. Every day for the first two weeks, something went wrong. It was tough.

It turns out we humans don't always love change. Often we go through what's called S.A.R.A.H. Shock. Anger. Resentment. Acceptance. Hope. Turns out after about two to three paychecks, things settle down. The hopers hope and the angry ones move on.

Nolan is now motoring the team firmly in hope. They are feeling good, but just so you know, the chick at the bar isn't always thrilled when you ask to buy her a drink the first time. Same goes for acquisitions. Don't let it sting ya. But to figure out which are hopers versus angrys, I like to give them a little assignment. It's a way for you to show them you are actually here to help, not hurt.

Ask each employee to write down their Roadblocks and Rockets.

- **ROADBLOCKS:** What do they need to be more effective in their role? What is holding them back?
- **ROCKETS:** What would they do, if they were owners, to improve the business? What gets them excited?

Depending on the size of the business, here's how I do this: I give them one week to submit their Roadblocks and Rockets. Let them know that the reports will be between you, your operator, and them, and that you and/or your team will meet with each employee to review their report. Let them know you expect them to honor your deadline for the report.

When you review their reports, take note of great suggestions and important changes that will improve the business. Their reports will reveal who's optimistic about the future and who's ready to jump ship.

30-60-90 Plan: A Plan to Ensure Your Operator's Success

The next step is for your operator to gather all the data. This includes the SOPs, Operator's Playbook, and employee reports. In the first few days, you become a mixture of a detective and an admin. Do we have correct:

- Structuring entity
- Bank accounts
- Transitioning (transferring all passwords, accounts, etc.)
- Data collection and organization
- Methods to shadow the operator and key team members

Then you will create a 30-60-90 Plan for their next three months in the business. Simple plans are the best. Your plan will focus on gradual integration, achieving clear goals, and documenting everything. At the end of each thirty-day period, you'll review your operator's progress, and then they'll repeat the cycle again. To get the 30-60-90 Plan as a printable worksheet, go to msmbook.com/tools.

30-60-90 Plan: Days 1–30

Focus:

Priorities:

Learning Goal 1:

Metric:

Learning Goal 2:

Metric:

Performance Goal 1:

Metric:

Performance Goal 2:

Metric:

Performance Goal 3:

Metric:

Here is an example of the 30-60-90 Plan filled out:

30-60-90 Plan: Days 1–30

Focus: *Orientation. Get familiarized with the company's culture, team, and daily operations.*

Priority: *Learn and absorb as much as possible about the business. Everything I learn, I will write down and document to review and tweak later. Aim to have a big-notion template finished by the end of my first 30 and 90 days.*

Learning Goal 1: *Understand the company's key products and services.*

Metric: *Successfully describe the products/services, people, and needs in my own words.*

Learning Goal 2: *Get to know the team.*

Metric: *Number of team meetings and one-on-ones attended.*

Performance Goal 1: *Efficiently handle basic operational tasks.*

Metric: *Successfully complete assigned tasks with minimal supervision. Then apply the rule of three: document every process, have someone else follow those steps, and ensure they can achieve the same results consistently.*

Performance Goal 2: *Show initiative in understanding and contributing to business processes.*

Metric: *Create a list of improvements or new ideas related to the business that we need to implement sometime in our next 365 days. Categorize impact and difficulty.*

Performance Goal 3: *Begin to build relationships with key customers or clients.*

Metric: *Have introductory conversations with at least two major clients or customers.*

You can guess or you can game-plan. You choose which one will work more consistently.

DAYS 60–90: STABILIZE AND SYSTEMATIZE

Your North Star: Where to Set Your Team's Sights

If you want to build a ship, don't drum up the men to gather wood and give orders. Teach them to yearn for the vast and endless sea.

—ANTOINE DE SAINT-EXUPÉRY

Oh, Donald Park. He's one of those guys who makes you feel like your résumé could be written on a fingertip by comparison. He is a buyer and seller of businesses, a black belt in jujitsu, an owner of restaurants and clubs around the country, and often the smartest but quietest person in a room. At the time we met up, my business was struggling, wobbling around without a clear direction. So we sat down and I word-vomited all my problems. He said something so wise and yet so simple:

You've listed a bunch of problems, but one single problem ties them all together. You can't guide a ship without knowing where north is. A company is the same. You don't know where you are going, so neither does your team. Find your North Star. Your entire job as a CEO is to remind people which direction to row.

It reminded me of Amazon's North Star: *customer satisfaction*. I remembered reading what Jeff Bezos said:

The number-one thing, by far, that has made us successful is our obsessive-compulsive focus on the customer, as opposed to the competitor. I constantly remind our employees to be afraid, to wake up every morning terrified. Not of our competition, but of our customers. Our customers have made our business what it is, they are the ones with whom we have a relationship, and they are the ones to whom we owe a great obligation. And we consider them to be loyal to us—right up until the second that someone else offers them a better service.

I went home and thought about it. Emails were my North Star. Everything else would come together if we kept growing our own audience list. So I went online, bought a tech sign that looked a bit like a clock, and every time we got a new email, that sign changed. *100,997 ... 100,998 ... 100,999 ... 101,000 ...* All day long, it would tick tick tick. I sent one to all my executives at the company. On every call I began with our number. Every day I had an auto-report post it in Slack. Wouldn't you know it, emails started to climb higher and higher. The team rows a hell of a lot faster when they're all rowing the same way.

What number is your North Star? One of my favorite KPIs to use for a North Star is a weekly growth number. Let's say you use 3 percent weekly growth. That means your business will usually grow 351 percent over the course of a year. Obsess over this number and your team will follow your lead.

Your North Star goes beyond picking a number. If you want to grow your business, *sell your dream*. Owners and CEOs are dream salesmen. They create dreams that feel so big, beautiful, and real that other people can see themselves in them. Keep selling your dreams to the people you work with. That vision will beget the mission, and the mission will create obsessions. Obsessed people win.

The Compass: How to Communicate

The 24-Hour Rule: Shrink weeks to days. If you want to move fast, communicate often. The greatest muscle you can build is urgency. Shrink your timelines. When you say next quarter, push for the next sixty days. When you say next month, push for two weeks. When you say next week, push for twenty-four hours. When you say critical, check in hourly. Decrease the time between having an idea and getting it done. Everything changes.

"Ah, there's Sauron's eye again," jokes my COO, Chris Piper. He talks about the relentless focus and intensity my team feels when my eye is on something. I like to say, "If you don't want the eye, communicate well and often." There is a huge difference between "We have a growth target" and "My team is obsessed with tripling our annual profits." To achieve the latter, you have to take them to church each week.

For me, I do something I call "the Compass." Every Monday morning, I call together our teams across companies and I speak to

them for ten minutes. I sell those I pay. It's a ten-minute sermon (or as I call it, "the Extreme PowerPoint"). Here's what we cover:

MINUTES 0–2: Mission Statement

At Contrarian Thinking, our mission is to "Free Minds and Build Bank Accounts." Each week, I cover an incredible testimonial from our users that embodies that mission. It's a small reminder of the change my team is making in people's lives. If you believe your people are only motivated by money, you do not understand what it means to be an owner yet. But you will.

MINUTES 2–6: Highlights and Insights

- Our wins and fails
- Business problems solved
- What the team achieved
- The team's insights from the week
- Products shipped, or actively being built
- Revenue and customer acquisition numbers

From this segment of the presentation, we can determine:

- Is our team aligned?
- What isn't working?
- What should we double down on?
- What are our inefficiencies?
- Are we making quality decisions?
- Are we working on the right things?

MINUTES 7–8: What Is Coming

My friend Shaan Puri worked at Twitch with its billionaire founder, Justin Khan. He tells how in the pitch deck the founder would say, "We are a steamroller in a field of flowers. *Unstoppable*." I like that analogy. I'll ask my team: Where can your actions and our unfair advantage be so superior that our competitors feel like wildflowers

under our wheel? Sometimes it's social media done so well that no competitor would be able to get the reach we do. Sometimes it's an amazing product that we give away for free. Steamrollers. Be one.

MINUTE 9: Make Your People Better

People do not work for companies just to make money. People work for you to make their lives better. Help them. I like to wind the meeting down by sharing wisdom from a book or resource. Sometimes I'll give away copies of life-changing books, like *Extreme Ownership: How U.S. Navy SEALs Lead and Win*.

MINUTE 10: End High

How does a pastor conclude a church service? On a high note. He ends his sermon with words to make you think and lift you up as the pipe organ booms and the choir sings. The lights come up, and you leave feeling empowered to be a better person. That's how you end a team meeting. A joke, a story, a quote, or some self-deprecating humor so that no one dreads your next meeting. Leave them feeling better than when they came in.

Friday Finances: How to Finish the Week

Don't tell me what you "think," just tell me what's in your portfolio.

—NASSIM TALEB

A successful multi-business-owner friend of mine, Matt Aitchison, was walking with David Osborn, who later became his mentor (and who I mentioned earlier in the book). David is worth hundreds of millions of dollars and has the kind of life many entrepreneurs dream of. Matt thought his first encounter with David would involve general questions and life lessons. He was wrong. David went deep and specific:

- What's your net worth?
- How much do you earn a month?
- What's your monthly spending?
- Your portfolio breakdown?

- The acceleration of each income stream?

Easy bud, I scheduled the colonoscopy for later. Matt, not surprisingly, had few of these answers dialed in. Then David said something Matt will never forget:

You will never attract more money if you don't understand it. Your finances are your foundation. If you don't know them, you're building a house on sand.

Matt vowed never again to be caught off guard like that. So he created a system. Every week, Matt holds something he's dubbed "Financial Fridays," where he goes over the finances of all his businesses. This also includes an assessment of his personal finances and an overview of all his investments.

It was a brilliant idea. So, I do it now too.

Every Friday for the past several years, I've reviewed the financials for all my businesses. Sometimes all this means is reviewing a simple spreadsheet, like the one that follows. Your job is to simply not run out of money. The best way to do this: **Have your accountant track the money every week and send a report your way.**

When I first started, my spreadsheet looked something like this:

REVENUE AND EXPENSES OVERVIEW									
Category	Weekly	Monthly	Yearly	Q4	Jan 7	Jan 14	Jan 21	Jan 28	Jan Month End
Start-up	\$300	\$2,263	\$5,750	\$0	\$500	\$500	\$500	\$500	\$2,000
Professional	\$250	\$1,000	\$3,000	\$0	\$250	\$250	\$250	\$250	\$1,000
Premium	\$500	\$2,000	\$6,000	\$0	\$500	\$500	\$500	\$500	\$2,000
Phone Answering	\$750	\$3,000	\$8,250	\$0	\$0	\$750	\$750	\$750	\$2,250
Content Creation	\$650	\$2,600	\$2,600	\$0	\$750	\$0	\$0	\$0	\$0
Total Revenue	\$2,450	\$10,863	\$25,600	\$0	\$2,000	\$2,000	\$2,000	\$2,000	\$7,250

[VIEW FULL DESCRIPTION](#)

FINANCIAL SUMMARY							
Metric	Value	Q4	Jan 7	Jan 14	Jan 21	Jan 28	Jan Month End
Payroll	\$5,700		\$860	\$1,060.25	\$1,060.25	\$1,060.25	\$4,040.75
Total Expense	\$4,841	\$13,723	\$1,060.25	\$1,060.25	\$1,060.25	\$1,060.25	\$4,040.75
Total Profit Before Salaries	\$6,022	\$6,177	\$390	\$939.75	\$939.75	\$939.75	\$3,209.25
Total Net Profit		\$0	\$939.75	\$939.75	\$939.75	\$939.75	\$3,209.25
Bank Account Balance	\$2,027.78						
Margin	57%	55%	47%	47%	47%	47%	44%
Refunds							
Number of Refunds							

[VIEW FULL DESCRIPTION](#)

MONTHLY PERFORMANCE				
Month	Total Revenue	MoM Growth	Expenses	Profits
January	\$7,250.00			
February	\$8,262.50	13.97%		
March	\$8,937.50	8.17%		

As you can see, it doesn't have to be fancy. My P&L (profit and loss statement) is hosted in a basic spreadsheet. By showing the different COAs (courses of actions) you can tweak, you see what your income and expenses could be. I can't recommend enough doing this early on. We now give copies of this template to new members of our business-buying group. You can get the template for free at msmbook.com/tools.

Money is a cruel mistress; if you ignore her she'll leave you for someone else. Financial independence can only stem from being financially aware. After all, where your attention goes, your energy flows. So track your business's money.

ANNUAL BASE SALARY AND INCOME STREAMS						
Description	COA 1	COA 2	COA 3	COA 4	CURRENT	DELTA
Annual Base Salary	\$100,000	\$100,000	\$100,000	\$100,000	\$109,344	
Net Salary	\$7,500	\$7,500	\$7,500	\$7,500	\$9,112	
Rental Income 1	\$1,000	\$1,500	\$2,000	\$2,500		
Rental Income 2	\$100	\$100	\$100	\$100	\$100	
New Business 1	\$800	\$1,000	\$1,200	\$1,400		
New Business 2	\$3,000	\$3,500	\$4,000	\$4,500		
Monthly Take-Home Pay	\$9,400	\$10,100	\$10,800	\$11,500	\$9,112	\$288
Bonus					\$100,000	(\$100,000)
Net					\$66,000	(\$66,000)

[VIEW FULL DESCRIPTION](#)

LIABILITIES						
Description	COA 1	COA 2	COA 3	COA 4	CURRENT	DELTA
Rent/ Mortgage	(\$2,500.00)	(\$2,500.00)	(\$2,500.00)	(\$2,500.00)	(\$1,900.00)	\$4,400.00
Car	(\$150.00)	(\$150.00)	(\$150.00)	(\$150.00)	(\$150.00)	
Fuel	(\$200.00)	(\$200.00)	(\$200.00)	(\$200.00)	(\$200.00)	
Yoga	(\$90.00)	(\$90.00)	(\$90.00)	(\$90.00)	(\$90.00)	
Muay Thai	(\$200.00)	(\$200.00)	(\$200.00)	(\$200.00)	(\$90.00)	(\$110.00)
Insurance	(\$150.00)	(\$150.00)	(\$150.00)	(\$150.00)	(\$150.00)	
Food	(\$2,000.00)	(\$2,000.00)	(\$2,000.00)	(\$2,000.00)	(\$2,000.00)	
Health	(\$200.00)	(\$200.00)	(\$200.00)	(\$200.00)	(\$250.00)	\$50.00
Entertainment	(\$1,000.00)	(\$1,000.00)	(\$1,000.00)	(\$1,000.00)	(\$1,000.00)	
Utilities	(\$300.00)	(\$300.00)	(\$300.00)	(\$300.00)	(\$500.00)	\$200.00
Cleaning	(\$160.00)	(\$160.00)	(\$160.00)	(\$160.00)	(\$160.00)	
Books	(\$100.00)	(\$100.00)	(\$100.00)	(\$100.00)	(\$100.00)	
Skin Care	(\$150.00)	(\$150.00)	(\$150.00)	(\$150.00)	(\$150.00)	
Travel	(\$1,000.00)	(\$1,000.00)	(\$1,000.00)	(\$1,000.00)	(\$1,000.00)	
Shopping	(\$1,000.00)	(\$1,000.00)	(\$1,000.00)	(\$1,000.00)	(\$1,000.00)	
Total Monthly Liabilities	(\$2,200.00)	(\$2,200.00)	(\$2,200.00)	(\$2,200.00)	(\$6,740.00)	\$4,540.00
Net	\$7,200.00	\$7,900.00	\$8,600.00	\$9,300.00	\$2,372.00	\$4,828.00

[VIEW FULL DESCRIPTION](#)

Happiness is positive cash flow.

—CARL ICAHN

Do you know the number-one reason for small-business failure? *Running out of money.* My friend Ayman Al-Abdullah, former CEO of AppSumo, said it best: “It’s simple, yet hard: Don’t run out of money.”

It's also true that money is a *game*. The goal isn't to make money for its own sake. The goal is to do great things. Make positive changes, give back, invest in more businesses, and employ more people. All of it requires a foundation of green. So implement Financial Fridays in your business.

DAYS 90–120: POWER UP

In this stage, we care about three things more than anything: **Cash, People, and Change**. It's about accelerating how fast we get *cash* in the bank, finding the *people* inside our business who are most critical, and then beginning to insert small ideas for *changes* in the business.

From Cash Suck to Cash Flow

Most businesses you look at buying will be cash-suck businesses to start. Your entire goal is to either find one that is already a cash-flow business or, in the first ninety days, move the business to a cash-flow business.

CASH-FLOW BUSINESSES:

- Get paid, then provide service
- Make monthly recurring revenue
- Have lots of clients

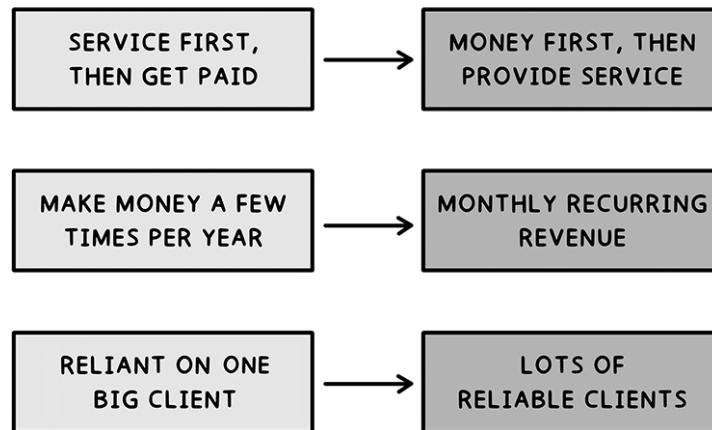
CASH-SUCK BUSINESSES:

- Provide service, then get paid
- Make money a few times a year
- Have one big client, and if they leave, we're in trouble

CASH-SUCK
BUSINESSES



CASH-FLOW
BUSINESSES



You want to imagine throwing out a boomerang (product or service) and having it come right back to you (getting paid). I call this the **Cash-Flow Boomerang Process**. Research your Cash Conversion Cycle and look at ways you can shorten it. That means how fast you feel that cash boomerang back at you.

How important is this? Well, Dell Computer nearly went bankrupt because they could not collect quickly. They had an average A/R (accounts receivable) of sixty-three-plus days. That meant you bought something, they delivered it, and they didn't get paid until sixty-three days later. That's all changed. You now have to pay up front when you order a computer online.

CASH-FLOW BOOMERANG PROCESS



FIND WAYS TO SHORTEN THE TIME...



...IT TAKES TO GET PAID AGAIN

Here's a list of ideas to get your brain rolling:

- Take more up-front payments—50 percent, for example.
- Change payment terms to be shorter. As opposed to doing the service and then getting paid thirty days later, we take payment the second you click buy.
- Give a discount for cash payments. Take more cash up front and decrease credit card fees.
- When you book a service appointment, allow your team to auto-run the card. You have the customer sign a doc that says they allow their credit card to be run upon completion automatically.
- Have a line of credit (LOC) for every single business. I like having backup money from the bank in case I need it in the form of a letter of credit.
- Have an LOC on every single bank account you can. Allows for multiple LOCs and better financial flexibility.
- Delay payments to some of your suppliers and get better terms from them.

The Big Scary: Cutting Costs

It's spring, your closet is stuffed. You can barely see what's in it. What happened? Bloat. Time for spring cleaning.

Last fall, all of our businesses did an expense analysis with a goal of cutting 20 percent of costs. Empires aren't felled from without, they are drowned from within. Bloat happens naturally and costs will kill your business.

Here's how we cut costs by one sixth across most companies (steal my homework):

- 1. COST-SAVINGS GOAL:** I set up a meeting with the team leaders and asked: Can we still hit our goals and cut expenses? We set our sights on a number (I said 20 percent as a baseline), and we ended up at around 16 percent. That is actually a lot. In one business, we have monthly expenses at \$600,000, so that's \$96,000 less we spend now monthly. That equates to \$1.15 million a year in savings. Or you could look at that and say I added another \$1.15 million to my profits a year. At a multiple of 3X,^{[fn1](#)} it's another \$3.45 million in my pocket. Nice.
- 2. SHOW THEM THE CUT:** Take each business unit and look at their P&L or budget. Then show them the total number they would need to cut to hit their desired decrease in expenses. Secret tip: If you have managers, let them be the ones to do the first cuts. They're closest to the business. Let people clean up their own closet.
- 3. DUES AND SUBSCRIPTIONS:** Subscriptions and recurring costs are the first things to bloat. We cut three ways:

- Number of seats
- Number of tools
- Renegotiate rates

One business had multiple dead users in ServiceTitan. Another had Jobber and ServiceTitan. Another had Mailchimp, ConvertKit, and HubSpot (which all basically do the same thing). We cut unnecessary costs, and then with what is left, we negotiate every single piece of software's price. On average, I'd

say 30-plus percent of our service providers decrease our rates just for asking. Found revenue: \$5K to \$20K.

4. **THE WALKING DEAD:** Almost every business has underperforming ideas and zombie units that need to be cut. The best businesses *focus*. Google has killed hundreds of business units since it started.^{[fn2](#)} We have killed thirteen-plus in my businesses. One example was an agency that had customizable offerings (too much work), another was a newsletter (not enough money), another was a physical product line (too much work and not enough money).
5. **CONTRACTORS:** Everything from vendors to contract workers to consultants is the next area to negotiate, cut, or change. We ended up taking in-house ads for one business that saved us \$4K-plus of ad spend. We rolled off one “nice to have” consultant. We cut a few underperforming contractors, then gave 50 percent of that to current team members to take on more work.
6. **EMPLOYEES:** This I do very sparingly. I pride myself on never (at least not yet) having layoffs in any of my portfolio companies based on the market. We grow but not too aggressively, exactly for that reason. We did end up letting go of a few underperformers faster in down markets, which is actually something I wish we’d handled better. Sad fact: if you feel like you should possibly fire someone, you already know the answer.
One way to determine who to cut is by asking managers. Whom do you routinely find yourself having to “fix” things for and wishing they would pick things up? If the name comes up more than once per month (it’s usually once per week), you have your answer. I call it the “splinter effect”—a niggling annoyance that’s not the right fit.
7. **CUT, AUTOMATE, DELEGATE, OUTSOURCE:** We have a process called CADO. We analyze what we can *cut* (stop doing) entirely because it doesn’t drive revenue; what we are doing manually that we can *automate*; what we can *delegate* to those who earn less; and finally what we can *outsource*. For instance, we had people manually posting on social media (face-palm), then started using an automation tool. We also delegated someone’s manual review work, which cost \$80K-plus a year, to an

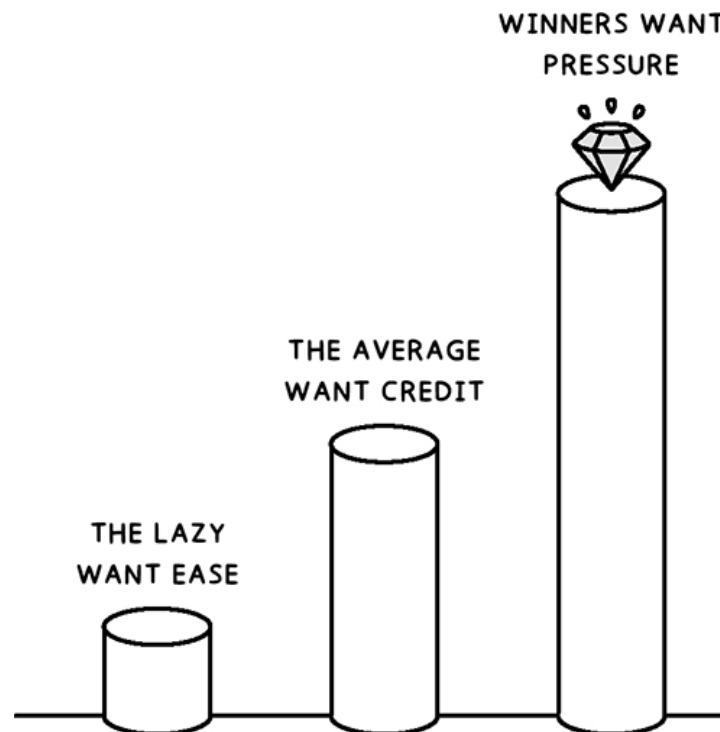
outsourced virtual assistant that costs \$12K to \$20K. “We’ve always done it this way” is not an excuse.

THE CADO PROCESS



- 8. TURN IT INTO A GAME:** We offered a \$1K bonus in each of our companies to anyone who came up with an idea to use AI to cut a manual task. We paid the bonus, implemented the idea, and cut \$100K in annual expenses.
- 9. REINVEST THE SAVINGS:** The benefit of positive cash flow is we get to give more love to companies we are actively incubating and growing. Those businesses need more resources, and now we can offer them up.

Hire Slow, Fire Fast: How to Create a Culture of A-Players



Remember this: *Winners want pressure*. You can use almost the exact same process for hiring and analyzing post-acquisition A-players as you do for hiring an operator. But there's one more thing you can do for a potential employee before you hire them: give them a tiny trial project.

After the first interview, send them this in an email:

Before making a decision, we give potential hires a short project. The project is role-specific and helps us understand their skills. Are you open to participating?

Once they agree, you can email them your trial project, which should consist of tasks similar to what they'll be doing on the job. Why put them through this? Because you need a sneak peek into how they would handle real job challenges before you commit to working together.

Here's a sample of a trial project I sent to a potential hire after their interview:

Hey there Scott,

Thanks so much again for the great interview! As mentioned, I'm going to have the top candidates do a few tasks to make sure we're a mutual fit. If interested, tackle these items and email me back your responses. If not, no worries!

Project 1: Edit a blog post

Here is a sample blog post (download link). It needs to be edited, grammatical issues fixed, links fixed, with proper formatting. How do you do it?

Project 2: Customer service email response

You receive this email in our support email box:

Hey Codie & team,

I joined Contrarian Thinking but don't find the value to be worth the price. Can you please refund me?

How do you respond? How do you know the correct way to respond?

Review their trial project. You can grade them based on the following criteria:

- How quickly they complete it
- The quality of their answers
- Clear signals that they're genuinely excited to join your company

For a current employee, I'd do the same process but ask them to create an SOP for their current role and then follow it. Again, the best predictor of future behavior is past behavior. And the best predictor of performance ... is performance. Operate on show, not tell.

How to Fire Fast

It's not what you preach, it's what you tolerate If substandard performance is accepted and no one is held accountable ... that poor performance becomes the new standard.

—JOCKO WILLINK

Now for some bad news. When you take over your business, I can almost guarantee that someone will sabotage your efforts. It may be subtle, or it may be obvious. Whatever the case, this person is a cancer that will slowly spread if you do not cut them out. Just like cancer, they are not evil—they might not even realize what they are doing—but they have the power to kill your business. You have one job: *protect the house*.

You must hold yourself and your team to an incredibly high standard. Low standards are like weeds in your garden. High standards are the pruning that lets everything else grow. If you want to grow, you need to be on the lookout for these types.

I can't take the sting out of firing someone, but I can help you find the words to do it. I love our friend Nolan Gore's mantra, "Remember the 3 Fs. Fair—don't be an a**hole. Firm—no wishy-washy. Final—they will try to get another chance."

Here's a script that's helped me before:

YOU:	Hi, [employee's name], thanks for coming in. I have some bad news, so I'll get straight to it. After careful consideration, we've decided to end your employment. This decision is final and takes effect immediately.
THEM:	Why am I being let go? I've been with this company for years.
YOU:	This decision is based on how we're restructuring the business. What I can say is that I will help you as much as I'm able to with your next job. If you need a reference, a letter of recommendation, or even just resources that can help, I'm here. All you need to do is ask.
THEM:	Okay ... so what happens next?
YOU:	You'll receive your final paycheck on [date], which includes [severance, unused vacation days, etc.]. Please make sure to return any company property before you leave today. I wish you nothing but the best, so please let me know if I can be of service to you moving forward.

If you have any heart at all, it will pain you to let someone go. But you (or your operator) have to do it. I know it's difficult. But I try to remember that it's possible that our company—or even just me—

could be holding this person back. I say this from personal experience, after witnessing several former employees go on to do bigger, better things. Getting fired can redirect someone to their true path.

After his departure from Apple, Steve Jobs said:

Sometimes, being fired is the best thing that could happen to you. It can be a catalyst that propels you to a greater destiny, like a star being launched into a new orbit.

I've always believed that no one should be surprised by getting fired. You hand-hold up, or you coach out. But I can promise you I've never met an owner that didn't have to do it at some point. So gird your loins.

You must protect your team and protect your house. THAT is your first responsibility above all else.

Operator Tech Stack: Tools to Help You Run Your Business

All right, now you are allowed to show your technological brilliance. Well, a bit at least. Tech can make you love or hate your business. Without it, it's very hard to scale, and it will make you an employee of your business. I've put together my Day 1 checklist of the tech I add to every small business I acquire. (Note: These are not affiliate links, and I do not get a cut for any sales.)

DEEL (deel.com). This is hiring, HR, and payroll in just one system. We use Deel for most of the hiring at Contrarian Thinking. It's brilliant for full-time employees and contractors. This will also allow you to hire top talent across the world easily, because they will act as your employer of record. It's not cheap for a small business, but the systems they use can save you millions in potential contractor or employee lawsuits by doing things right.

JOBBER (jobber.com). Jobber allows you to quote, schedule, invoice, and get paid, all in one place. If you have a service-based small business, you're crazy not to use this.

BENCH (bench.co). Bench is idiotproof, easy, fast, and relatively cheap accounting, but it's not sophisticated as you scale past a few million. Once you reach that point, switch to QuickBooks.

OPENPHONE (openphone.com). If you're still using your personal cell phone for your SMB ... please stop. OpenPhone will create a second phone number on your existing phone, but it goes through a different interface so you don't need two phones.

GOOGLE WORKSPACE (workspace.google.com). Great for hosting your business's email. No need to church it up, Google Workspace does it all. Keep it cheap and consistent.

NOTION (notion.so). We used to document our processes and SOPs in Google Drive, and it was a major headache. Now we have all our SOPs, processes, and most of our tasks here.

SLACK (slack.com). Astounding to me how few small businesses use this. Get off email entirely and have all company communication go through Slack. Keep email for inbound.

UPWORK (upwork.com). Wherever possible, we ask, "Can this job be done for one fifth the cost by someone overseas to increase the margin?" If it can, take time to find the right contractor. It may take a few tries to get the right hire, but once you do, it's golden. We probably spend \$1 million-plus on Upwork a year in hiring freelancers and contractors, especially overseas talent.

TRINET (trinet.com). We run most of our businesses' insurance through TriNet (previously Zenefits), which connects to Deel for ease when we need employee benefits.

ZAPIER (zapier.com). We use Zapier to automate workflows across most of our organization. We use it for operations, marketing, sales, and practically everywhere. You can hire Zapier specialists on Upwork to help with automating more specialized tasks.

LOOM (loom.com). This is the best tool for cutting down on meetings. You can record your screen to share a message with your teammates or customers, then easily share a link to the recording. You'll save your own time and keep your employees more focused this way. Loom is also the best way to onboard your team. You can explain things to remote team members and catalog every process in your business. I also like that the videos can be sped up to 2X. Time is money.

SUPERHUMAN (superhuman.com). Superhuman makes responding to emails and inbox management 10X easier with shorthand signals and smart segmenting. It overlays on your current email as well.

• • •

Congratulations, you're in a great position. You've taken command of your business. You've hired and trained your operator. You've turned a job into a business. Now it's time to *harness* that business. That means installing marketing systems that boost your profits automatically, stepping back to manage it (without losing your mind), scaling up its valuation, and preparing for an exit. That's what's next.



GROWTH TACTICS: HOW TO 10X PROFITS IN YEAR ONE

Now we are in go mode. This is your time to start executing on all the notes, ideas, and growth plans you've accumulated. The best way to learn? By example. So, let's start with power washing as a business example of what I like to do when I take over.

Why power washing? Because ... I love watching porn. Okay, easy, this is a special type. Specifically, r/powerwashingporn on Reddit, a very addictive community with two million followers. All they do is post videos and before/after pictures of powerful water hoses cleaning up dirt and grime.

You might think this boring business doesn't make much money. But with the right growth tactics, it has the potential to increase profits tenfold.^{[fn1](#)} If you don't believe me, that's understandable—10X'ing profits can sound unrealistic, especially if you've never done it before. But my team and I have done it, with many boring businesses in many different industries. So, right now, I'm going to prove to you that it's not only possible, it's actually *simple*. With a few marketing tweaks, we'll grow a modest pressure-washing business into a multimillion-dollar enterprise.

Let's pretend you're the new owner. You've been running this business now for a full year as a solo owner-operator. It's going well and you're making six figures. Here are the numbers from the first year of your pressure-washing business:

- Total leads: 500
- Conversion: 35 percent
- Paid jobs: 175
- Average job price: \$400
- Annual revenue: \$70,000
- Annual expenses: \$5,000 (yes, it really can be that cheap to start)

- Annual profits: \$65,000

Let's also say you're located in a city with one hundred thousand high-income households (for reference: Austin has more than four hundred thousand households). Even though there are two well-established competitors in the area, it's safe to say there's still room to grow. So what do you do to grow your 10X?

- 1. PRICING—RAISE, LAYER, AND ITERATE:** Most small businesses are three to five years behind in price increases. You will not be. Raise your prices. Add a three-tiered price structure (low, medium, high). Add discounts for up-front payment, annual plans, and institutional versus retail pricing. Let's elevate your business by raising your prices 20 percent. This results in a lower conversion rate for sales (down from 35 percent to 33 percent), but your average order price increases from \$400 to \$480.
- 2. UPSELLS:** The most underrated business truth of all time is this: it's far more profitable to sell more stuff to your current customers than it is to find new customers. Charging for pressure washing is like presenting a menu: the more you offer, the more you'll make. A driveway fetches you between \$200 and \$400. But a full house? I'm talking roof cleaning, pool cleaning, wood deck/fence restoration, gutter cleaning, window cleaning, and/or exterior painting. That's \$1,000 to \$1,500 per job. Not to mention corporate clients, which average \$3,000 per job. By offering numerous upsells, you raise your average job revenue by 50 percent, from \$480 to \$720.
- 3. RECURRING REVENUE:** You've been working way too hard, selling one pressure wash at a time. Moving forward, you're going to offer your customers a subscription, so they are opted into repeat services. You'll give them three upsell options: big package, medium package, small package. You'll also sell biannual pressure washing and schedule their neighbors on the same dates to maximize efficiency. This raises your number of jobs per year by 50 percent, from 175 to 263.

For those keeping track at home:

- Total leads: 500

- Conversion: **33 percent ↓**
- Paid jobs: **263 ↑**
- Average job price: **\$720 ↑**
- Annual revenue: **\$189,360 ↑**
- Annual expenses: **\$10,000 ↑**
- Annual profits: **\$179,360 ↑**

Your salary has increased by 176 percent, with only 50 percent more jobs. So far, so good. But we're just getting warmed up.

4. OUTSOURCING: You have been running around town and handling every job. You've been the only technician, doing all the work yourself. Today, that stops. You decide to bring on a full-time technician to replace you. They handle 100 percent of the manual labor for all 263 jobs. You pay them an annual salary of \$40,000. Suddenly, you're making \$139,360 in profit ... without doing any of the work. *Nice.* You decide to expand your service area and hire two more technicians at \$40,000 each. (Pro tip: One in hiring is none. Have multiple techs and your life will get easier.) You also upgrade from pressure-washing machines to power-washing trucks—nicer equipment that's more efficient and heats the water, but costs more to operate (roughly \$35,000 per truck). Together, your three technicians complete a total of 700 jobs per year, at an average price of \$720. Sweet.

Time for an update:

- Total leads: **2,100 ↑**
- Conversion: 33 percent
- Paid jobs: **700 ↑**
- Average job price: \$720
- Annual revenue: **\$504,000 ↑**
- Annual expenses: **\$235,000 ↑**

- Annual profits: **\$269,000 ↑**

That's a total increase of 3.1X in profits. You're a quarter of the way to becoming a millionaire, and we're still not done.

5. SALES RESPONSE TIME: When you were a solo owner, you couldn't answer leads fast enough. Your average response time was twenty-four hours. As a result, you lost an estimated two hundred leads per year. Ouch! Now that you work *on* your business (instead of *in* it), you use [approachment.com^{fn2}](#) to implement a system that responds to new leads within sixty seconds. Your conversion rate skyrockets to 50 percent. With your expanded service area, your team is now able to close two hundred more leads per year. Total paid jobs per year increases to 1,000, and your new annual salary climbs up to \$485,000.

6. FIVE-STAR REVIEWS: Your happy clients give good tips, but they rarely take the time to leave reviews. On the flip side, the few clients you've had who were unhappy with your services consistently go out of their way to write negative reviews. The result? An underwhelming Google Business page that makes your competitors look a lot more attractive. After doing some research, you learn the cold, hard truth about reviews:

- 93 percent of customers read reviews.
- More than 90 percent will not use your product if you have less than 3.5 stars.
- 58 percent of consumers will pay more and wait for a better-reviewed company.
- Unhappy people are 10X more likely to leave a review.
- It can take ten to twenty positive reviews to negate one negative.

You implement a tech tool that automatically asks customers for a five-star review after a job is completed. Within a matter of months, the appearance and SEO ranking of your Google Business listing improves dramatically. Your total jobs sold increases from 1,000 to 1,100 per year.

7. MAGIC MOMENTS: Now the real marketing fun begins. You study the viral power-washing videos on YouTube and find a channel that's accumulated more than 500 million views. You notice they've uploaded simple videos (albeit a thousand of them!), and decide you can emulate what they're doing. You tell your technicians to record one job per week, using a tripod and their cell phone's time-lapse video feature, then send you the footage. (I'm getting excited just imagining the before and after clips.) You pay an overseas video editor \$1,250 per month to edit four videos a week, in a similar style as the viral videos, then post them to YouTube. After a year, your channel has two hundred videos posted, five million views, and twenty thousand subscribers. The videos boost your company's SEO ranking on Google, resulting in forty more jobs for your crew per year. Cherry on top: YouTube AdSense brings in \$5,000 in revenue, and you land a \$15,000 brand deal with a cleaning solutions company.

All right, it's time for the final tally. Let's see how we did:

- Total leads: **2,300 ↑**
- Conversion: **50 percent ↑**
- Paid jobs: **1,140 ↑**
- Average job price: \$720
- Annual revenue: **\$820,800 ↑**
- Annual expenses: **\$250,000 ↑** (\$15K to video editor)
- Annual profits: **\$570,800 ↑**

Just like that, you're halfway to becoming a millionaire. You've also managed to 8X your profits. To be clear, if you have a business that does a half million in annual profits, you can likely sell it for more like \$1.5 million to \$3 million. If this tickles your fancy, I have a full breakdown on how to scale the business to \$3 million in annual profits (see the appendix), then you're in a prime position for a private equity firm to buy you out. They'll do it for 6 to 10X

annual profit, which means \$18 million to \$30 million in your pocket. Cha-ching.

Is it easy? Nope. Is it guaranteed? Absolutely not. But it isn't rocket science. That's the beauty of owning a boring business. Mark can vouch for that.

Text Message Exchange

MARK: What a f*ing ride. \$4.4M in 4 years, getting paid to take ownership.

CODIE: I'm so proud of you. You're a great dad, family man, helping out your community, making millions, and crushing jujitsu!

Slack Message to Contrarian Thinkers Community

MARK: LOI signed! \$5.1M. I'll get \$1.38m at close and \$550,000 over 3 years. 90 day exit for me. So grateful for all of you!

All right, let's get back to your business again. Here are four growth tactics you can put into place within the next thirty days. Get ready for the ultimate listicle with only what you need and nothing you don't.

STEP 1: Raise Your Prices by 5 to 30 Percent

Which prices should you raise? *All of them.* When should you raise them? *Right now.* Really? *Yes.* Inflation is anywhere between 4 and 9 percent (depending on who you ask; it could be much higher). That means you are losing money every year you don't raise your prices.

Before I buy a business, I'll run a price analysis ahead of time:

- What are the current prices?
- When were they last raised?
- How often are they raised?
- What are their competitors' price points?
- How much are similar products in the market selling for?

After you run this analysis, my guess is you'll quickly see that you can comfortably raise prices anywhere from 5 to 30 percent, sometimes higher.

Whenever a business owner feels reluctant about an arbitrary price increase, I tell them this: *Solve rich people's problems. They pay better.* Do you have a luxury or ultra-premium option in your pricing? If not, it's time to add one. If I bought a laundromat, I'd add wash-and-fold at 5X the price. If I bought a car wash, I'd add the elite option for unlimited washes. If I bought an accounting firm, I'd add white-glove concierge annual plans.

Most small-business owners "live in their own wallet," meaning they won't charge any higher than what *they* would be willing to pay. That's dumb. Let rich people pay you lots of money if they want to. You'll be surprised how often they will.

STEP 2: Clean Up Your Prices

Please stop giving prospects more than three options. Confused prospects do not buy. I prefer the sandwich method. One low price, one meaty price, one high price. Make them go for the meat.

STEP 3: Add Subscriptions for Recurring Revenue

One of the things they never tell you about being in business is that people love to *not* pay you. So you want to get paid in full, up front, and often, whenever and wherever you can. The magic words: *recurring revenue*.

Recurring revenue simply means ongoing payments for ongoing services. Unlike one-off transactional sales, these recurring revenues are stable and predictable. You can count on them at regular intervals. They are the Dom Pérignon of business revenue. Here are a few examples:

THE SANDWICH METHOD: MAKE THEM GO FOR THE MEAT



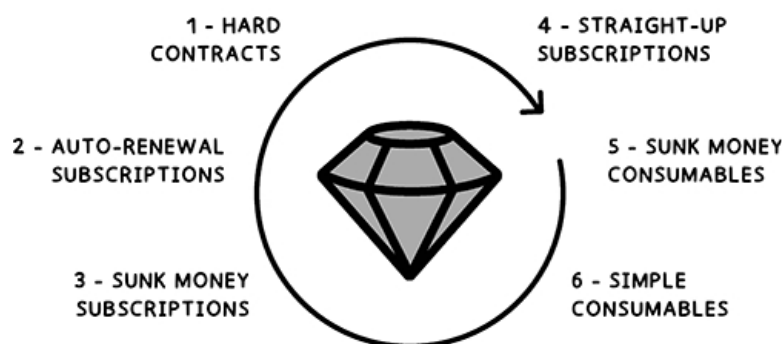
- Subscriptions to your car wash
- Monthly automated payment for landscaping service
- Annual subscriptions for extermination companies

After you've raised your prices, add subscriptions. This is money you don't have to chase, and it's worth more when you sell, making it a move you'll never regret.

STEP 4: Update Your Website

Don't spend tens of thousands on it. Do make sure the buy button is big. The call to action is obvious. The testimonials are new, with real human names and faces. The email capture is obvious. The services lead with benefits, not features. And somewhere in there, you remind them that you're owned by humans who are there to solve their problems.

THE SIX TYPES OF RECURRING REVENUE



STEP 5: Respond to Leads Immediately

When it comes to sales, the single most important factor is *speed*.

Do you want to close more leads? Respond faster. The first business to respond to a potential lead typically wins it. Studies have shown businesses are 20X more likely to convert a lead if they reply within five minutes (compared to thirty-plus minutes).

Do you know how long it takes the average small-business owner to respond to a lead? FORTY-SEVEN HOURS! That means if you are spending money on leads and not replying to them within five minutes, you are wasting your money. The good news is that the bar to beat your competition is unbelievably low.

But I'm too busy doing the actual work to respond to new leads!

Use approachment.com, a service that deploys real human agents to respond to inbound leads within sixty seconds. I use them for my businesses to monitor and instantly respond to all inbound inquiries, whether by text, WhatsApp, Facebook Messenger, Instagram Messenger, or Twitter. Their live team monitors your channels to assist, engage, and categorize leads. When the conversation is done, Approachment lets your team know via CRM integration or by emailing you the transcript.

STEP 6: Referrals for Money and Humans

Most businesses have zero referral processes. Remember, it's more profitable to sell your current customer new things than to find new customers. You have \$0 customer acquisition cost, confirmation bias, recency bias, higher trust level, client buying history/data, and their contact info. So, what do you do? Upsell, cross-sell, affiliate sell, add subscriptions from monthly to annual plans. *This is the way.* At least for me. Call and get to know your ten to twenty happiest customers and ask them this question:

We're a small business that only really grows by people like you referring us to others. Who else do you know who might be a fit? We'll give them a discount for being your friend.

Then call your next ten to twenty customers and ask them what else you can do for them. Do you think they remember that you sell Christmas tree lighting, gutter cleaning, and landscaping? Probably not.

The second type of referrals are for employees. Finding good ones is always hard. Pay your best people to refer more people. Five hundred to five thousand dollars per hire (that stays for more than six months) will get your people recruiting.

STEP 7: Ask for Reviews

Small businesses have no brand. Want proof? I bet you can't name a single landscaping or plumbing company, even if you've used them for decades. That means you will most likely never be "the Nike of roof cleaning." So, how do you get people returning to you again and again? *Word of mouth.* That's getting other people to flap their

lips about you. In order to do that, you have to start treating every single customer as though they are your *only option* for generating new business.

Enter nicejob.com, or any of the many software tools that put reviews, referrals, and social media content on autopilot. After each service, your customers will automatically be asked to leave a review on Google, Facebook, and/or Yelp. If that goes unanswered, the text message will be followed up by two well-timed emails, each of them politely asking for a review. And if that's ignored, the customer will get a little follow-up phone call.

Does it work? Well, in less than a year, a local cleaning company run by my friend Johnny added three hundred-plus reviews to their listings across Yelp, Facebook, and Google. Those rankings boosted them to the top spot for “window cleaning” searches in their area. Their review count is now so high that it's 3X more than the next two companies combined. If you can optimize for one thing, make it reviews. They are worth their weight in gold.

Oh, and while we're talking about it: If this book has been helpful to you so far, would you mind popping onto Amazon and leaving a quick review? It would mean a lot to me and will help any future readers who dream of owning a business. I treasure you!

STEP 8: Sale-EO Not CEO

For your first year in business, if you are the CEO, you are the salesperson. Make sure you schedule your time accordingly. That means six to ten hours a week selling. Asking friends to test your products and report back. Writing and testing individual sales emails. Playing in customer service to turn mistakes into money. Your bank account will be a reflection of your time spent.

OWNERSHIP AUTOPILOT: MANAGING YOUR BUSINESS WITHOUT GOING CRAZY

Your Business Scorecard: Monitoring Metrics That Matter

Elon Musk famously once said:

My mind is a storm. I don't think most people would want to be me. They may think they'd want to be me, but they don't know. They don't understand.

I'm not a genius like Elon, but I can appreciate the sentiment. Elon is running not one multibillion-dollar company, not two, but *three*: Tesla, SpaceX, and Twitter (now called X). It turns out that when your businesses are that big and that many, the only thing you know for sure is that at any given moment something somewhere is breaking. You might want Elon's bank account, but you do not want that mental burden. Let's break down a few ways you can live your life and run your businesses without your businesses running you.

Don't drown in data. Every business has a path that your clients travel to pay you money. We call this the "Deal Driveway." At my friend Ayman Al-Abdullah's former company, AppSumo, it looked like this:

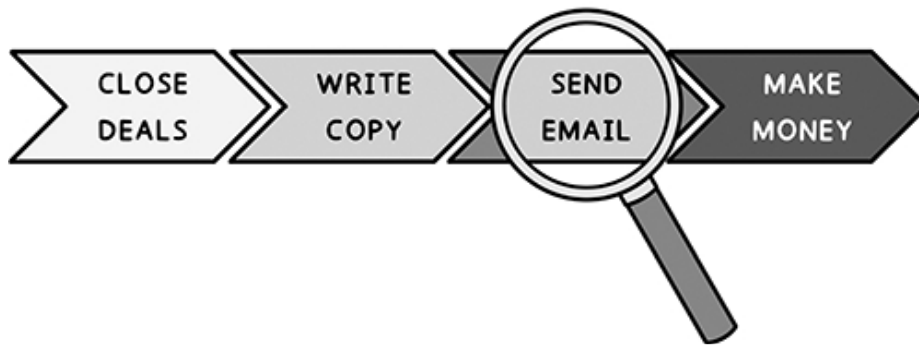
He'd close a deal (with a software partner that would give him a cut to sell their software), write copy (his team would write a GREAT sales email about the software), send email (he would send the email to hundreds of thousands of business owners), then make money (they would buy the software from AppSumo).

Ayman knew exactly which metrics he needed to track for the business to succeed:

- Deals closed
- Emails written
- Emails sent
- Money in
- Email addresses collected (front end)

DEAL DRIVEWAY

FIND THE THREE TO FIVE NUMBERS TO TRACK



You need to find your Deal Driveway. Ask yourself: If I could look at only three to five numbers, which ones would tell me the most complete story about my business?

Most businesses boil down to three to five of these numbers:

- **MONEY:** Revenue, expenses, profit, EBITDA, cash flow, cash on hand, burn rate
- **CLIENTS:** Net new, churn, lifetime value (LTV), average order value
- **MARKETING:** Followers, subscribers, emails, sales calls, meetings, site visits

Put those metrics on a scorecard and start tracking them, developing a trend line that reveals growth or decay.

As management guru Peter Drucker once famously said, “What gets measured gets managed.” Your high-level scorecard with three to five metrics should measure two things: output and input (or what I like to call “activity”). An output-based scorecard measures things like:

- New users
- Website traffic

- Revenue
- Growth week over week

These are numbers you don't have control over but need to see moving forward. They are often lagging (following) indicators of the next scorecard, which is activity-based. The activity scorecard measures:

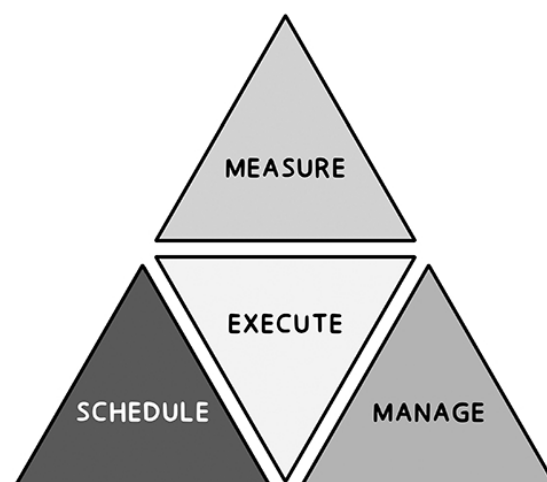
- Number of calls made
- Number of content pieces posted
- Hours worked across staff
- Machines in operation

These are things you can control that likely will increase your output scorecard. Now you know what you want to measure, which means you know what you want to spend your time on. Ayman would break his week (or his team's) down like this:

Monday	Tuesday	Wednesday	Thursday	Friday
Closing deals	Writing copy	Sending email	Customer support	Sourcing

What gets measured gets managed. What gets managed gets scheduled. What gets scheduled gets done. That's the execution triangle.

EXECUTION TRIANGLE



Again, don't drown in data. The numbers should leap out at you. Anything more is noise. In my businesses, I rarely want in-depth reports. I want short and sweet scorecards that allow me to view the business with an eye to profits and costs. That's it. To get your team to do this, praise good briefs, scorecards, and updates, and push back hard on bad briefs, scorecards, and updates.

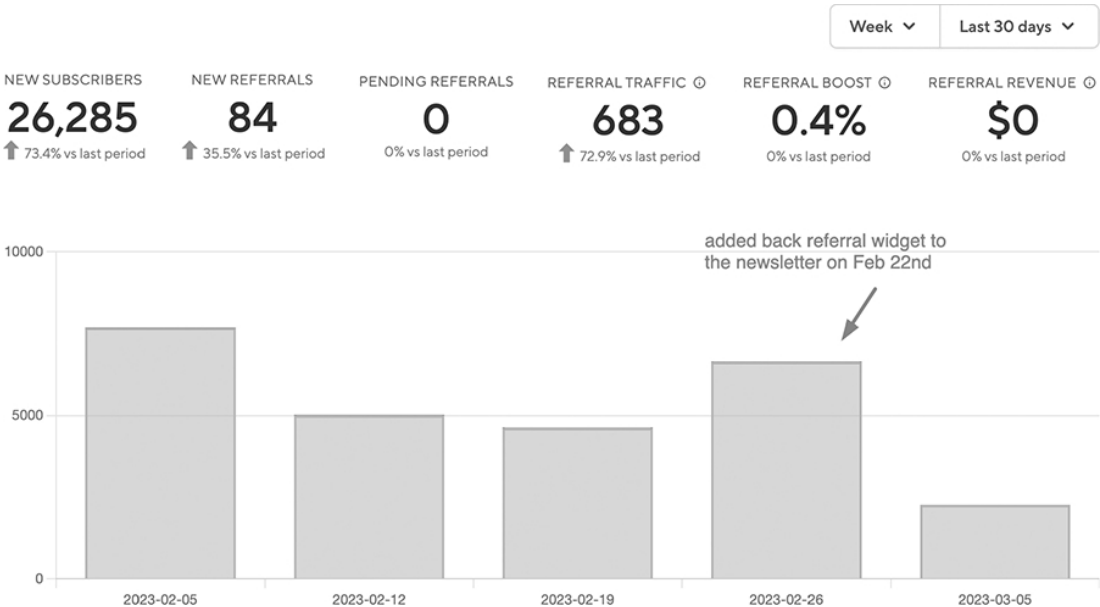
Here's an example of a great scorecard. It's short, shows trends week over week, and gives the original source.

REFERRAL PROGRAM: WEEKLY UPDATE

Hey team, now that we've relaunched our referral program (on February 22nd to be precise), here are our referral numbers for this week. We'll be logging them week over week to keep us on top of our game.

- We had +28.81% subscribers last week compared to the one before
- Referrals however dropped by 15.38% week over week
- The new reward system, which offers a reward for just one referral, is generating high volumes of one-referral sign-ups
- Looking at the last thirty days, we've had way more referrals: 35.5% more than the month before that.

Any questions, let me know!



WEEKLY REFERRAL DATA			
Date (WoW)	New Subscribers	New Referrals	Referral Traffic
February 27	6,001	26	239
March 7	7,730	22	276

How do you write a *great* brief? Keep it as short as possible. You don't need to write a full page, just a few paragraphs that aim for total clarity on these three items:

- Problem (What, Severity, Priority)
- Potential Solutions (What, Cost, Time)
- Ask (Help, Cost, Time, Team)

Briefs that lay out the Problem, Solutions, Ask Model above will save you decades in management.

Decentralized Management: Stop Barking

Let's call this the Warren Buffett method. Warren manages Berkshire Hathaway's 360,000 employees and still reads six newspapers a day. How? He uses Tom Murphy's (former head of Capital Cities, then ABC, then Disney — what a slacker) management principles of decentralization. That means he hires the best possible people, lets them do the work, and watches the costs. Rocket science, I know. And yet so few do it.

"We are both proponents of a decentralized management philosophy," Murphy said, "of hiring key people carefully; of pushing decisions down the organization; and of setting overall principles and resisting the temptation to be involved with details. In other words, *don't hire a dog and try to do the barking.*"

Stop barking and let your dogs do the work. And no, I'm not calling employees "dogs," it's just a great analogy. Easy, buddy. It's only natural to assume that no one can take care of your assets better than you. This is especially true when the assets are businesses. That's why it's common to see a lot of micromanaging from owners in their first business acquisitions.

But first, I like to ask myself ... *Are you sure you're the best?* Hard to be. *Is there no way you could find someone better?* Well,

there is a way. *Do you have to do it all?* No, probably not. Then don't. Because we're empire building. After all, what happens when your portfolio expands to three companies? To five, ten, or twenty? Will you still involve yourself in the day-to-day running of each one? Will you even be able to? Let me save you some tears. No, you won't.

The key to managing businesses is putting the right people in charge and limiting your direct reports. Keep that group small and tight. Biggie had it right. More direct reports, more problems, or something like that. Buffett runs his headquarters with twenty-five people who, in turn, manage the other 360,000 employees. His companies are worth billions and billions in assets. Follow the Sage.

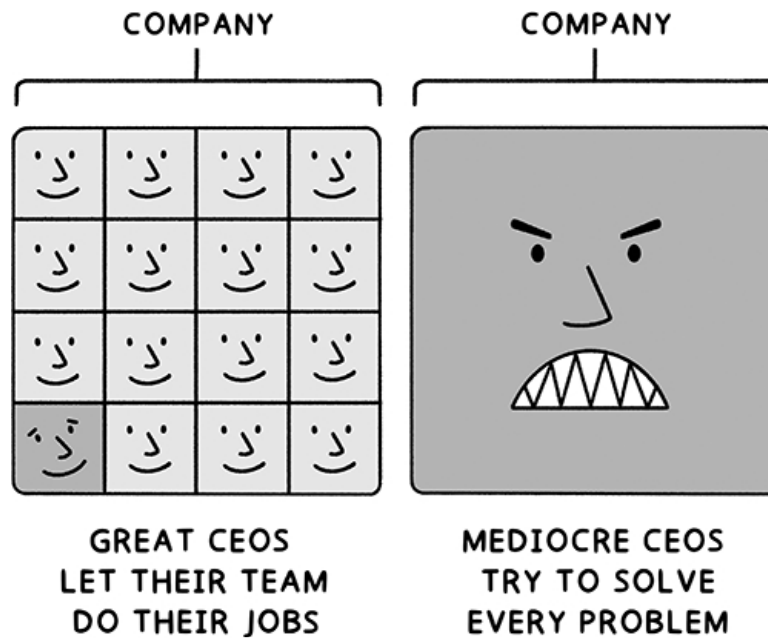
Let's take my companies, Contrarian Thinking Capital, Contrarian Thinking Media, and Main Street Holding Company. Main Street Holding Company is the umbrella company, overseeing businesses that collectively do nine figures annually, with hundreds of employees and contractors. But only five people report to me—the COO, head of Portfolio, head of Content, head of Product, and head of Finance. I meet with each twice a month, and they work with all the others.

Here's the structure for my portfolio holding company:

- Head of Portfolio: Earns \$100,000 to \$200,000 (plus bonus) to oversee the businesses and grow revenue
- CEO for each business: Owns 5 to 10 percent of the company and earns \$75,000 to \$300,000 (plus bonus) to run the business
- CIO/head of Finance: Earns \$100,000 to \$300,000 or more to provide me with financials for each business
- Investment analysts: Earn \$75,000 to \$150,000 for finding new deals, analyzing and assisting the portfolio management

There is a phrase I heard once: “purposefully absent.” That the best CEOs allow their people room to figure it TF out. The most unhappy CEOs try to solve every problem. Your job as a leader is to use this line often:

*I'm looking forward to hearing your solutions to that problem.
Keep me updated.*



Your fastest way to millions is hiring the right people. Your fastest way to misery is hiring the wrong people. Back to Warren Buffett, who's managed Berkshire Hathaway for the last twenty-five years. Their team is only twenty-five people, and their turnover during that time was 2 PERCENT. Wow.

How do you keep your people around? I once worked for a company called First Trust. There were many things I did not like about the place—like 99.9 percent of the senior managers (who, to be fair, probably didn't like me much either because I'm unemployable). But one thing I have to give them credit for is that the CEO is a savant at cult—oops, I mean culture building. In the middle of nowhere (Wheaton, Illinois) he built a multibillion-dollar business with a few hundred employees. They weren't all paid supremely well, yet the average tenure was decades. That's because their CEO created a *community*, not a company. He is categorically brilliant.

I remember the first company Christmas party I attended. I was shocked. They flew in employees, kids, and spouses and partied in a large ballroom complete with a Santa Claus, presents for each employee, and a meal. But the most interesting part was the annual PowerPoint. It didn't show quarterly earnings. It didn't highlight big wins. It was a glorified photo album. It showed the 38 mothers and daughters who worked at the firm. It showed the 102 siblings who worked there, and the 44 husbands and wives (I'm making up those numbers because I can't remember, but they were HIGH). It was a

private company where the CEO was fond of saying, “We’re private, so we do what we want!” Create a culture that isn’t run by PC, woke, and HR nonsense, and you’ll create a cult of like-minded humans focused on the mission.

In a world where conglomerates are trying to dominate, small companies have a way of restoring our faith in the world. It’s not hard to find studies that reveal how much happier small-business employees are. Ninety-five percent of small-business employees said their happiness stems from the small-business environment. Eight out of ten employees say they feel appreciated by their bosses and more respected than those who work for big companies. Go small and you might win big.

Buy Solutions: Why Your Business Shouldn’t Rely on Your Heroic Efforts

Have you ever felt like you are failing no matter what you do? You can’t be saved because the failure is *you*. That was me. I was toiling away in my newsletter business, which was growing at a pace that would make a slug lose its patience. I was depressed. Despite tweeting, Instagramming, LinkedIning, and Facebooking, I couldn’t grow fast enough. I think it bothered me more than any other business because my face was on it and the numbers were public. Almost like throwing a daily birthday party for your sixteen-year-old self and no one showing up. Not fun.

One day I saw a friend of mine post, “Welcome to the 20,000 new people who are on this newsletter here.” WTF. Twenty thousand subscribers in a week?!

Prepared to call him a liar, I called up my friend to ask how the royal F he had managed that huge increase. His answer: *I bought a failing newsletter using seller financing.*

Oh. Duh.

Even I forgot to apply what’s called “add-on acquisitions” to my own business. Since that day, I’ve acquired three businesses to roll into my newsletter business (Approachment, BizScout, Unconventional Acquisitions). I’ve also sold a newsletter (Growth Hackers). Those acquisitions led to more than one hundred thousand new subscribers and millions in revenue. As each business gets rolled in, I reuse my current systems and add new clients or products to our budding media empire. Magic.

If you want to add steroids to your process of acquiring new customers, there is no faster method than buying businesses. I turn to it each time I'm stuck. It is not easy though. Merging two companies is categorically harder than buying an individual company. Complexity creates difficulty.

A friend of mine, Dan Sullivan, wrote a book called *Who Not How*. It's brilliant. The idea is that whenever you have a problem, don't ask "*How* can I fix it?" Instead ask "*Who* can fix it for me?" I would add another question to the mix: "*What* can I buy that would fix this?" In other words: *buy, don't build*. When something isn't working, try buying the solution.

We had a company called Sublime in our portfolio and they spent \$2 million a year on rolling joints by hand. Yes, it was a cannabis company. For a company that was only doing \$10 to \$20 million per year, that's *a lot*. So one of our clever partners, Joe, decided to see if there were machines that could do that instead of humans. Turns out yes. They were \$750,000 each and we'd need two. Now Joe could have gone out and bought them, but then he'd have to pay cash out of the balance sheet and full price. Instead, he went looking for companies that weren't doing well and could be rescued with a small amount down (plus some equity in Sublime). He found one. For roughly \$500,000 in total, we got two machines, some employees, and saved ourselves about \$1 million a year in costs.

Acquisitions are not the only way, but they are usually the least-thought-of way.

SCALING UP: HOW TO EXPAND YOUR BUSINESS RESPONSIBLY

Business Blinders: Ignoring Shiny Objects in Your First Twelve Months

Whenever I meet a successful CEO, I ask them how they did it. Mediocre CEOs point to their brilliant strategic moves or their intuitive business sense or a variety of other self-congratulatory explanations. The great CEOs tend to be remarkably consistent in their answers. They all say, "I didn't quit."

—BEN HOROWITZ

Do you too suffer from Shiny Object Syndrome? Do you worry about being trapped with your boring business forever and hating your boring life? I know I did. Who wants to run a laundromat, car wash, or multifamily rentals forever?

I remember my mom used to say, “One day you’ll realize the grass is never truly greener.” Ahhh, but Mom, are you sure? That perpetual itch for the unknown. Chasing the squirrel. Humans are hardwired with a need for novelty. In truth, newness makes us happy.

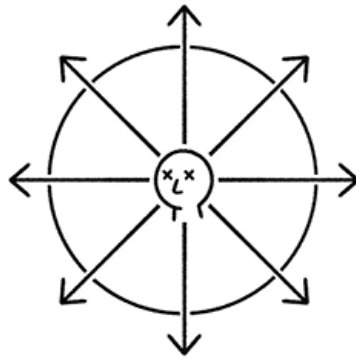
I love doing one thing—for a minute. Right about the time I become quite good at it, I’m on to the next challenge. Sam Zell once said he wanted to be “chairman of everything and the CEO of nothing.” A jack-of-all-trades and master of none. If that sounds like music to your ears, this section is for you.

Your road will start with your first business, but at some point, about two-hundred-ish days later, you’ll get the itch. That’s the restless urge to grow into your second, third, or fourth company. Even oak trees start as tiny acorns.

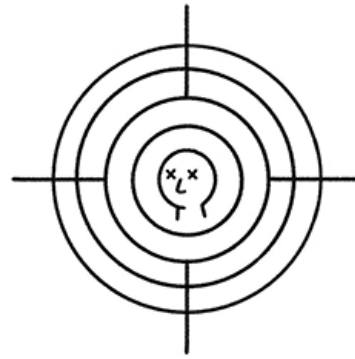
Don’t believe me. Believe the billionaires:

- In 2018, there were 1,426 billionaires in the world.
- Of those, about 960 were self-made.
- Of those 960, more than 830 of them—that’s 86 percent—made money from *multiple* businesses.

Branson, Cuban, Adelson, Musk, Bezos, and Jobs all followed their curiosity, even to the moon. The big difference between them and you? They knew this truth. Your lack of **focus** will kill you before your competitors ever get a chance. When you start, you **focus** on the few. When you get rich, you diversify with many. This is the key to making money and keeping it.



**YOUR LACK OF
FOCUS WILL KILL YOU**



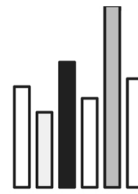
**BEFORE YOUR
COMPETITORS CAN**



**FOCUS ON
THE FEW**

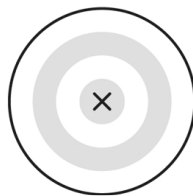


**GET
RICH**

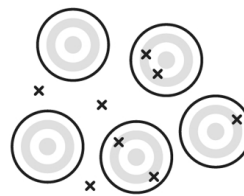


**DIVERSIFY
WITH MANY**

**USING THE
F-WORD... FOCUS**



**ATTEMPTING TOO
MUCH AT ONCE**



To be clear: You are not avoiding new opportunities; you are avoiding distractions. Think of it as being a “selective opportunist.” Especially in those first twelve months of new ownership, you’ll need to put on blinders.

• • •

He that hunts two rabbits catches neither.

—ERASMUS

I became friends with Geoffrey Kent by accident. We sat side by side on a plane from Cannes to London. He created the luxury travel company Abercrombie & Kent,^{[fn3](#)} played polo with King Charles III, traveled the world, and is a bit like Richard Branson before

Richard's time. After a few drinks, I asked him what the key was to running his company so successfully and making a billion dollars. Cheeky question, I know. He said:

The main ingredient is one we all have, but we rarely use it correctly: time.

He ran his business for sixty-one years. What if that's the main ingredient? **What if the recipe is simply Time + Focus + Consistency? I think it might be.** Every successful entrepreneur has faced moments of doubt and temptation to jump ship. What sets the great ones apart is their ability to stay the course. Don't take your eyes off the prize. Stay focused, and when you feel you're getting derailed, remember Morpheus in *The Matrix*:

Were you listening to me, Neo? Or were you looking at the woman in the red dress?

I was—

Look again.

And then Neo finds himself with a gun in his face. Don't let that be you. Distractions, even beautiful ones, can kill your business in the beginning. Stay focused.

Platform Acquisitions: Maximizing Your Revenue Streams

If you're going to dedicate your life to a business, which is the only way it will ever work, you should choose one with the potential to be huge.

—STEPHEN A. SCHWARZMAN, THE RICHEST MAN IN PRIVATE EQUITY

Carlos Slim. Bernard Arnault. Charles Koch. Do you know what these names have in common? They are the wealthiest men in the world, who all made their money the same way: *platform acquisitions*. They grew their billions by buying them.

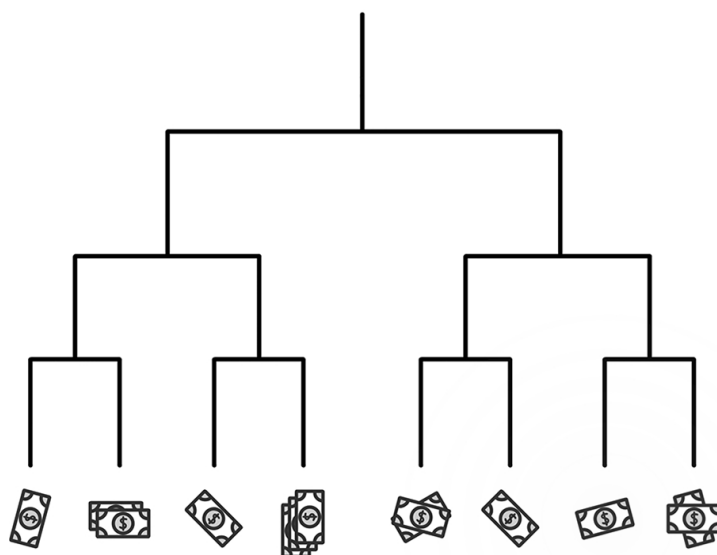
In this section, you'll get a sneak peek into how you can scale your own business using acquisitions. But please tread carefully. I have seen a graveyard full of sunken ships upon the shores of too many deals done at once. You can be very dangerous when you use the f-word: *focus*.

With that warning front of mind, let's look at seven ways to do add-on acquisitions.

Seven “Income Streams” from One Business

There is a saying that the average millionaire has seven to twelve streams of income. Probably true. But those streams are typically interwoven as threads to a rug. You use what you know to create more of what you want. Let’s illustrate this with numbers from a hypothetical laundromat as an example. We’ll “turn” its yearly \$67,000 in profits into more than a million dollars in annual profits. And we’ll do it largely using creative financing.

SELF-CARE ISN’T A BUBBLE BATH



IT'S MULTIPLE INCOME STREAMS

STEP 1: Buy a Platform Business

The wrong way to get seven income streams? Go off and open seven new businesses at once. A spectacular way to fail. Instead, buy what is called a platform business. One you can add to with more acquisitions, layering it like an onion. Here’s your starting point:

- Income: \$67,000 profit
- Money down: \$0 down, with profit payments up to \$15,000, for the price of \$100,000
- Income stream count: 1

STEP 2: Add Your First Acquisition

After you get the first ninety days of operations under your belt, it's time to add another income stream. Start small. Why not install some vending machines in your laundromat? Think snack vending, soap vending, and toy vending for kids.

How profitable are vending machines? Well, my Twitter friend Quinn Miller had:

- 27 vending machines
- 65 percent profit
- 20 hours per week of work
- \$15,000 monthly revenue
- \$600 start-up cost
- All-in costs for the machines: \$20,000

Quinn started the business after a chat with one of his mentors. The man had sold his business of hundreds of vending machines to a private equity firm. They'd paid him a fat eight-figure check. Quinn's take after speaking to his mentor:

You find a spot, negotiate with the building owner, buy a machine for \$500 to \$3,000, fill it with a couple hundred dollars' worth of product, throw it on an app, and it breaks even thirty to sixty days later.

I'm in.

So, you buy vending machines and get cash flow from them. Then you expand. First, to the businesses close to your laundromat. Then to other locations in a one-mile radius. After that, even more vending machines in the shopping area where your laundromat is located. Your laundromat operator can manage them.

Here's why this is brilliant. At \$1,000 per machine for twenty machines, you're in for \$20,000. If they make \$500 a month at 40 percent profit (make sure you double-check this math as markets move), you break even in five months and net \$4,000 a month after that.

Now you have \$67,000 annual profit from the laundromat and \$48,000 in vending machine profit.

- Income: \$115,000
- Income stream count: 2

STEP 3: Vertical Acquisition

Now your laundromat is fully operational. As you grow the business, you get to know your competitors and other operators in the area. You find Bob. Bob is a pro; he's run his laundromat for twenty years, and as the years passed, the city he lives in changed. Austin became a little too "weird" for Bob.

One day, he tells you he wants to move to the country. He has dreams of wraparound porches, horses, and not a goddamn neighbor in sight. During one of your monthly meetups, you casually ask if he might sell you his laundromat to pay for that country home. He says, "Well, reckon I might." Seller financing lets you use future profits to buy his business. Now each month you send Bob a check and plan to pay him off in three years. Bob is happy as a pig in sh*t. He's getting paid for work you're doing, he's got his wraparound porch, and you've got a new revenue line, baby.

Bob's place is a bigger, more established laundromat than yours. It has a wash-and-fold service making \$1 million in annual revenue and \$300,000 in profit. Now you have his \$300,000 in profit (bringing you to \$415,000 in annual profit) and can offer wash-and-fold services to your customers. This adds \$50,000 a year in revenue. Since Bob's operation was a bit dated, you add a new website, signage, subscription models, and vending machines. Those value-adds bring \$125,000 in additional profit.

- Income: \$540,000
- Income stream count: 3

STEP 4: Asset Acquisition (Machines)

After Bob teaches you the ins and outs of his laundromat, you realize something. This laundromat has the capacity for 30 to 40 percent more machines. More machines = higher revenue. You shop around for some used machines. A broker tells you about a store on the other side of town that's closing. You snap up their equipment for pennies on the dollar. Your 30 percent expansion adds another \$50,000 in annual profit.

- Your increased capacity = \$50,000 per year
- Income: \$590,000
- Income stream count: 4

STEP 5: Satellite Acquisition (Delivery)

You love your laundromat—you're making \$590,000 a year, what's not to like?—but you're hungry. You want more margin and higher-end customers. How could you do that? Delivery. So you buy a van delivery fleet from another company, add a wash-and-fold delivery service, and earn another \$250,000 in income.

(Sidenote: One of the laundromats I invested in made \$3 million in a wash-and-fold business, The Folde. That's not counting the added tax benefits: when you buy equipment, like vans or machines, you can employ accelerated depreciation and write-offs. Call your accountant.) The downside is these add-ons come with a lot of work, logistics, complexity, and the occasional meth addict break-in. Let's not minimize that.

- Income: \$840,000
- Income stream count: 5

STEP 6: Horizontal Acquisition (Products)

One of my favorite ways to diversify my income streams is what I call a P&L review. I look at every expense to see if I can turn my costs into profits. Try it out.

What's the biggest cost that you could change at your laundromat? The soap. Why not buy a mixer of commercial-grade soap, brand it, bottle it, cut your soap costs 30 to 50 percent, then sell it to your competitors under a different name? That's clever. So you buy a soap business or acquire the equipment to do it yourself. Or you partner on it and take a revenue share or an affiliate fee. That's another \$200,000 per year.

The beauty of these acquisitions is that you're using your business profits or seller financing to do each step, all while decreasing your taxes and keeping cash in your wallet. I'm oversimplifying to illustrate, but you get the high-level point.

- Income: \$1,040,000

- Income stream count: 6

STEP 7: Hard-Asset Acquisition (Real Estate)

My friend, you are cruising. You have a lil budding business empire doing \$1,040,000 profit. Most likely you're doing \$3 million to \$4 million in total revenue. You grow and add efficiencies to bring that number even higher. In laundromats, your biggest expenses will be water, electricity, labor, and then your lease. Let's decrease one of those.

Why not buy your strip mall and be a landlord to your businesses? This secures all the write-offs, depreciation, and tax benefits that come with real estate. You buy your building using a loan. You now use the other businesses' rent to essentially subsidize your own.

- That deal equals another \$100,000 in profit.
- Income: \$1,140,000
- Income stream count: 7

Will it always work like this? *No*. Could it happen faster or slower? *Yes*. Should I keep asking myself questions on your behalf and answering them? *Probably not*. The point is, you can either grow organically in your businesses or you can buy your growth. You have more cash flow to buy more businesses or to scale. So if you think I'm not out here buying up media and newsletter companies to add them to my pie, you'd be mistaken. Don't beat 'em; buy 'em.

EXIT STRATEGY: HOW TO SELL YOUR BUSINESS AND START OVER

At some point, you are going to want out. I promise. Entrepreneurs often love building their empires ... until they find themselves being eaten alive by their creations. My billionaire friend Andrew Wilkinson said it best:

Every Founder in Year 1: "I love my company. These people are my family and I will run this business forever."

Every Founder in Year 8: "I hate my life and my employees hate me. Please buy my business and let me go away for a

very long time.”

There will come a day when you will want to pass the torch. Sure, Jeff Bezos ran Amazon for twenty-seven years, but he eventually opted for yacht life.

Start with the end in mind. Less than 30 percent of small businesses sell, and less than 20 percent of small-business owners plan their exits. You are not most people. You will sell one day, and you will make millions because you prepared for it. I wish that for you.

My friend Sam Parr built his company, The Hustle, up to tens of millions in revenue and millions in profit per year. He was in his late twenties/early thirties and a millionaire founder. Sounds lovely thus far. Yet sleepless nights, worry about what would go wrong next, and little cash because it was all wrapped up in the business meant he was done.

So after five years, when HubSpot came to him with an offer to purchase, Sam feigned disinterest. Like a hard-to-get girl at the bar. But let's be honest, he was ready to get lucky. He wrapped up a sale that, even today, he says was a bit early for him. Why? Because running a bootstrapped start-up is *miserable*. It's like war: “Months of boredom punctuated by moments of sheer terror.” Sure, you make money and have some prestige. But anyone who tells you running a business is stress free is lying. So he sold and made himself tens and tens of millions of dollars.

Let's tell another sales story. It involves a beat-up old laundromat getting a facelift and three young entrepreneurs tackling a dirty business. Mark Vlaskamp and his buddies bought a laundromat in my hometown of Austin, did a fixer-upper on it, and then added a few more. Why? Most people think laundromats are going the way of typewriters. Even people living in five-hundred-square-foot studio apartments often have a washer and dryer. Who goes to laundromats anymore? Was this a bad investment?

Not when Mark is running the show. The laundromats soon made millions. His big, clean, and convenient laundromats were busy during the day with customers who needed the speed, size, and convenience of his industrial units. And then Mark launched a wash-fold-and-deliver business to keep his machines spinning twenty-two hours a day. He does laundry for visitors in town on vacation or for the South by Southwest festival. He does the laundry

for visiting professional sports teams. He has an enormous back room filled with rack after rack of bags full of dirty clothes coming in, and clean clothes heading out for delivery. He's got himself a little Amazon warehouse of unmentionables humming in smelly and cruising out shining. All night long, his crew is running orders through the machines. Folding all clothing precisely according to the company's standards. Delivering fresh, clean clothes to happy customers as far as forty miles away. In two years, he built a \$3-million-a-year business that he'll be selling for nearly \$4 million. Mark is a good operator, but at some point he realized he was ready for his next venture. And it wasn't the first business he bought.

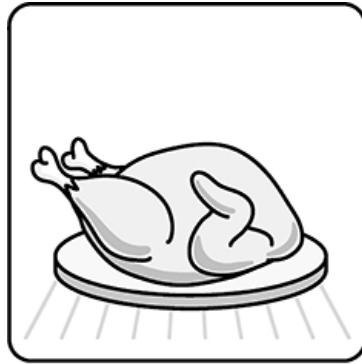
With a little luck and a lot of hard work, this will likely be you.

When Is the Best Time to Sell?

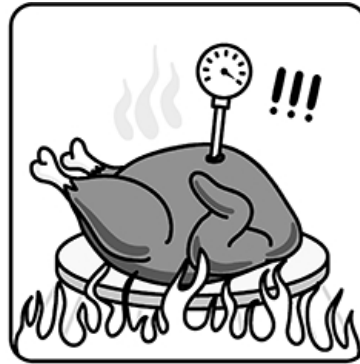
A good business can *always* be sold or bought. Even if there are rising interest rates, declining sales prices, pandemics, and all manner of economic factors lining up. Doesn't matter. **A good business can always be sold or bought.** Yes, economic factors will have an impact on negotiations, but you can figure that out. For example, when interest rates are high, buyers may offer less and sellers may need to offer financing to fetch the price they want.

As more boomers realize the value of the businesses they built, the inventory for sale could go up. That means more competition among sellers. But will that actually happen? In 2023, most business brokers reported closing more deals than they had the previous year. The number of available businesses was up, but so was the number of interested buyers entering the market.

Remember, too, that selling your business isn't a fast process. Just *preparing* to sell a business can take up to a year. Like anything in life that's worth it, it isn't fast and it isn't easy. You can't bake a turkey in an hour by putting the oven to 900 degrees. Whatever economic issues are affecting today could be gone by the time the sale rolls around. But the unprepared transfer their money to the prepared in times of crisis. I invested in several car washes across Texas for 8 to 10X profit. Now they're going for 12 to 24X profit. Bad economies only ruin bad deals.



YOU CAN'T BAKE A
TURKEY IN ONE HOUR



BY COOKING IT
AT 900 DEGREES

Valuation Booster: How to Increase Your Business's Value

THE VALUE OF
YOUR BUSINESS $\neq$ YOUR PROFITS

$$\text{THE VALUE OF YOUR BUSINESS} = \frac{\text{PROFITS} - \text{RISKS}}{\text{PAIN} - \text{PROCESSES}}$$

What does the above graphic mean? It's not simply how much profit you make; it's how likely that profit will continue to exist going forward, divided by the pain in your business, minus processes you put in place to decrease that pain. I could write an entire book about selling your business for more (in fact, I might). For now, we will keep this part short and give you only what you need.

How much is your business *actually* worth? On the one hand, it's worth whatever people are willing to pay for it. On the other hand, you can firmly (and legally) put your thumb on the scale. So let's stack the deck in your favor.

To start, there are three main ways your business can get a valuation:

1. **GET A CERTIFIED BUSINESS APPRAISAL.** This could cost \$15,000 or more, and it isn't required prior to selling (although the buyer's lender may require them to get one).

2. HAVE YOUR CPA, BUSINESS BROKER, OR ADVISER

ESTABLISH AN INFORMAL VALUE. Base it on the sales of similarly sized businesses in your geographic area.

3. TAKE YOUR PROFITS AND MULTIPLY THEM BY TWO TO TEN, DEPENDING ON YOUR INDUSTRY. This is my preferred method when I am buying a business. But if you are selling, you want to skew this number as high as possible.

Sleepless Nights: What Buyers Need to See to Rest Easy

Why do less than 30 percent of businesses sell? To answer that, you have to think about what the buyer needs. The buyer must be certain that:

- The business is worth what they're buying it for.
- They can make the payments on the loan they use to buy the business.
- They are getting a good deal that makes sense for them.

If you want to sell your business, make it feel like they're getting a deal so good it's illegal. Make them feel like the numbers are so obvious they could review them with a permanent marker. Make them feel like a bank would be crazy not to loan on this deal. Or make your business so profitable that everyone is competing to buy it.

Keep in mind all the thinking you did when you were a buyer. You had a lot of questions. You wondered: *Why is the owner selling now? What's their primary motivation? Does the company have a strong future? If so, is the owner selling because they don't have the desire or energy to make the changes to reach that potential?* As a buyer, you committed the time and patience needed to tease out the honest answers to these questions. Expect your buyer to do the same. If they're a smart buyer (like you were), they will want to take some time to get to know you.

Be prepared for that. You can anticipate their questions, so have some answers ready. In addition to asking you about your motivation for selling, they'll want to know how you got started in business and why you chose this business. What do you love about the work and what do you dislike about it? What kind of mistakes

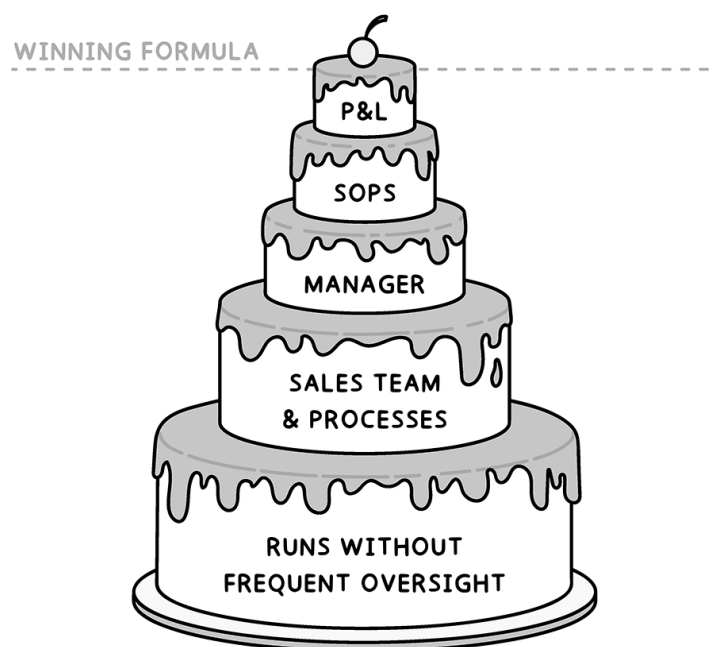
have you made along the way and how would you have handled key challenges differently? Be honest: What's a typical day like? What are your plans after the sale?

Your buyer will wonder if the business can function without you. Can the business continue to be strong after you've left? It's up to you to ensure that it will. Before selling, "remove" yourself from the day-to-day work. Bring on a trusted general manager or management team. Train them to understand and operate the business as well as you do. Even if you don't sell, this kind of contingency planning will protect your business in case something happens to you. So just picture those mattress commercials: "After buying this bad boy, you'll only ever be a winner or a snoozer." Dad jokes.

Buyers are like Chihuahuas. They're nervous, a little shaky, and barking all the time. Rightly so. It is no small thing to buy a business and dedicate your life to it.

I have a process I call the Cashout Cake. Here's what it looks like:

CASHOUT CAKE



Ever tried to bake a cake without following the recipe *exactly*? It doesn't end well. Martha Stewart I am not, but even I know you can't just wing it in baking. When it comes to making your own Cashout Cake, you need the right ingredients. Here they are:

1. Simple Finances

2. More SOPs Than a Pilot
3. Loyal Employees
4. Not Run by You
5. Matching Outfits
6. Eggs in Many Baskets
7. Sales Team

When you follow the recipe and use all these ingredients, it will make it so much easier for you to sell your business for millions. If your business lacks any of these ingredients, fix them and prove they work. Then you'll be able to sell.

INGREDIENT 1: Simple Finances

Here's what NOT to do when sharing your finances with a potential buyer.

We walked into one accounting practice that was closing and potentially going to sell for a steal. The problem? Imagine a 1970s office complete with orange shag carpet, linoleum, and a couple of light bulbs missing. It is covered from ceiling to shag with boxes of tax returns, files, financials, and what appear to be many a coffee stain. When we asked for their financials, they looked over at two boxes with papers messily spewing out and told us to feel free to take a look. Astonishing for an accounting practice, when we reconciled the books, they didn't match their tax returns. Irony. When we asked about cash versus credit card payments they didn't know. Their financials were so sloppy the IRS would have fainted.

Compare that to a step-by-step, easy-to-follow recipe:

You walk into a company. Their tax returns and QuickBooks accounts are immaculate. They clearly show revenue, expenses, and how they have changed over the years. Everything is accessible with one click in a beautiful spreadsheet. They show a steadily improving bottom line, suggesting their businesses still have room to grow. This makes it easy for buyers to see the key levers in the business. Their finances are audited. They have financial statements, and their accountant is available to review them with you. Their overall debt-to-income ratio is at or below 43 percent. The lower the

debt, the higher the price, obviously. This cake is so tender you don't even need a knife. That's how to do financials right.

INGREDIENT 2: More SOPs Than a Pilot

SOPs are standard operating procedures. Sounds boring, I know. But things that used to bore me now get me all hot and bothered. Why do I love SOPs? Very simple: Do you like repeating yourself? Me neither. So stop by writing it down once and never saying it again.

How to do this right? You institute the rule of three: *Anything you or your employees do more than three times, or that has at least three steps, is documented.* A buyer doesn't have to figure out what your team needs to do, because it's written down. In fact, they can even see everything your team has done in the past.

You have training materials like Mark. He even teaches his workers how to fold undies, T-shirts, and fitted sheets the RIGHT way. You pay someone to come into your business and document your systems for you. Or you ask each employee to document the ten most important things they do and create instructions for each. Everyone updates with one Loom (a free screen-casting service) and Google Doc every week, so it's a living, breathing organism. You keep notes of past meetings. You have a scorecard for each business unit and individual job. You have historical job descriptions and an organizational chart for the entire business.

You, my friend, have a culture of consistency. You are such an organized hominid that you have templates for various company correspondence. Things like emails to vendors, reminders, and meeting agendas. You have standards for how fast employees must respond to coworkers and customers. Because you know that if you don't have systems and processes, then you have a job, not a business.

How to F this up? You have no idea how Joe versus Jake in marketing does their job. Every time your team goes to visit a client, there is no checklist for pre or post or follow-up. Your team doesn't use tech tools for training and oversight. You write things down on paper, and even that's disorganized. You wonder sometimes if people are even doing their jobs, so you hover over everyone all the time. There is no scorecard except the one in your brain. Org charts? Those are for MBA nerds, not real owners. Flow

charts? What's that? Everything in business usually works, but you don't know how or why unless you pry it out of your noggin.

This, my friend, is most small businesses. It's a nightmare.

INGREDIENT 3: Loyal Employees

Buyers don't want to see high turnover. So you obsess on your good record for keeping employees.

The Bad: Your business is a revolving door of talent. You always have a **HIRING!** sign up because you can't keep good people. Your management team is inexperienced and new. Proven players aren't part of your equation.

INGREDIENT 4: Not Run by You

Your management team is so solid you go on (and document) a monthlong vacation a year because your team runs without you. You have a set process for hiring, it's tight, and people who work with you celebrate five-, ten-, and twenty-year anniversaries. A business reliant on the owner is an unsellable business. Bring on the confetti cake.

INGREDIENT 5: Matching Outfits

The ideal situation in a business sale is when you could change the name on your P&L and tax return, and the figures would match up like a pair of new socks. The SBA requires those documents for approval when a buyer borrows money for acquisitions. You need to be aware that any undocumented profits or benefits will likely need some guarantees during the deal negotiations. That may hurt your final sale price. For every dollar that doesn't make it onto the tax return, you need to have a detailed explanation. You also need a clear, easy-to-understand "add-back" strategy, which could mean tens of thousands more in your pocket when you sell. I'll break down exactly what that means on [page 246](#).

INGREDIENT 6: Eggs in Many Baskets

The Good: You pull in customers through a variety of channels, from Instagram to Amazon to Google to paid ads to organic. You, sneaky devil, even have a traffic gap audit to identify areas where your traffic could be improved, and you diversify if you need to. Talk nerdy to me. You've got so many baskets you won't even let

any single customer make up more than 15 percent of your business's revenue.

The Bad: All your customers come from Facebook. Then Zuckerberg gets pissy and turns off your account. Bye-bye, business.

INGREDIENT 7: Sales Team

In selling, two salespeople are always better than one. Process beats people. To have predictable, recurring revenue, you need to have a sales engine. One that a buyer of your business can drive and continue bringing in predictable revenue.

When I first started First Trust's Latin America business, my "territory" was literally all of Latin America. We had zero clients and I was the main salesperson. I'd do steak dinners, endless PowerPoints, and tap dances to close. As I grew the business to \$1 billion in sales, I added team members and trained them on my process. We had April in Mexico, Colton in Peru, Carlos in Colombia. We had a team, a bench, and a process. That's what you need.

INGREDIENTS TO SELL FOR MILLION



1. SIMPLE FINANCES

ACCESSIBLE IN ONE CLICK. CLEAR REVENUE & EXPENSES.



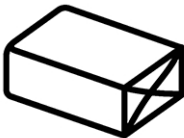
2. MORE SOPS THAN A PILOT

REPEATABLE SYSTEMS & PROCESSES. WRITTEN DOWN ON(



3. LOYAL EMPLOYEES

TIGHT HIRING PROCESS. PEOPLE STAY FOR YEARS.



4. NOT RUN BY YOU

GO ON LONG VACATIONS WITHOUT HICCUPS.



5. MATCHING OUTFITS

P&L AND TAX RETURN MATCH UP LIKE A NEW PAIR OF SO



6. EGGS IN MANY BASKETS

NO CUSTOMER MAKES UP MORE THAN 15% OF REVENUE.



7. SALES TEAM

IN SALES, ONE IS NONE.

Turning the Tables: How to Sell for Maximum Profit

More Profit ➡ Higher Price. It's that simple. Buyers are first and foremost interested in one thing: profit. They don't care how many weekends you had to work building your business. They are only mildly intrigued by all the great opportunities you saw and didn't capitalize on. Top of mind for buyers is cash flow, pure and simple.

Stick with me for some boring stuff that turns into dollars. Buyers will base their offer on a multiple of your profit. If the business is over \$3 million, they may use EBITDA. For anything smaller, they'll likely use seller's discretionary earnings, or SDE. SDE is your annual profit added to any other benefits the seller gets from the business, such as medical insurance or a gym membership.

There are two magical words in increasing your sales price: add-backs. Buyers hate them but you love them. If you don't carefully calculate SDE, the price you command could be tens of thousands lower than it should be, or more. My friend Joe Valley, author of *The EXITpreneur's Playbook*, says not factoring in add-backs is one of the biggest mistakes owners make when selling their business. Millions are left on the table here.

Add-backs are benefits and onetime expenses that increase the seller's net income. For instance, if you bought yourself a nice \$75,000 truck to use sometimes for your business, that's an add-back. You're keeping the truck, but the money you spent on it was part of your company's income and should be counted. The owner's hefty salary, health insurance, and other "owner benefits" are also add-backs. Charitable donations and payments into your individual retirement account are add-backs.^{[fn4](#)}

It's best to be as granular as possible, but watch out: this can potentially backfire. For example, Valley points out that the buyer may look at your salary and ask if that reflects a forty-hour workweek. If you're working eighty hours a week, the buyer may want to renegotiate the price down. That's because he'll have to hire an employee to replace all the work you were doing. Yikes.

If you know you're going to be selling in a few years, get with your accountant to front-load your deductions and notate while documenting your add-backs. That way, you can show maximum profits in the months or years heading into a sale. Anyone who's ever itemized a tax return understands the need to reduce your taxable income. But increasing profitability (on paper) may be in your best interest now, even at the expense of a bigger tax bill.

Improve Price, Multiple, or Both

For most small businesses, your multiple will likely be two to three times your SDE. So, if you're pulling \$100,000 out of the business every year, you'll likely get offers for \$200,000 to \$300,000. Some go as high as 5X SDE, depending on the industry and all the ingredients in the Cashout Cake.

Several factors can affect that multiple, including:

- **COMPS:** If companies like yours are selling for more than 2X or 3X, your multiple could go up too.
- **ASSETS:** What's the age and condition of your equipment? If the washing machines in your laundromat are all twelve years old, a smart buyer will realize they will have to be replaced soon. And those puppies aren't cheap.
- **MOAT:** How protected is this stream of income? How heavy is the competition for customers and what's your business's competitive advantage?
- **CRM:** How strong is your client relationship management? Do you even have a CRM?
- **REVIEWS AND REPUTATION:** What's your web presence? What are your online ratings?
- **PROFIT MARGIN AND RECURRING REVENUE:** It's great if you have increasing revenue, but buyers also want to see a strong profit margin. Companies that reduce gross profit margin in favor of revenue aren't worth as much. Recurring revenue—such as service or maintenance agreements, subscriptions, and memberships—increases your margins.
- **YOUR GOALS:** What do you want out of this sale? Is cash up front more important to you than ongoing payments? Do you want to ensure all your employees' jobs are safe? How long are you willing to stay on as a consultant?
- **COMMITMENT:** How much time is the new owner going to have to commit to working in the business? Buyers will pay a higher multiple for a business that requires less work, has better management teams, or is de-risked. They'd rather get paid to manage an operator for a couple of hours a week versus having

to work full time. Say you have a \$1 million company and you work fifty hours a week for a \$300,000 SDE. If the buyer needs to replace you, they may only offer a 1.5X multiple (\$450,000). But if you have an operator in place, your multiple might go up to 3X or 3.5X (\$900,000 to \$975,000). Most buyers want to purchase an income stream, not a job.

Seller Financing

You already know all about this. Want a higher sale price? Let them use seller financing. If you don't need to get all the money right away, financing the new buyer can help you get a better price. You can avoid a huge tax hit by spreading your gains over multiple years, and you can increase your payout by charging interest on the financing. Consult an attorney on structuring the deal and terms to allow you to take back the business. Certain cases will make sense, such as your buyer defaulting on payments or large declines in revenue or profitability.

Brokers: Swipe Left or Right?

Selling a business is a bit like sex—it's *damn hard* to keep going when you're thinking about leaving.

Brokers help. They typically charge 10 percent commission, but a great one is worth it. A broker can save you time by marketing your business, weeding out the lookie-loos, and finding (and vetting) potential buyers. They'll help you pull together all the documents you'll need for the buyer's due diligence. Some will offer advice on how to quickly improve the value of your business prior to sale. Let the broker do the work while you run the business over the nine months or so that it takes to sell.

That said, finding the right broker is harder than finding a vegan in Dallas. Some brokers make you sign a twelve-month agreement in exchange for them placing an ad. Bad ones will do practically nothing to get your business in front of serious buyers. You don't want that. You want someone with experience selling businesses in your category and a track record of success. You want someone with a Rolodex full of potential buyers who already have their financing lined up.

Your best bet: referrals. Who do you know? Interview the candidates. How will they find buyers and qualify them? What kind of offering books and listing ads have they created for their other

clients? What kinds of questions do they ask about your business? A good broker will want to know as much as they can about your business.

Great brokers can be the best investment you ever make in selling your business. Mediocre brokers will drain the life out of you.

Round Two: What to Do After You've Successfully Exited

*You aren't truly in the game unless you find yourself in
the dead of the night, head in hands, sitting in the dark,
with no idea what to do next.*

—MY DAD

One night you'll be wide awake, sitting in an armchair in the dark in your living room, feeling nothing but regret. You will not like things the buyers do to your business. You will wish you had sold for more. You'll get calls from your old employees. Selling is emotional.

But I can also promise you something else: This is not your only shot in the arena. The journey for acquirers is never-ending. The siren songs of businesses will call to you again with their addictive sound. Laundromats were my gateway drug to acquiring businesses. For you, it might be car washes, or mini storages, or ice-vending machines, or private airplane hangar rentals. Who knows. The only thing that is certain is that if you make your first deal a success, and especially after you sell it, you will want to do it again. And again.

Once you become a dealmaker, everything in life will be seen through the lens of a deal. There is always another company to add, an idea for expansion, a dollar to invest. Dealmakers play chess in a world of checkers. The only limit is your drive to keep playing. And although we call them “boring” businesses, this game is anything but boring—it's a blast.

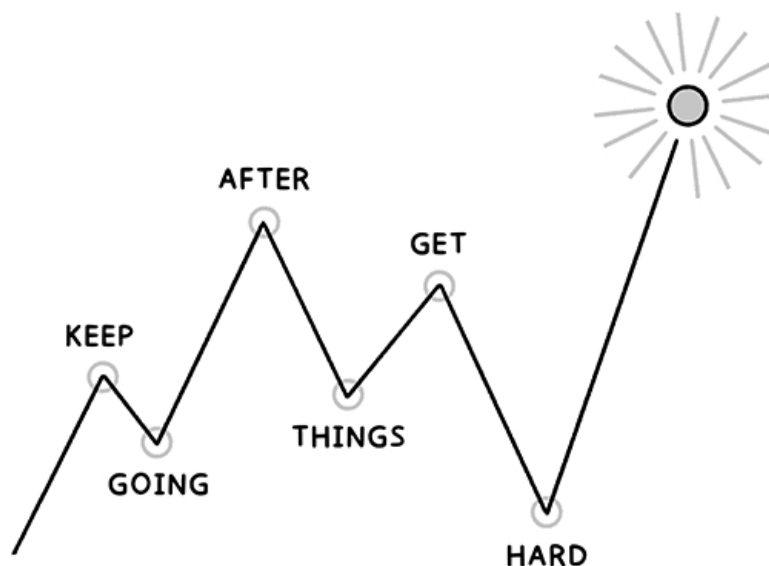
Final Thoughts

THE LAST CHAPTER: YOUR CALL TO ARMS

Let's take a step back to look at everything you've learned so far. You now know the secret to wealth and freedom: *ownership*. You also know why most start-ups are doomed to fail (no revenue), and the proven road to cash flow: *buy an established boring business*.

The R.I.C.H. method—**Research, Invest, Command, Harness**—showed you how to buy, run, and grow your first small business. We covered everything—from picking the right business for you to learning how to lead and shape its culture. The simple marketing strategies you learned are battle-tested and can immediately boost your profits. You also learned how to know when it's time to exit, and how to get paid to sell your business.

None of this is rocket science. It is simple, yet hard, grueling work, which you are likely very capable of. The formula is: *keep going after things get hard*.



Now, it's time to go use what you've learned. Start small if you must, but *start*. Look for simple businesses with plenty of room to grow. Do your homework. Get out and beat the pavement. Make calls, meet people, get your fingernails dirty while opening boxes of financials yellowed with age. Then start adding those zeros to your bank account. The tools, strategies, and stories in this book will not only help you reach financial freedom, they'll help us save America.

The Silent War: Main Street versus Wall Street

We are at war, whether we like it or not. It's a battle that invisibly pits everyday men and women against the behemoths. The BlackRocks, the Blackstones, the KKR's, and the Amazons of the world. They are "the 1 percent," and they want to own everything.

In 2022, they bought one out of every four houses. They also own one out of every three local businesses. *One out of every three*. You don't just work for them; you live in their world. As silently as a creeping mist, the big keep getting bigger, and we become a nation of serfs and renters.

How do we fight back? The answer is not to "shop local," or get more regulations, or to protest and riot in the streets. The way to fight back is by using their strategy against them. In a word:

Ownership.

I wrote this book for one reason: I believe we can win this war. And you are one of the few who can make it happen. You are an *entrepreneur*. You're one of the crazy ones who can will things into existence. You are a part of our generation of explorers, risk-takers, and world builders. You are one of us.

If you want to change the world, then take on the mantle of ownership. You can buy Main Street businesses for the money, sure. But join the cause, because this is a war, and if you don't take real action, we—the people—will lose.

This is what I ask of you: *Do not shy away from your greatness*. Do not downplay your potential to change our world. It only takes 1 to 5 percent of a population to alter the course of history, for better or worse. Buying and upgrading a local Main Street business might seem like a small act in the grand scheme. But it is a small act of defiance that ripples into the global economy, and out to future generations. With every acquisition, we are taking back control and saving our towns. We are creating a better world for our grandkids.

Our country does not need more dating apps. We don't need more drop shippers playing middlemen with manufacturers in China. We need our young entrepreneurs to carry the torch of the older generation. They are the ones who can save the small businesses that power our local economies. They are the ones who can preserve the charm and vibrancy of our cities. They are the ones who can win this war.

You change the world one community at a time. Buy an established business, then turn it into the modern company you know it can be. Ownership is the key to your freedom, to freedom for *all* of us. It's what will save our country, one "boring business" at a time.

Join the Movement for Ownership

Before you go, I have three final things.

Number 1: Join your fellow owners. If you want to take the next step, join our group of owners at contrarianthinking.co. In this group, there lives an army of people just like you. Those who will build, buy, sell, and carry on for the next generation of owners. You might just find the next business you want to buy there.

We also have a Mergers & Acquisitions institute, which you can always join later if you are serious. Here's who we are and what we do:

- Seven experts with a combined billion dollars in transactions
- More than twenty in-person events a year
- Seven calls a month for one year
- Twenty expert office hours monthly
- Three-day annual conference

Number 2: MBAs are broken. Wharton offers a three-day M&A class for \$15,000. Lord, give me the confidence and audacity of Ivy League degrees and their entitlements. I hope this book served you better for the thirty dollars you spent, versus the institutions that take our tax dollars and leave us with opinions instead of skills. Which brings me to ...

Number 3: Leave a review. If you believe in this movement toward ownership, one of the easiest ways to support it is by

reviewing this book on Amazon and Goodreads. I promise, I read every single one. So pretty please, it'd mean a lot to me.

Thank you so much for reading this book. I will never apologize for loving and admiring those of us who choose this path. We will continue to have *freedom* because of people like you. I hope you push yourself to do the thing that scares you. To experience that otherworldly feeling of standing in front of a store that belongs to you. Choose the hard thing, take a chance on yourself. And f*ck that boss who didn't believe in you.

If I can do it, so can you. See you on the inside.

Codie Sanchez
July 2024
Austin, Texas

Acknowledgments

If I could have one word written on my tombstone, it would be Author. Books have been one of my greatest loves in life. I owe that to my mother. Summers spent checking out so many library books that they'd stack like a tower on my trembling little kid arms. Bliss. If you enjoyed this book at all, you can thank my mom. The best teacher I've ever known.

To my Christopher, it's always been us against the world. Marriage to you is the best investment I've ever made. Thank you for inspiring me to jump every time I'm sure I'll fall, and for your strength in always catching me.

Familia y sangre. Mom and Dad, my inspiration to teach and do the work is due only to you. Colton, hermano, you are my ride or die. I'd call you if I needed to bury a body (metaphorically) or if I wanted to laugh until I cried. To my aunts and uncles, your entrepreneurial pursuits bled into me before I knew it. Thank you for lighting the path. Also, y'all are the perfect amount of absolute crazy. You inspire me to build, take risks, and dance wildly inappropriately. Grandma Gin, thank you for letting me steal all your books as a kid and for employing my brother and cousin to sell them. Who knew it'd be my first business? Grandpa Juke and Grandma Flo, from the turquoise mines of Arizona to the corner store in Miami, you were the original Main Street owners. I never forget how hard your road was so mine could be smoother.

To my editing team, especially Charlie Hoehn, for late-night phone calls and for convincing me that some of my stories were likely too un-PC, even for me. But mostly for relentless editing to the point of perfection. Thank you—you're a rare talent and I'm honored you chose me too. To Chris Piper, Jim Sloan, Josh Troy, and Lloyd Silver: How many edits did we do on this? Too many to defy reason. Good thing you're all definitively unreasonable! Thank you seems too small a phrase.

To the woman who made me an author, my editor at Penguin, Helen Healey-Cunningham. You believed in my story of ownership so much you bought a damn business yourself. Then you let me call you nonstop while you were on maternity leave and talk about the perfect way to say just about everything. To the entire Penguin team — Adrian, Niki, Megan. Remember those awful early titles we had? Pete Garceau for your beautiful design. Thank you all for never settling and reminding me how much this book matters whenever I got nervous, thinking, *What if it's not good enough?!?*

To my friends who edited, gave advice, inspired me, and listened to my giant ideas for this book: Stacey and Alex Duran, Shaina Shiwarski, Vanessa Van Edwards, Kim Kaupe, Fernando Vigil, Donald Park, Nick Gray, Sam and Sarah Parr, and so many more. If I ever lost it all, I'd consider myself rich because of each of you.

To the Main Street Millionaires I somehow got lucky enough to call friends. You all do not just build; you share how you did it along the way. Bill Perkins, Jim Bowen, Geoffrey Kent, Sam Parr, Noah Kagan, Andrew Wilkinson, Nick Huber, Alex and Leila Hormozi, Joe Craft and Jane Brady, Alex Leiberman, and Dan Martell. And also to every MSM we've documented—from porta potties to crime-scene cleanup to street sweeping—I've never been dirtier or happier than when working alongside all of you.

My brilliant friends who are now in the media. Thank you for sharing your brilliance with me and casting a light on this book. You are so giving and rare. Steven Bartlett, Jay Shetty, Andy Frisella, Tim Kennedy, Tulsi Gabbard, Balaji Srinivasan, Lewis Howes, Ali Abdaal, Chris Williamson, Sahil Bloom, Anthony Pompliano, Pace Morby, and so many of you creators. You are the voice of this generation and you gave your microphone to this book. I'm still stunned by your generosity.

To my team at Contrarian Thinking and Main Street Holding Company. What a ride, eh? Thank you for making this book a success, for your sleepless nights, wild ideas, and belief in making others rich and free. When I wanted to skeet shoot the book, light a cake on fire, and create four hundred better, cleaner graphics, you said, *Yes ... let's do that*. Jacob, Jazmine, Lindsey, Tanner, Samuel, Christian, and the whole content team. You are my wild band of renegades, and I adore you.

To my Contrarian Thinking Community. It all started with you and me, baby. You bought businesses, you built Main Street, and

you did the rarest of things ... you became doers. I had a dream to build the best academy and community in the world around buying, building, and selling small businesses. Together, we did it. You proved that normal people like you and me can do what Wall Street does: *own*. And we're just getting started, aren't we? When it's tough, when you want to give up, I hope you'll remember how strong you are. Main Street over Wall Street FOREVER.

Finally, to you, dear reader. My fellow unemployable human, may you never listen to anyone who says you can't. The world will try. But you know the truth: *No one is coming to save you. It's all up to you*. Be an owner in a world of squatters. Your life and our country depend on it.

OWNERS!!!

—Codie

Appendix: Tools and Documents for Boring Business Owners

Visit msmbook.com/tools to access all the resources mentioned in this book, including:

- 130 Boring Business Ideas to Invest In
- 19 Books That Changed My Financial Life
- 29 Creative Investment Income Ideas
- 30-60-90 Plan
- 4-Step Wealth Creation Framework
- Company Cash Flow Tracker
- COMPASS Meeting Agenda
- Contrarian Thinking's Annual SMB Report
- Deal Calculator
- Due Diligence Checklist
- Gold Standard LOI Template
- Holding Company P&L and Projections
- How to Buy and Scale a Business for \$0
- New Hire 100-Day Game Plan
- Tear Sheet to Raise Funds
- The Small-Business Tech Stack to Grow Your Revenue from Day 1
- Your Personal Profit & Loss Statement



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Footnotes

START HERE

[fn1](#) Also a Taylor Swift lyric, but I digress.

[fn2](#) Disclosure: The testimonials provided are real results from clients who have worked with me, but please understand that these results are not typical. Your results will vary and depend on many factors, including but not limited to your background, experience, and work ethic. All business entails risk, as well as massive effort and consistent action. If you're not willing to accept that, please do not proceed with this book. Seriously. As my grandma says, "Business ain't for p*ssies." And yes, my grandma did say that.

STEP 1: R Is For Research

[fn1](#) Earnings before interest, taxes, depreciation, and amortization.

[fn2](#) This is a standardized service, packaged like a product. It has set tasks, clear pricing, and a repeatable process.

[fn3](#) Because a few of you restaurant-owning psychopaths are going to yell at me, show me the lie here. My rule with restaurants is: they are hard. Ask any restaurateur. You only open restaurants because you love them, are a top-level operator, and a bit of a masochist. I'll invest in the top operators (and I do have stakes in three), but you couldn't pay me enough to stop waiters from copulating on top of the croissant baskets and breathing Jack Daniel's on customers. I've been a server—we wild. Eat at restaurants, don't buy 'em.

[fn4](#) There is one online tool I use: bizscout.com. What makes it uniquely useful is that it creates lists of off-market businesses, and they push to get those businesses *online*. Those are what I'm looking for, so I can go in and propose my own price to the owner. (Disclaimer: I used bizscout.com so much that I ended up buying it.)

[fn5](#) This basically means that the seller agrees to receive a portion of the payment over time, instead of all up front. Seller financing is explained in detail in Step 2 ("I is for Invest"), where I break down how it works, when to use it, and the benefits for both parties.

[fn6](#) An SOP is a a step-by-step playbook that lays out exactly how to do something, every time. SOPs keep your operations consistent, efficient, and scalable—no guessing games, just clear instructions anyone can follow.

[fn7](#) For details, check out the Due Diligence Checklist at msmbook.com/tools. Many things on that detailed list won't apply, but you can use it to design a due diligence checklist for the business you're buying.

STEP 2: I IS FOR INVEST

[fn1](#) The results mentioned above were achieved by people who hustled using the methods taught in this book and in the community. Not every participant gets these exceptional results. Business success varies significantly depending on individual expertise, effort, market conditions, and good ol' fashioned luck. This method involves risks, just like anything else, and not everyone will succeed.

[fn2](#) Deals often get done over late-night emails, weekend meetups, and off-the-clock conversations. Be ready to move whenever the opportunity strikes.

STEP 3: C IS FOR COMMAND

[fn1](#) A 3X multiple means that buyers are willing to pay three times the business's annual profit, reflecting what they expect to earn in the future.

[fn2](#) Check out killedbygoogle.com.

STEP 4: H IS FOR HARNESS

[fn1](#) It's also a perfect example of a service-based business, so steal my homework in this chapter and apply it to any company.

[fn2](#) I liked this service so much I bought the company. You can use the code CODIE10 at checkout to get 10% off for life.

[fn3](#) No relation to Abercrombie & Fitch, the clothing company.

[fn4](#) See the [appendix](#) to get a list of all the ones we use.

DEAL BOX: LOCK IN YOUR WANTS					
Purchase Price and Cash-Flow Requirements	Description	My Deal Box	Business A	Business B	Business C
Ideal Annual Income	This is how much cash (your income) you'd like to make from the deal.	\$250,000			
Minimum Annual Income	This is the minimum cash flow (your income) you'd have to make to move forward on a deal.	\$120,000			
Operator Salary	This is what you'd have to pay the operator, if you choose to have one.	\$100,000			
Target Business Cash Flow	This is the minimum business cash flow you'd need in order to meet your minimum annual cash flow + the cash flow required to pay your	\$220,000			

DEAL BOX: LOCK IN YOUR WANTS					
Purchase Price and Cash-Flow Requirements	Description	My Deal Box	Business A	Business B	Business C
	operator's salary.				
Debt Service Cost	If you are going to use financing, this is the potential cost of your debt service.	\$30,000			
Total Cash Flow Needed	This is the cash flow you must have from the business in order to meet your income goals, pay your operator's salary, and pay for any debt service.	\$250,000			
Minimum Purchase Price	This is the minimum price you'd likely pay for your business using a 2X multiple. Do not obsess over this number; this is negotiable and cash	\$500,000			

DEAL BOX: LOCK IN YOUR WANTS					
Purchase Price and Cash-Flow Requirements	Description	My Deal Box	Business A	Business B	Business C
	flow is most important.				
Maximum Purchase Price	This is the maximum price you'd likely pay for your business using a 4X multiple. Again, do not fixate on this number; cash flow is most important.	\$1,000,000			



REVENUE AND EXPENSES OVERVIEW									
Category	Weekly	Monthly	Yearly	Q4	Jan 7	Jan 14	Jan 21	Jan 28	Jan Month End
Start-up	\$300	\$2,263	\$5,750	\$0	\$500	\$500	\$500	\$500	\$2,000
Professional	\$250	\$1,000	\$3,000	\$0	\$250	\$250	\$250	\$250	\$1,000
Premium	\$500	\$2,000	\$6,000	\$0	\$500	\$500	\$500	\$500	\$2,000
Phone Answering	\$750	\$3,000	\$8,250	\$0	\$0	\$750	\$750	\$750	\$2,250
Content Creation	\$650	\$2,600	\$2,600	\$0	\$750	\$0	\$0	\$0	\$0
Total Revenue	\$2,450	\$10,863	\$25,600	\$0	\$2,000	\$2,000	\$2,000	\$2,000	\$7,250



FINANCIAL SUMMARY							
Metric	Value	Q4	Jan 7	Jan 14	Jan 21	Jan 28	Jan Month End
Payroll	\$5,700		\$860	\$1,060.25	\$1,060.25	\$1,060.25	\$4,040.75
Total Expense	\$4,841	\$13,723	\$1,060.25	\$1,060.25	\$1,060.25	\$1,060.25	\$4,040.75
Total Profit Before Salaries	\$6,022	\$6,177	\$390	\$939.75	\$939.75	\$939.75	\$3,209.25
Total Net Profit		\$0	\$939.75	\$939.75	\$939.75	\$939.75	\$3,209.25
Bank Account	\$2,027.78						

FINANCIAL SUMMARY							
Metric	Value	Q4	Jan 7	Jan 14	Jan 21	Jan 28	Jan Month End
Balance							
Margin	57%	55%	47%	47%	47%	47%	44%
Refunds							
Number of Refunds							



ANNUAL BASE SALARY AND INCOME STREAMS						
Description	COA 1	COA 2	COA 3	COA 4	CURRENT	DELTA
Annual Base Salary	\$100,000	\$100,000	\$100,000	\$100,000	\$109,344	
Net Salary	\$7,500	\$7,500	\$7,500	\$7,500	\$9,112	
Rental Income 1	\$1,000	\$1,500	\$2,000	\$2,500		
Rental Income 2	\$100	\$100	\$100	\$100	\$100	
New Business 1	\$800	\$1,000	\$1,200	\$1,400		
New Business 2	\$3,000	\$3,500	\$4,000	\$4,500		
Monthly Take-Home Pay	\$9,400	\$10,100	\$10,800	\$11,500	\$9,112	\$288
Bonus					\$100,000	(\$100,000)
Net					\$66,000	(\$66,000)



LIABILITIES						
Description	COA 1	COA 2	COA 3	COA 4	CURRENT	DELTA
Rent/Mortgage	(\$2,500.00)	(\$2,500.00)	(\$2,500.00)	(\$2,500.00)	(\$1,900.00)	\$4,400.00
Car	(\$150.00)	(\$150.00)	(\$150.00)	(\$150.00)	(\$150.00)	
Fuel	(\$200.00)	(\$200.00)	(\$200.00)	(\$200.00)	(\$200.00)	
Yoga	(\$90.00)	(\$90.00)	(\$90.00)	(\$90.00)	(\$90.00)	
Muay Thai	(\$200.00)	(\$200.00)	(\$200.00)	(\$200.00)	(\$90.00)	(\$110.00)
Insurance	(\$150.00)	(\$150.00)	(\$150.00)	(\$150.00)	(\$150.00)	
Food	(\$2,000.00)	(\$2,000.00)	(\$2,000.00)	(\$2,000.00)	(\$2,000.00)	
Health	(\$200.00)	(\$200.00)	(\$200.00)	(\$200.00)	(\$250.00)	\$50.00
Entertainment	(\$1,000.00)	(\$1,000.00)	(\$1,000.00)	(\$1,000.00)	(\$1,000.00)	
Utilities	(\$300.00)	(\$300.00)	(\$300.00)	(\$300.00)	(\$500.00)	\$200.00
Cleaning	(\$160.00)	(\$160.00)	(\$160.00)	(\$160.00)	(\$160.00)	
Books	(\$100.00)	(\$100.00)	(\$100.00)	(\$100.00)	(\$100.00)	
Skin Care	(\$150.00)	(\$150.00)	(\$150.00)	(\$150.00)	(\$150.00)	
Travel	(\$1,000.00)	(\$1,000.00)	(\$1,000.00)	(\$1,000.00)	(\$1,000.00)	
Shopping	(\$1,000.00)	(\$1,000.00)	(\$1,000.00)	(\$1,000.00)	(\$1,000.00)	
Total Monthly Liabilities	(\$2,200.00)	(\$2,200.00)	(\$2,200.00)	(\$2,200.00)	(\$6,740.00)	\$4,540.00
Net	\$7,200.00	\$7,900.00	\$8,600.00	\$9,300.00	\$2,372.00	\$4,828.00

